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Foreword

This Survey is published on the responsibility of the Economic and Development Review Committee of the OECD, which is charged with the examination of the economic situation of member countries. The economic situation and policies of the United Kingdom were reviewed by the Committee on 2 July 2024. The draft report was then revised in the light of the discussions and given final approval as the agreed report of the whole Committee on 22 July 2024.

The Secretariat's draft report was prepared for the Committee by Daniela Glocker and Nicolas Gonne, under the supervision of Aida Caldera Sánchez. Statistical research assistance was provided by Véronique Gindrey, editorial assistance by Gemma Martinez and communication assistance by Laura Fortin and François Iglesias.

The previous Survey of the United Kingdom was issued in 2022. Information about the latest as well as previous Surveys and more information about how Surveys are prepared is available at https://www.oecd.org/en/topics/sub-issues/economic-surveys.html

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Basic statistics of the United Kingdom, 2023

(Numbers in parentheses refer to the OECD average)[1]

LAND, PEOPLE AND ELECTORAL CYCLE					
Population (million)	68.4		Population density per km²	282.5	(39.2)
Under 15 (%)	17.2	(17.0)	Life expectancy at birth (years, 2022)	82.1	(79.6)
Over 65 (%)	19.5	(18.3)	Men (2022)	80.4	(77.0)
International migrant stock (% of population, 2019)	14.1	(13.2)	Women (2022)	83.8	(82.4)
Latest 5-year average growth (%)	0.6	(0.4)	Latest general election	July 2024	
ECONOMY					
Gross domestic product (GDP)			Value added shares (%)		
In current prices (billion USD)	3 340.9		Agriculture, forestry and fishing	0.8	(2.8)
In current prices (billion GBP)	2 687.2		Industry including construction	18.7	(27.2)
Latest 5-year average real growth (%)	0.7	(1.6)	Services	80.5	(70.0)
Per capita (thousand USD PPP) [2]	58.9	(59.0)			
GENERAL GOVERNMENT (Per cent of GDP)					
Expenditure (2022)	46.4	(42.8)	Gross financial debt (OECD: 2022)	91.7	(113.1)
Revenue (2022)	41.8	(39.5)	Net financial debt (OECD: 2022)	63.7	(67.3)
EXTERNAL ACCOUNTS					
Exchange rate (GBP per USD)	0.80		Main exports (% of total merchandise exports)		
PPP exchange rate (USA = 1)	0.67		Machinery and electronics	22.1	
In per cent of GDP:			Stone and Glass	16.1	
Exports of goods and services	32.2	(31.3)	Transportation	12.9	
Imports of goods and services	33.4	(31.5)	Main imports (% of total merchandise imports)		
Current account balance	-3.3	(-0.3)	Machinery and electronics	21.6	
Net international investment position	-31.4		Transportation	13.7	
			Fuels	11.7	
LABOUR MARKET, SKILLS AND INNOVATION					
Employment rate (aged 15 and over, %)	60.5	(58.0)	Unemployment rate (aged 15 and over, %)	4.0	(4.8)
Men	64.5	(65.5)	Youth (aged 15-24, %)	11.9	(10.6)
Women	56.8	(50.8)	Long-term unemployed (1 year and over, %, 2022)	0.9	(1.2)
Participation rate (aged 15 and over, %)	63.1	(60.9)	Tertiary educational attainment (aged 25-64, %, 2022)	51.3	(40.7)
Average hours worked per year	1 524	(1 742)	Gross domestic expenditure on R&D (% of GDP, 2021)	2.9	(2.7)
ENVIRONMENT					
Total primary energy supply per capita (toe, 2022)	2.3	(3.8)	CO_2 emissions from fuel combustion per capita (tonnes, 2022)	4.6	(7.8)
Renewables (%, 2022)	13.7	(12.0)	Municipal waste per capita (tonnes, 2022)	0.4	(0.5)
Exposure to air pollution (more than 10 µg/m³ of $PM_{2.5}$, % of population, 2020)	51.0	(56.5)			
SOCIETY					
Income inequality (Gini coefficient, 2021)	0.354	(0.316)	Education outcomes (PISA 2022 score)		
Relative poverty rate (%, 2021)	11.7	(11.4)	Reading	494	(476)
Median disposable household income (thousand USD PPP, 2021)	26.9	(27.7)	Mathematics	489	(472)
Public and private spending (% of GDP):			Science	500	(485)
Health care (OECD: 2022)	10.9	(9.2)	Share of women in parliament (%)	34.6	(32.8)
Pensions (2020, OECD: 2019)	5.9	(9.5)	Net official development assistance (% of GNI)	0.6	(0.4)
Education (total spending, 2020)	6.3	(5.1)			

1. The year is indicated in parenthesis if it deviates from the year in the main title of this table.
Where the OECD aggregate is not provided in the source database, a simple OECD average of the latest available data is calculated where data exist for at least 80% of member countries.
2. OECD aggregate refers to weighted average.
Source: Calculations based on data extracted from databases of the following organisations: OECD, International Energy Agency, International Labour Organisation, International Monetary Fund, United Nations, World Bank.

Executive summary

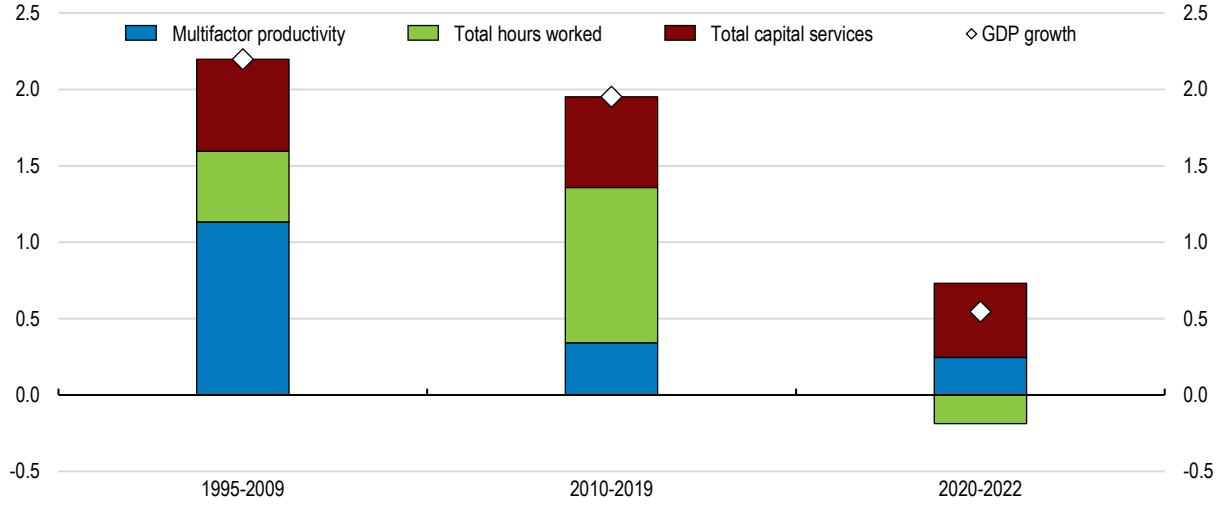
The UK economy has been on a weak growth path since the financial crisis

The United Kingdom faces a challenging economic environment of high interest rates and low growth limiting macroeconomic policy options. Recent economic shocks, shared across countries, magnified long-existing challenges in the United Kingdom, raising the urgency for the government to continue supply-side reforms and stimulate growth potential.

The UK economy has been on a weak growth path since the global financial crisis. Labour supply largely drove GDP growth between 2010 and 2019, but was not met with productivity-enhancing investments (Figure 1). Productivity growth has been lacklustre, mirroring the slow pace of technological innovation and diffusion. Policy uncertainty has been weighing on business investment, and a high degree of policy churn reduced the effectiveness of government's long-term growth strategies. Inadequate infrastructure, significant skills gaps, persistent inequalities across regions, in income and wealth, and trade barriers created by the departure from the EU Single Market and Customs Union further weaken the UK's medium term growth potential, as discussed in previous *Economic Surveys of the United Kingdom*.

Figure 1. Labour supply supported growth

Contribution to average annual GDP growth, % points



Source: OECD Productivity database.

StatLink https://stat.link/eikrfd

An already high employment rate requires a more efficient use of available labour resources to sustain growth over the longer term. Advancing supply-side reforms to accelerate investment and reduce the recent and persistent rise in economic inactivity to support labour supply, while providing a transparent long-term policy environment that raises planning certainty for households and businesses, will be essential to increase potential growth.

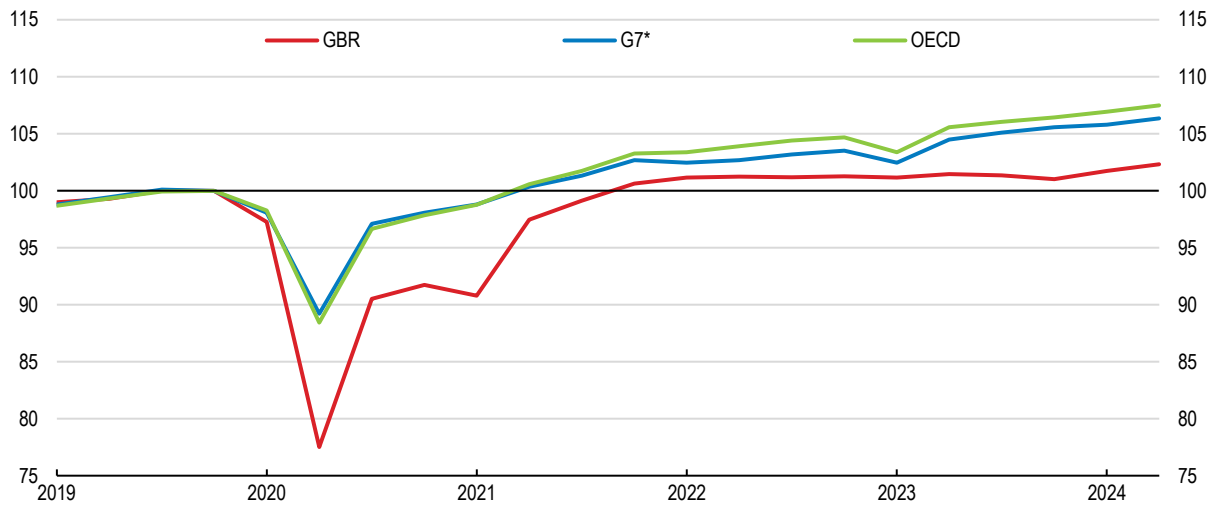
The growth outlook is improving

Headline inflation is moderating towards target, but core inflation is projected to stay elevated, requiring monetary policy to remain restrictive until inflation returns durably to the 2% target. Economic growth is projected to pick up as the effect of past monetary tightening wanes.

Economic activity picked up in 2024 following a significant slowdown since late 2021 (Figure 2). A key driver of post-pandemic growth, private consumption was held back by high inflation, until nominal wage growth caught up in the second half of 2023 to deliver real wage increases. Momentum improved in the first half of 2024, with GDP growing by 0.7% in the first quarter and 0.6% in the second, and inflation slowing to 2.2% year-on-year in July. At the same time, the labour market continued easing from exceptionally tight conditions, with unemployment rising and vacancy rates returning to pre-pandemic levels.

Figure 2. Growth is resuming

Real GDP, index 2019Q4=100



Note: G7* refers to the G7 average excluding the United Kingdom.
Source: OECD Economic Outlook database.

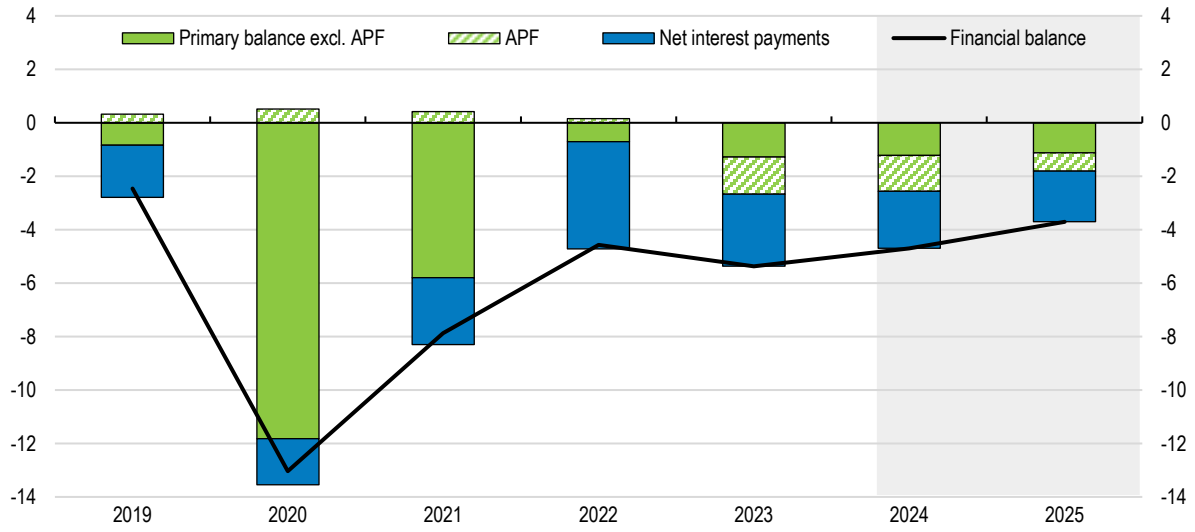
StatLink https://stat.link/lahczg

The fiscal and monetary policy mix is adequately restrictive. The fiscal balance is expected to improve between 2023 and 2025 (Figure 3). Monetary policy remains restrictive on the back of persisting inflation pressures. In August 2024, the Bank of England has lowered the policy rate to 5%, after maintaining it at 5.25% since August 2023. Quantitative tightening continues as planned with the gradual winding down of the stock of government bonds.

The financial sector has remained resilient despite successive economic shocks. The UK banking system maintains capitalisation and liquidity positions well above prudential requirements. A large non-banking financial institution sector with heterogenous groups of actors warrants caution, as interconnectedness between actors and the financial sector is not fully understood. It remains necessary to continue to improve monitoring of the non-banking financial sector, as high interest rates can create vulnerabilities.

Figure 3. Fiscal tightening will continue

Government net lending, % of GDP



Note: APF refers to transfers to and from the Bank of England under the Asset Purchase Facility indemnification arrangement.
Source: OECD Economic Outlook database.

StatLink https://stat.link/gcyz82

Table 1. Economic growth will pick up

Annual growth rates, % unless specified

	2023	2024	2025
Gross domestic product	0.1	1.1	1.2
Private consumption	0.3	1.0	1.7
Government consumption	0.5	2.3	0.8
Gross fixed capital formation	2.2	0.7	0.4
Exports	-0.5	-0.8	1.9
Imports	-1.5	2.5	2.9
Unemployment rate (%)	4.0	4.3	4.5
Consumer price index	7.3	2.7	2.4
Core consumer price index	6.2	3.7	2.8
Current account balance (% of GDP)	-3.3	-3.8	-3.4
General gov. fiscal balance (% of GDP)	-5.4	-4.7	-3.7
General gov. gross debt (% of GDP)	101.3	101.2	102.6

Source: OECD Economic Outlook database.

GDP is projected to grow by 1.1% in 2024 and by 1.2% in 2025. Strong real wage growth will support private consumption. Headline inflation is expected to continue moderating towards target as energy and food prices have eased substantially, but persistent services price pressures will keep core inflation elevated at 3.7% in 2024 and 2.8% in 2025. Unemployment will rise, reaching 4.5% in 2025 as the labour market cools. Risks to the outlook are balanced, with limited fiscal space to confront possible shocks on the downside and higher domestic demand through the rundown of excess savings on the upside.

Addressing fiscal challenges

Low growth and high interest rates have aggravated already limited fiscal space, following substantial support during the pandemic and the energy price crisis. Real public expenditure has fallen since the global financial crisis, limiting the scope for further spending adjustments. Enhancing revenues through a more efficient and fairer tax system could help address fiscal pressures and rebuild buffers.

The government is committed to a gradual medium-term fiscal consolidation plan, but getting net debt on a declining trajectory is surrounded by risks. The freeze of personal tax thresholds is raising tax receipts, more than offsetting the fiscal cost of the cut in national insurance contributions rates and the increase in the threshold at which the child benefit is tapered away. However, the fiscal headroom to meet the current self-imposed target to put public sector net debt (excluding BoE) on a declining trajectory by 2028-29 is small. The government faces tough choices on public spending and service delivery across departments beyond 2024-25, which reduces policy options or entails cutting back some departments' spending.

Fiscal pressures are set to increase in the longer term due to mounting spending caused by population ageing, necessary investments in the green transition, and exposure to more frequent and severe climate risks. There is scope to mobilise additional tax revenues as numerous exemptions and reliefs make the tax system difficult to navigate, while their effectiveness is uncertain. Tax compliance has decreased, especially of smaller businesses. Identifying ways to make the tax system fairer, reduce distortions and close loopholes will be key to support revenues over the longer term.

The current fiscal rules may lead to short-termism and to a trend deterioration of public finances. The two main targets of falling public sector net debt as a share of GDP, and public sector net borrowing not exceeding 3% of GDP, are both defined as rolling targets to be achieved in the fifth year of the OBR forecast, which by construction never arrives. The timing and horizon of the fiscal rules entail sub-optimal fiscal policy, as they impede large-scale public investment with longer planning horizons. To support debt management over the longer term, the fiscal rules should strive to better accommodate public investment needs, while balancing stability and adaptability of fiscal rules.

Raising business investment

Low business investment has contributed to sluggish productivity growth. The United Kingdom benefits from a regulatory framework that is generally supportive of businesses, but a high degree of economic and policy uncertainty and a lack of policy continuity have weighed on investment. To support business investment, a transparent long-term strategy is needed, encompassing planning legislation and business taxation.

An overly stringent and complex planning system creates barriers to investment. Business development is held back by lengthy and complex procedures for planning permits. The current planning system, where each planning application faces review and potential opposition from residents, leads to unpredictable outcomes, raising uncertainty and costs for businesses. Moving from the current discretionary system towards a rule-based system could speed up planning procedures and reduce uncertainty for businesses.

The corporate tax system distorts investment decisions towards debt financing by allowing interest payments to be deducted against corporation tax. The raise in the main statutory corporate income tax rate has been accompanied with full expensing on qualifying plants and machinery on top of the existing annual capital allowance. The combination of immediate expensing while allowing for interest rate deductibility can make unprofitable investment viable through the tax system. Expanding qualifying investment for full-expensing while ensuring that

interest rate deductibility is adjusted to avoid subsidising unprofitable investment could support business investment in productivity-enhancing assets and reduce distortions at a limited fiscal cost.

Decarbonising residential housing

Meeting the net zero target requires decarbonising the residential housing sector, which contributes about 14% to domestic emissions. A holistic policy approach will be needed to steer consumer behaviour towards low carbon choices. Necessary measures include clear pricing signals to encourage a shift from fossil fuels towards decarbonised heating, reliable timelines for regulatory changes, and financial support measures to stimulate the market.

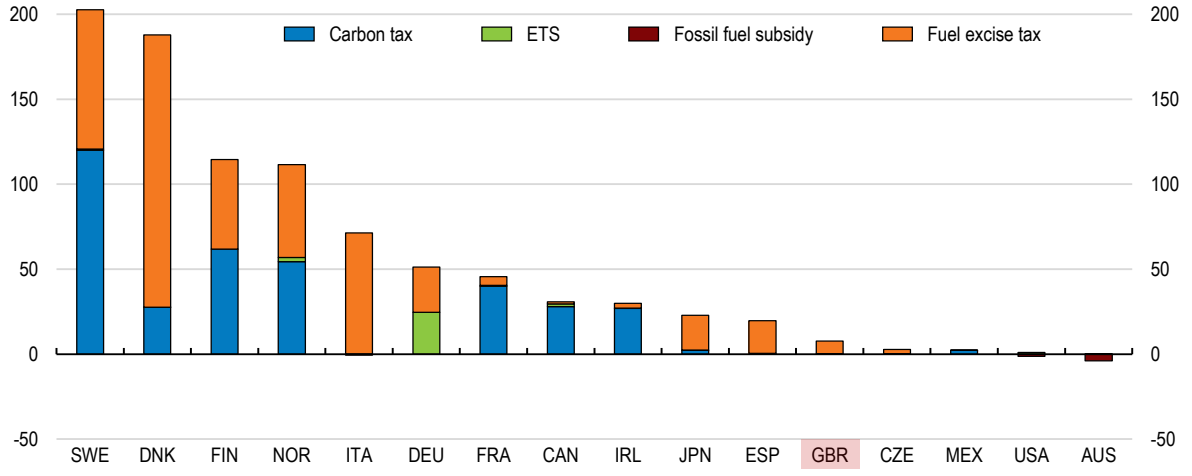
Regulatory backstops set out in the government's 2021 Heat and Building strategy to stimulate the heat pump market have been weakened. In late 2023, the government exempted about 20% of households from the phase out of fossil fuel boilers by 2025 and delayed a ban on new oil boilers from 2026 to 2035. The obligation on boiler manufacturers selling in the UK market to gradually increase the proportion of heat pump sales compared with the number of gas boilers from 2024 has been delayed to 2025. These policy changes complicate households' decisions on how and when to invest in clean heating, and businesses' planning of investments in skills and supply chains. A transparent and credible long-term strategy is urgently needed to guide markets.

Effective carbon prices in the housing sector are low (Figure 4) and gas heating is less expensive than electricity heating. High up-front installation costs and the risk of higher running costs deter households' investment in heat pumps, the most energy efficient solution to heat homes. Stronger price signals are needed to encourage the shift from fossil fuel to decarbonised heating.

The energy efficiency of UK homes has improved over the past decade, but more needs to be done. About 45% of rated UK homes have an Energy Efficiency Certificate below the government 2035 target of a C rating. The government's plan to tighten energy efficiency in the rental sector, which comprises about 20% of UK's housing stock, to EPC C by 2028 was scrapped in late 2023. Better availability of green financing products can help smooth the high upfront cost for households investing in clean heating and energy efficiency.

Figure 4. Carbon taxation in building use is low

Effective carbon rates, EUR per tonne of CO_2



Source: OECD 2023, Brick by Brick Vol. 2.

StatLink https://stat.link/32489m

Boosting labour supply

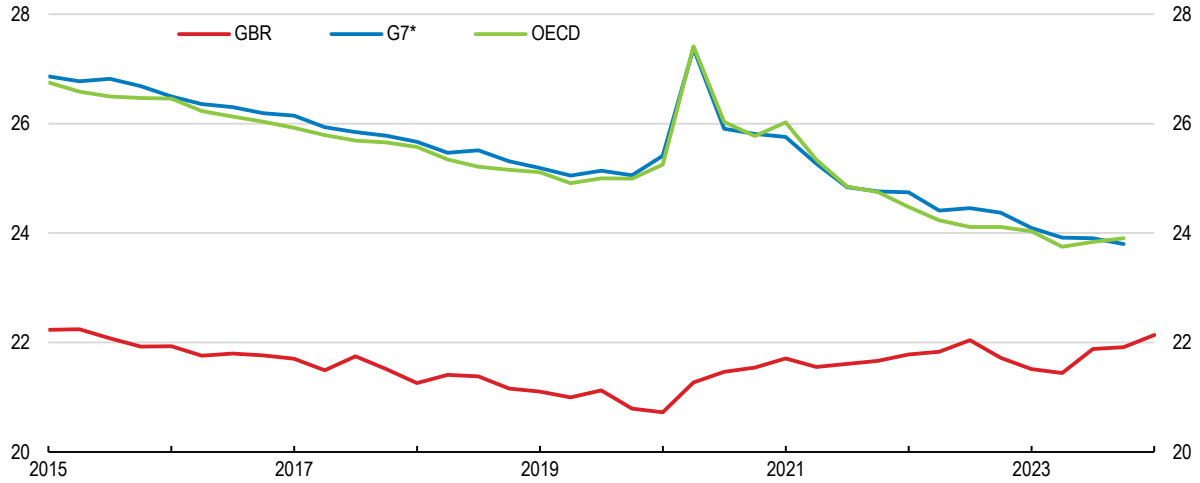
Employment growth stalled in the wake of the pandemic, and inactivity is on an upward trend (Figure 5). The government made increasing labour supply a priority, but more is required to strengthen work incentives and raise growth potential, including improved activation for the long-term sick, indexed tax thresholds, full rollout of the childcare reform, and better support for school-to-work transitions.

Inactivity increased by about 750 000 people since the pandemic, with long-term sickness accounting for about 90% of the overall rise, in part driven by worsening mental health. Family or home caring responsibilities keep about 1.4 million women from the labour force, while lack of skills accounts for about 1.2 million inactive people in England alone.

Activation requirements for incapacity benefit recipients are weaker than for the unemployed, providing those who are only temporarily unfit for work with incentives to seek and maintain long-term sickness status. Focussing incapacity assessment on individuals' abilities instead of limitations would promote labour supply, including by ensuring that income support is not conditioned on being found incapacitated for work.

Figure 5. Inactivity has increased

Inactivity rate, % of 15-64-year-olds



Note: G7* refers to the G7 average excluding the United Kingdom.
Source: OECD Labour Force Statistics (database).

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All the main personal tax thresholds and allowances are frozen until 2028 rather than indexed to inflation, weakening work incentives. The freeze supports public finances but weighs on labour supply, dampening the boost from the recent cuts in the National Insurance Contributions rate from 12% to 8%, especially for lower-income earners. Indexing thresholds is key, with National Insurance Contributions prioritised as labour supply effects are larger.

The ongoing expansion of childcare support promotes labour supply, especially for women, but faces significant implementation risk. The reform is needed and welcome, but care staff shortages jeopardize the fast rollout timeline. Contingency planning is required to ensure effective response in case childcare supply falls short of demand.

The dual vocational education and training system insufficiently supports early school leavers into employment. An increasing number of businesses use apprenticeships to upskill current employees rather than hire low-skill youth. Reforming subsidy rates under the Apprenticeship Levy could strengthen employers' incentives to take on young people with low skills.

MAIN FINDINGS	KEY RECOMMENDATIONS
Monetary and fiscal policy in a low growth, high inflation economy	
Headline inflation has been slowing towards the 2% target. Core inflation has been stickier as wage-driven underlying price pressures persist.	Maintain the data-dependent restrictive monetary policy stance until inflation is durably around the 2% target.
High interest rates create vulnerabilities in the non-bank financial sector, which accounts for around half of total financial sector assets and holds more than half of UK corporate debt. But the interconnectedness of actors is not fully understood yet.	Closely monitor the non-bank financial sector and consider adequate action to prevent potential transmission of credit defaults from the corporate sector to the financial sector.
High interest rates to contain inflation, combined with low real GDP growth and high public debt limit fiscal space.	Pursue a restrictive fiscal stance over the short term to support inflation falling durably to the inflation target.
The fiscal rules may lead to short-termism and to a trend deterioration of public finances. Current rules provide clear guidance about the medium-term plan for returning to debt sustainability. But the rolling target window leads to sub-optimal fiscal policy and works against long-horizon public investment.	Shorten the time horizon of fiscal rules and define escape clauses with clear conditions under which fiscal rules can be suspended and reactivated.
The UK faces mounting spending pressures related to population ageing, aggravated by needed investments in the green transition, infrastructure, skills and innovation. There is scope to improve the efficiency and fairness of the tax system. Tax compliance has decreased, especially for smaller businesses with less capacity to navigate the system.	Conduct an in-depth tax review to make the tax system more efficient by reducing distortions, closing loopholes, and ending reliefs and exemptions that do not serve economic or social objectives.
Enhancing business investment	
Uncertainties resulting from subsequent economic shocks and policy churn weigh on business investment. Since 2017, the UK government introduced three different growth strategies adding to planning uncertainty for businesses.	Establish stable framework conditions and comply with a transparent long-term government strategy for business investment based on clear rules for review and revision.
An overly stringent and complex planning system leads to unpredictable outcomes and lengthy decision processes hampering investment.	Speed up permitting decisions for development by moving towards a rule-based planning system.
The corporate tax system distorts investment towards certain types of assets and encourages firms to finance themselves with debt rather than equity by allowing interest payments to be deducted against corporation tax.	Monitor investment incentivised through full expensing and reduce interest deductibility to avoid subsidising unprofitable investment.
Decarbonising residential housing	
The UK government has a broad strategy to decarbonise the housing sector. Policy progress, however, has been slow creating difficulties for households and businesses to make key decisions. Uncertainties increased further when the government delayed and backtracked on previous commitments.	Update the 2021 Heat and Building strategy with a concrete and credible timeline for tightened energy efficiency standards and clean heating regulation.
Gas heating is less expensive than electricity heating and effective carbon prices in the housing sector are low. The risk of higher running costs of heat pumps and high installation costs deter households' investment in heat pumps, the most energy efficient solution to heat homes.	Explicitly price emissions in the building sector by broadening the scope of the UK ETS to cover heating fuels according to their carbon content.
Rental homes make about 20% of UK's housing stock. Phasing in minimum efficiency standards of EPC C by 2028 was scrapped late 2023.	Reinstate the minimum efficiency standard for rental housing to band C with a concrete and credible timeline.
Access to green finance is growing slowly and can help smooth the high upfront cost for households investing in clean heating and energy efficiency.	Develop common methodologies and ratings criteria such that energy consumption-related risks and benefits of energy efficiency improvements are incorporated in credit analysis.
Boosting labour supply	
Incapacity assessment focusses on individuals' limitations rather than abilities, so that claimants risk losing their incapacity benefits if they re-enter the labour market despite their health condition.	Reform the Work Capability Assessment so that income support is not conditioned on being found incapacitated for work.
The freeze of personal tax thresholds weakens work incentives, including for low-income workers and despite cuts in the rate of National Insurance Contributions.	Index personal tax thresholds to inflation, prioritising National Insurance Contributions thresholds if fiscal space is constrained.
The fast timeline for childcare reform, the lack of contingency planning, and staff shortages create implementation risks.	Set and monitor interim implementation milestones, and prioritise low-income households if childcare supply falls short of demand.
Employers increasingly use apprenticeships to upskill current employees, rather than hire and train young low-skill people and early school leavers.	Reduce subsidy rates for current employees under the Apprenticeship Levy scheme and channel support to young people.

1 Macroeconomic developments and policy challenges

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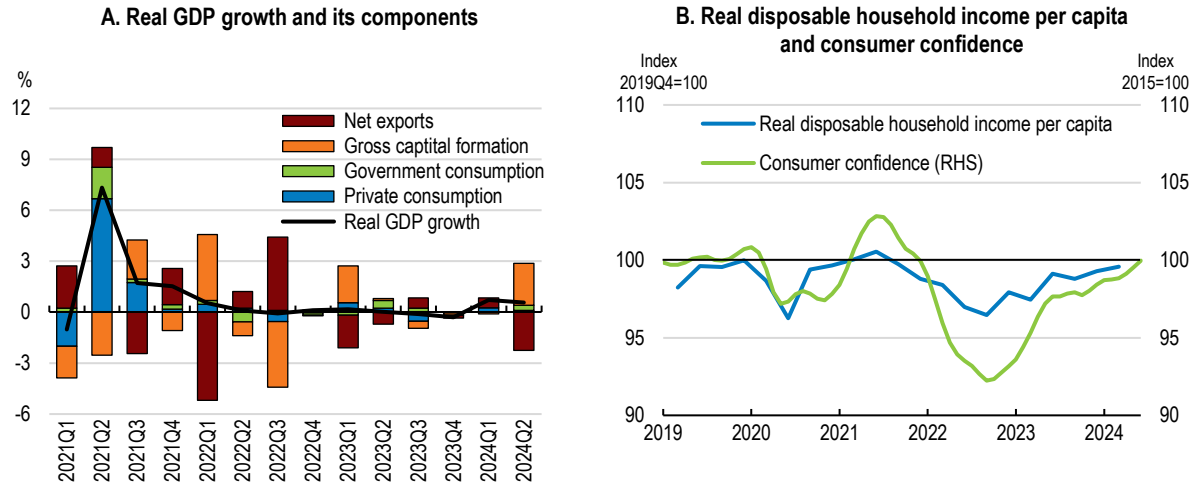
The growth outlook is improving. Economic activity is gaining momentum, supported by household consumption. Albeit increasing, sluggish investment and trade continue to weigh on growth. Monetary policy has tightened appropriately, but inflation remains slightly above the target. Fiscal policy is restrictive, supporting monetary policy. Low growth and high interest rates aggravate the already tight fiscal position following substantial fiscal support during the pandemic and the energy price crisis. The cost of servicing public debt has increased substantially, while a historically high tax burden and already reduced public spending leave limited room for fiscal manoeuvre. Growing spending needs due to ageing and investment necessary to support the green transition call for tax reforms to strengthen revenues.

1.1. The economy is gaining momentum

1.1.1. The energy crisis disrupted a robust recovery from the pandemic

Economic activity slowed after recovering to pre-pandemic levels in late 2021, and came to a standstill in 2023. Like in other OECD countries, private consumption, a key driver of growth in the post-pandemic recovery, stalled on the back of rapidly rising inflation (Figure 1.1, Panel A). High energy prices, aggravated by Russia's war of aggression against Ukraine, were passed through to consumers, contributing to a cost-of-living crisis and deteriorated consumer confidence (Figure 1.1, Panel B). Government support helped households with high energy cost, but real disposable household income per capita declined and remained about 0.4% lower at the end of the first quarter of 2024 than before the pandemic. Easing price pressures since the end of 2022 and the ensuing recovery in real household incomes started to improve consumer confidence, but only gradually translated into improved private consumption. In the first half of 2024, private consumption picked up supporting GDP growth, which gained momentum and increased by 0.7% in the first and 0.6% in the second quarter.

Figure 1.1. Private consumption has been a key driver of growth following the pandemic



Source: OECD Main Economic Indicators (database).

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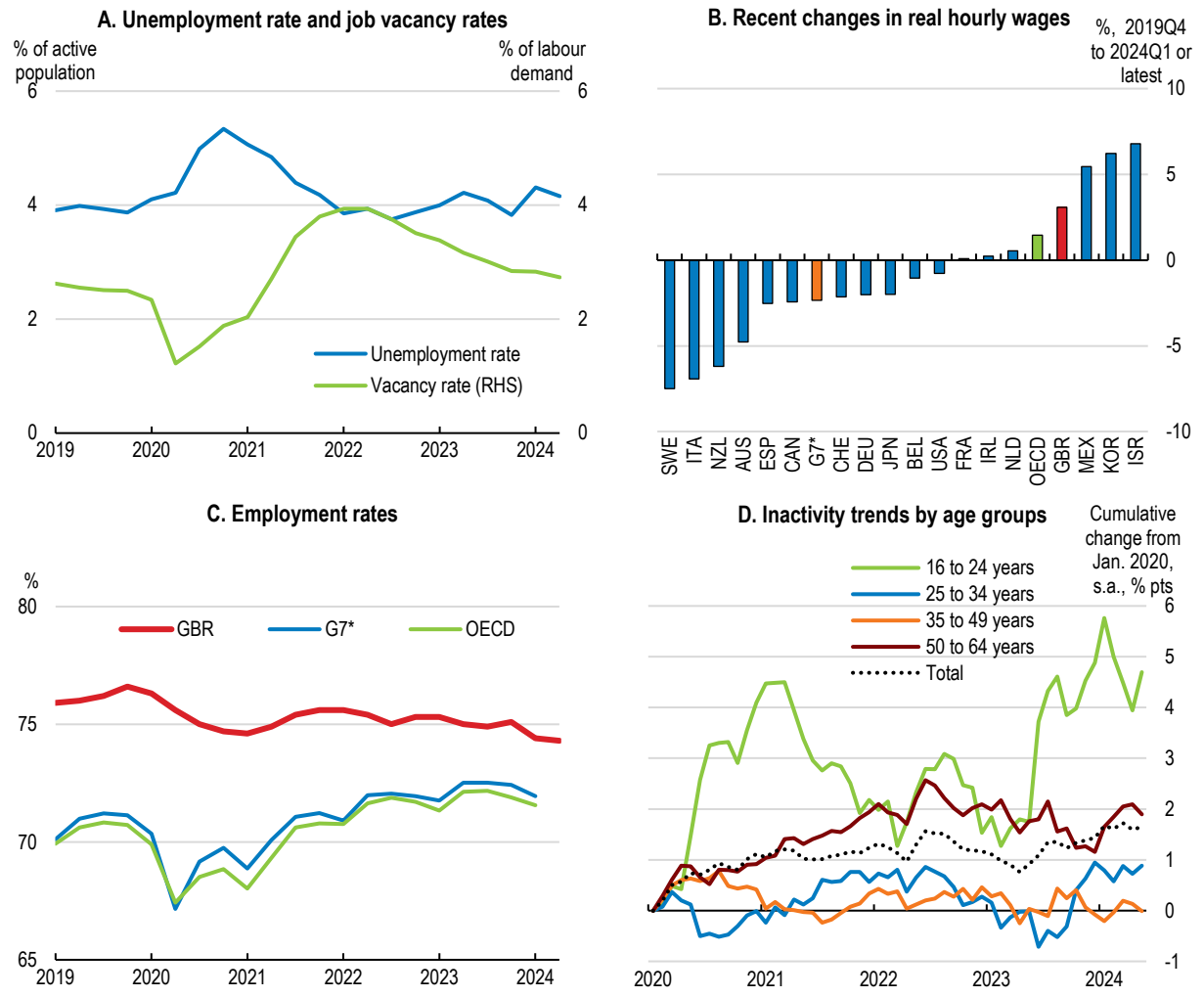
The labour market is easing from very tight conditions. The number of job openings has fallen since the summer 2022 (Figure 1.2, Panel A), aided by high net migration. Unemployment picked up slightly in 2023 but stayed close to historical lows before reaching 4.2% in the second quarter of 2024 (Figure 1.2, Panel A). Particularly strong nominal pay growth fully caught up with falling inflation in the second half of 2023, delivering real wage increases (ONS, 2024[1]). Real hourly wages increased by 3.1% between the pre-pandemic and the first quarter of 2024, more than the OECD average (Figure 1.2, Panel B). However, structural factors weigh on labour supply (Chapter 4). The employment rate, while high by international standards, has settled at about 74%, one percentage point below its pre-pandemic level (Figure 1.2, Panel C). The inactivity rate increased to about 22% in the first quarter of 2024, largely driven by a 5 percentage points increase in the youth inactivity rate compared to its pre-pandemic level (Figure 1.2, Panel D).

Figure 1.2. Tightness in the labour market is easing



Note: Panels B and C: G7* refers to the G7 average excluding the United Kingdom. Panel B: Labour demand includes all occupied and vacant jobs.
Source: OECD Labour Force Statistics; OECD Main Economic Indicators (database); ONS.

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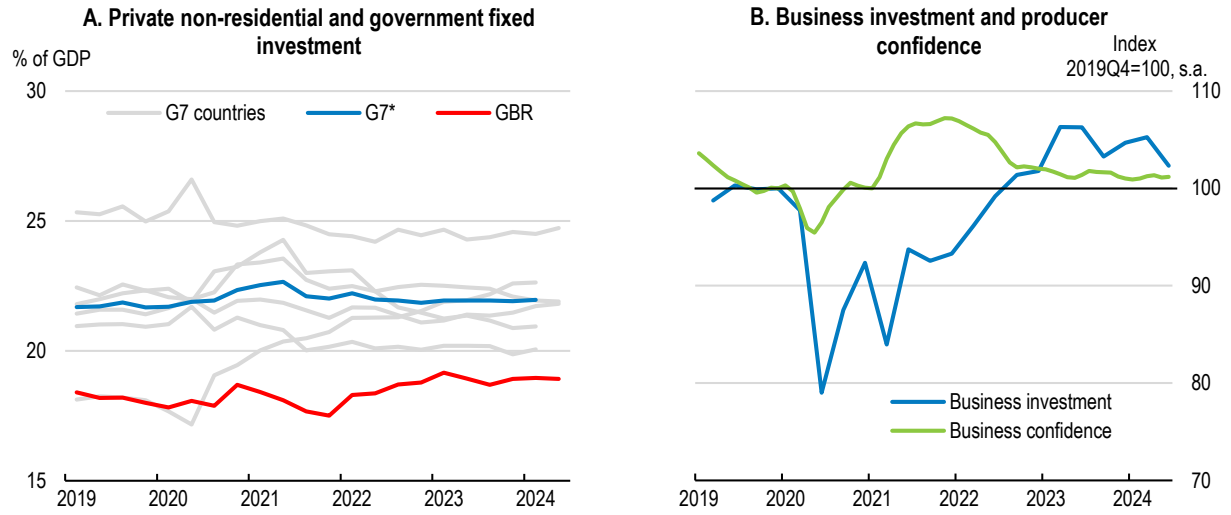
Sluggish investment, albeit improving, continues to weigh on growth. While together private non-residential and government fixed investment reached their highest level in a decade at 19% of GDP in 2023, total investment remains low compared to OECD peers (Figure 1.3, Panel A). The private sector, which contributes about three quarters of total investment, accounts for the improvement in 2023, as businesses likely brought forward investment to benefit from the temporary "Super-deduction", whereby companies were able to claim capital allowances worth 130% of investment expenditure on qualifying plant and machinery until the end of March 2023 (HM Treasury, 2021[2]). The Super-deduction was replaced with the less generous "Full expensing" scheme, which offers 100% capital allowances on qualifying new plant and machinery investments (HM Treasury, 2023[3]). The scheme was made permanent in Autumn 2023 (HM Treasury, 2023[4]), a welcome but insufficient development to restore business confidence, which remains subdued on the back of persistent price pressures and uncertainty (see Figure 1.3, Panel B; Chapter 3).

Figure 1.3. Despite improvements, investment remains low in international comparison



Note: Panel A: G7* refers to the G7 average excluding the United Kingdom. Panel B: Business confidence refers to the manufacturing sector.
Source: OECD Main Economic Indicators (database).

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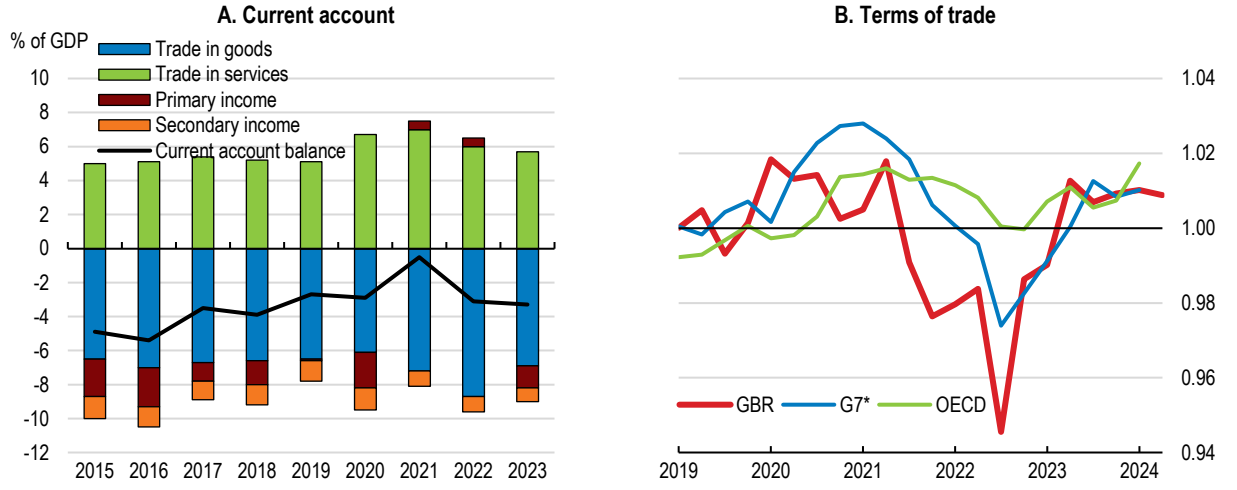
1.1.2. Competitiveness and trade performance weakened due to higher non-tariff barriers

The current account deficit stabilised at 3.3% of GDP in 2023, following a widening in 2022 driven by a negative terms of trade shock (Figure 1.4). Import values increased rapidly due to rising energy prices and export volumes slowed on the back of low external demand. Growth in goods exports and imports since 2019 as a share of GDP has been the weakest among G7 countries (Figure 1.5, Panel A). By the second quarter of 2024, UK trade intensity remained 0.6 percentage points below its pre-pandemic level. By contrast, it was 2.6 percentage points above pre-pandemic levels on average in the rest of the G7 countries by the first quarter of 2024. However, goods and services have shown strong and growing differences in performance since the pandemic (Figure 1.5, Panel B and C). While growth in UK goods trade has fallen well behind the rest of the G7, services trade has been resilient, reflecting a mixture of strong global demand growth in areas of UK strengths, including intellectual property, business services and education services, and less dependence on the European Union for services exports. Moreover, obstacles to services trade are particularly low in the United Kingdom (OECD, 2024[5]), whereas leaving the EU single market and Customs Union on 1st January 2021 created more trade frictions for goods (OECD, 2022[6]; Office for Budget Responsibility, 2024[7]).

Figure 1.4. The current account stabilised following a terms of trade shock



Note: Panel B: G7* refers to the G7 average excluding the United Kingdom. The terms of trade refer to the ratio between the index of export prices and the index of import prices. If the export prices increase more than the import prices, a country has a positive terms of trade, as for the same amount of exports, it can purchase more imports.
Source: OECD Main Economic Indicators (database).

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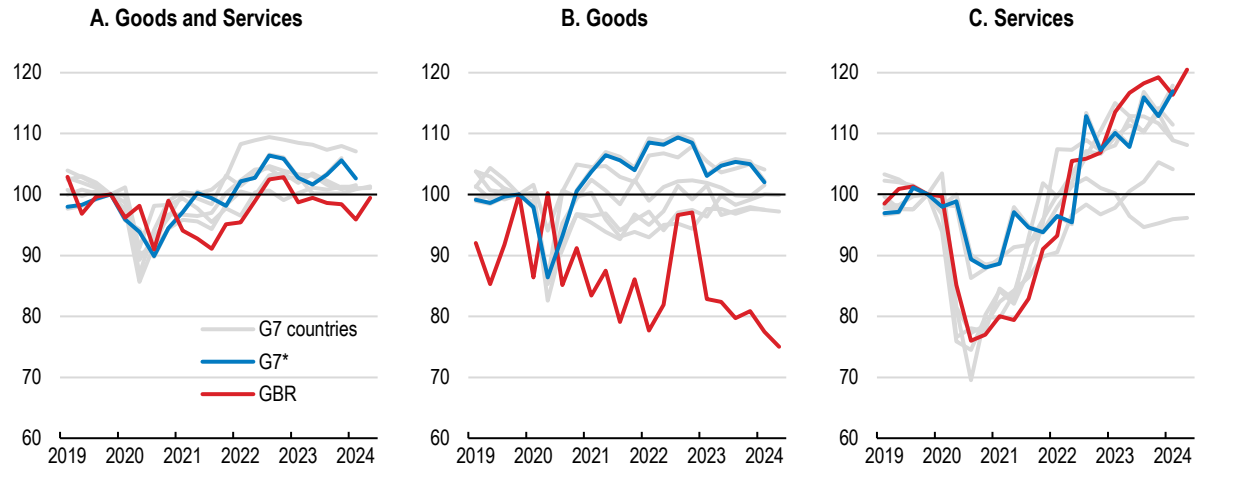
Figure 1.5. The UK's trade intensity has been lagging behind peers

Index 2019 Q4=100



Note: Trade intensity measured as Imports+Exports as share of GDP. G7* refers to the G7 average excluding the United Kingdom. In 2019, UK firms started stockpiling goods in anticipation of the exit from the EU single market and customs union, therefore goods trade was overinflated that year leading to a more negative picture compared to that basis.
Source: OECD Main Economic Indicators (database).

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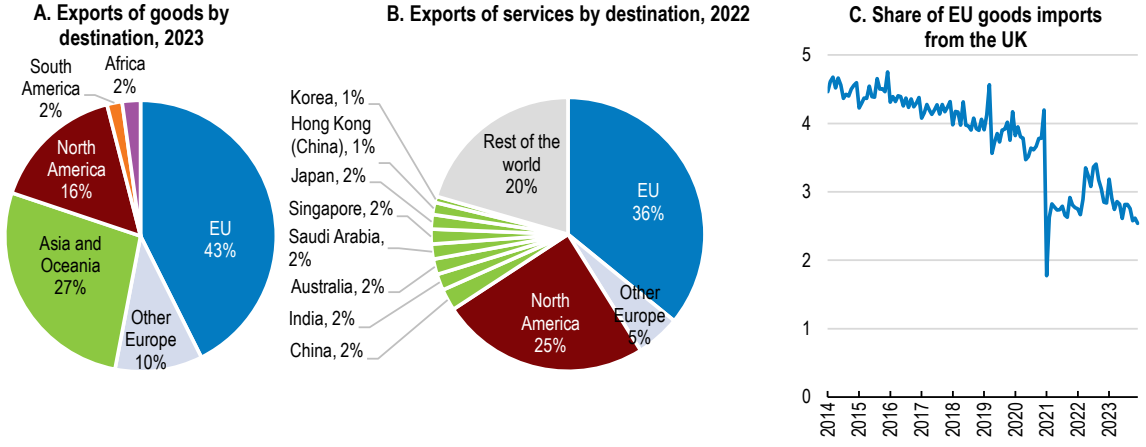
The European Union remains a key trading partner. About 43% of UK's goods and 36% of services were exported to (Figure 1.6, Panel A and B), and about 48% of all UK's imports were coming from the European Union. While the contribution of EU trade to the UK's total trade intensity has remained broadly stable at around 47% over the past years, declining goods exports were counterbalanced by a rising share of services trade with the European Union. The Trade and Co-operation Agreement (TCA) governs trade between the United Kingdom and the European Union since 2021, allowing zero-tariff, zero-quota trade. However, leaving the EU Single Market and the Custom Union made it costlier for UK firms to access EU markets due to new non-tariff barriers, including customs procedures, logistics and conformity standards. Importers of products with a high content in EU imports passed on higher trade costs due to non-tariff barriers to consumers leading to a pick up in consumer prices (Bakker et al., 2022[8]). Higher costs for importers also pushed up producer prices, thus reducing the competitiveness of UK exports. Research suggests that smaller firms in particular have reduced trade with the European Union as cross-border activity was no longer profitable, whereas larger firms that drive aggregate exports have been less affected (Freeman et al., 2022[9]). These developments are broadly in line with ex-ante estimates discussed in previous Economic Surveys, which suggested a reduction in output by 3.5% resulting from leaving the EU Free Trade Agreement (OECD, 2020[10]; OECD, 2017[11]). Moreover, the United Kingdom has lost importance as an export market for the European Union (Kren and Lawless, 2024[12]). While goods exports within the European Union and from the European Union to the rest of the world grew more than a quarter between 2019 and 2023, goods exports from the European Union to the United Kingdom grew only by about 5% over the same period (European Commission, 2024[13]). Similarly, the share of goods imports into the European Union from the United Kingdom has trended downwards (Figure 1.6, Panel C).

Figure 1.6. The European Union remains an important trade partner



Source: UN Comtrade; OECD International trade statistics; IMF.

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The departure from the EU Single Market and Customs Union is an ongoing process, rather than a single event, as the TCA is gradually phased in. Over the course of 2024, further sanitary and phytosanitary checks will be implemented for imports from the European Union. As UK exporters to the European Union already must comply with these checks, this will level the playing field and help safeguard biosecurity and food safety. However, the effectiveness and efficiency of the newly introduced Border Target Operating Model should be closely monitored (HM Government, 2023[14]). Higher costs for imports falling under the new rules are likely to impact food prices. Analysing price developments between January 2022 and March 2023, Bakker et al. (2023[15]) find that the price of food products with a higher reliance on imports from the EU increased by about 3.5 percentage points due to the introduction of non-tariff barriers. The government estimates that the introduction of the Border Target Operating Model will cost around GBP 300 million per

year and add about 0.2% to food price inflation over the next three years (HM Government, 2023[14]). The government should therefore ensure an efficient running of the Border Target Operating Model with short waiting times to reduce costs for importers and, ultimately, for consumers.

The UK government is pursuing a new trade strategy. Having left the European Union and its trade framework, the United Kingdom has replaced the EU external tariff with a new "UK global tariff" under which the number of goods with zero tariffs increased. While the United Kingdom is still in early stages of pursuing new trade relations, progress in negotiating new trade agreements has been made. The United Kingdom has concluded continuity agreements with almost all countries that had trade agreements with the European Union at the time of exit, as well as new agreements with Japan, the EFTA countries (Iceland, Liechtenstein, Norway and Switzerland), Australia and New Zealand (OECD, 2022[6]). Most recently, in July 2023, the United Kingdom became a member of the Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP), which comprises 11 other countries, however the overall impact on GDP is expected to be limited (Department for International Trade, 2022[16]; Department for Business and Trade, 2023[17]). A closer trade relationship with the European Union, geographically the closest trading block, would be advisable in the context of heightened geopolitical uncertainty and increased logistical costs. Building on previous progresses, the United Kingdom should continue to work with the European Union to further reduce trade barriers. In 2023, the United Kingdom and the European Union have made important advances by agreeing to the Windsor Framework agreement, which restores the free flow of goods between Great Britain and Northern Ireland and reduces the number of checks on goods travelling from the rest of the United Kingdom to Northern Ireland (Box 1.1). This is a welcome development, and the expansion of the free movement to all goods between Great Britain and Northern Ireland should be advanced according to the agreed timeline. To support exports to the EU market, the United Kingdom and the European Union should continue to evaluate potential reductions in non-tariff barriers for EU-UK goods trade and improve market access for services, including the recognition of professional qualifications. This will also depend on the United Kingdom's future trade strategy and whether it aims for greater divergence from EU regulations, especially in food and manufacturing.

Box 1.1. The 2023 Windsor Framework agreement

On 27 February 2023, the United Kingdom and the European Union agreed the Windsor Framework, providing a fundamentally new set of arrangements to restore the free flow of trade within the UK internal market and safeguard Northern Ireland's place in the United Kingdom.

To smooth the flow of trade of goods crossing the Irish Sea from Great Britain to Northern Ireland, green (for goods remaining in Northern Ireland) and red lanes (for goods which may be sent on to the European Union) are introduced to reduce checks and paperwork. It also includes several agreements on medicine control, VAT and alcohol duty.

These arrangements were adopted at the Withdrawal Agreement Joint Committee on 24 March 2023. The implementation of the Framework will happen in stages through 2024 into 2025, to provide businesses with time to adapt to new arrangements.

Timeline

- On 1 May 2023 a temporary VAT zero-rate was introduced in Northern Ireland for the domestic installation of solar panels, insulation, heat pumps and other energy saving materials (further details can be found here). This relief has been available in the rest of the United Kingdom since 2022 but was previously blocked in Northern Ireland by the Protocol.
- On 30 June 2023, the Government launched a new reimbursement scheme for EU duty paid on "at risk" goods which have been sold or used outside of the European Union.

- From 30 September 2023, a new UK Internal Market Scheme expanded the range of businesses able to benefit from the new arrangements provided to protect internal UK movements, including the removal of EU tariffs. In tandem, the new sanitary and phytosanitary "green lane" arrangements have taken effect, including a new Retail Movement Scheme for agrifood retail products; new rules to allow plants to move smoothly into Northern Ireland; and new arrangements to enable seed potatoes to move once again from Great Britain to Northern Ireland.
- From September 2024, the full "green lane" will take effect for the movement of all goods between Great Britain and Northern Ireland, restoring the benefits of the UK Internal Market Scheme and ending unnecessary bureaucracy. New arrangements will also come into effect for the movement of parcels between Great Britain and Northern Ireland, with a new set of data-sharing requirements put in place to ensure that customs declarations are not needed for deliveries to consumers.
- In 2025, new arrangements for the supply of medicines into Northern Ireland will take effect, ensuring that medicines available in Northern Ireland are those approved by UK authorities, enabling a single licence and a single pack for medicines right across the United Kingdom.

Source: HM Government (2023[18]).

1.1.3. The growth outlook is improving

GDP is expected to grow by 1.1% in 2024 and 1.2% in 2025 (Table 1.1). Strong real wage growth and monetary easing will sustain private expenditure, including a modest increase in household investment as mortgage volumes start recovering. However, sticky services price inflation and fiscal drag (i.e., the increase in households' tax liability due to the freeze of personal tax thresholds) will continue to weigh on consumers' purchasing power, soft external demand will constrain trade growth, and uncertainty will continue to impede on investment. Unemployment is expected to increase, reaching 4.5% as the labour market cools.

In the absence of severe shocks (Table 1.2), the risks to the outlook are balanced. Uncertainty about the degree of slack in the labour market is a key risk as data based on the labour force survey are of poor quality (Chapter 4). Overestimating the availability of labour resources could lead to a faster reduction in the Bank Rate, which would boost GDP but possibly entrench wage inflation and risk inflation not returning to target. Underestimating actual availability would entail high rates for longer, slowing the economy. Limited fiscal space to confront possible shocks is a continued downside risk, given the country's exposure to further potential surges in wholesale energy prices due to tensions in the Middle East and Russia's war of aggression against Ukraine. A rundown of excess household savings would boost growth, but could limit the pace of disinflation.

Table 1.1. Macroeconomic indicators and projections

Annual percentage change, volume (2019 prices)

	2019 Current prices (billion GBP)	2020	2021	2022	2023	2024	2025
Gross domestic product (GDP)	2,233.9	-10.4	8.7	4.3	0.1	1.1	1.2
Private consumption	1,427.9	-13.2	7.5	5.0	0.3	1.0	1.7
Government consumption	426.6	-7.9	14.9	2.3	0.5	2.3	0.8
Gross fixed capital formation	406.4	-10.8	7.4	8.0	2.2	0.7	0.4
Housing	115.7	-18.8	17.6	9.6	-7.4	-0.7	0.3
Business	228.6	-10.6	2.0	9.6	5.5	0.0	0.2
Government	62.1	3.6	10.0	0.9	7.7	5.0	1.0
Final domestic demand	2,261.0	-11.7	9.1	4.9	0.7	1.2	1.3
Stockbuilding[1]	4.1	0.1	0.1	-0.3	-0.6	1.1	0.3
Total domestic demand	2,265.1	-11.9	9.1	4.6	0.1	2.3	1.5
Exports of goods and services	706.7	-11.5	4.9	9.0	-0.5	-0.8	1.9
Imports of goods and services	737.9	-16.0	6.1	14.6	-1.5	2.5	2.9
Net exports[1]	-31.2	1.7	-0.3	-1.7	0.4	-1.1	-0.4
Other indicators (growth rates, unless specified)							
Potential GDP	. .	0.9	0.8	1.0	1.2	1.1	1.1
Output gap[2]	. .	-9.6	-2.5	0.7	-0.4	-0.4	-0.3
Employment	. .	-0.9	-0.1	1.3	0.7	-0.1	0.8
Unemployment rate[3]	. .	4.7	4.6	3.9	4.0	4.3	4.5
GDP deflator	. .	5.1	-0.1	5.1	7.1	2.8	2.1
Consumer price index	. .	0.9	2.6	9.1	7.3	2.7	2.4
Core consumer price index	. .	1.4	2.4	5.9	6.2	3.7	2.8
Household saving ratio, net[4]	. .	11.2	6.7	2.0	2.6	2.6	2.5
Current account balance[5]	. .	-2.9	-0.5	-3.1	-3.3	-3.8	-3.4
General government fiscal balance[5]	. .	-13.0	-7.9	-4.6	-5.4	-4.7	-3.7
Underlying general government fiscal balance[2]	. .	-6.2	-6.2	-5.0	-5.1	-4.5	-3.5
Underlying government primary fiscal balance[2]	. .	-4.6	-3.8	-0.9	-2.4	-2.3	-1.7
General government gross debt[5]	. .	105.8	105.2	100.4	101.3	101.2	102.6
General government net debt[5]	. .	70.3	71.0	70.4	73.3	73.2	74.6
Three-month money market rate, average	. .	0.3	0.1	2.0	5.0	5.1	4.2
Ten-year government bond yield, average	. .	0.4	0.8	2.4	4.1	4.1	3.9

Note: 1. Contribution to changes in real GDP; 2. As a percentage of potential GDP; 3. As a percentage of the labour force; 4. As a percentage of household disposable income; 5. As a percentage of GDP.
Source: OECD Economic Outlook database.

Table 1.2. Events that could lead to major changes in the outlook

Uncertainty	Possible outcome
Large scale cyberattacks.	A cyber-attack could disrupt the economy and the financial system or shut down domestic infrastructure vital for the functioning of the economy.
Escalation of geopolitical tensions.	Geopolitical instability would increase uncertainty and weaken both domestic and external demand, slowing growth.
Sudden steep rise in interest rates.	Could create vulnerabilities in the financial system through non-market-based finance actors needing to meet their margin calls.
Severe climate events like flooding and drought.	An infrastructure system not adapted to severe climate events can lead to disruption in the domestic economy weighing on growth.

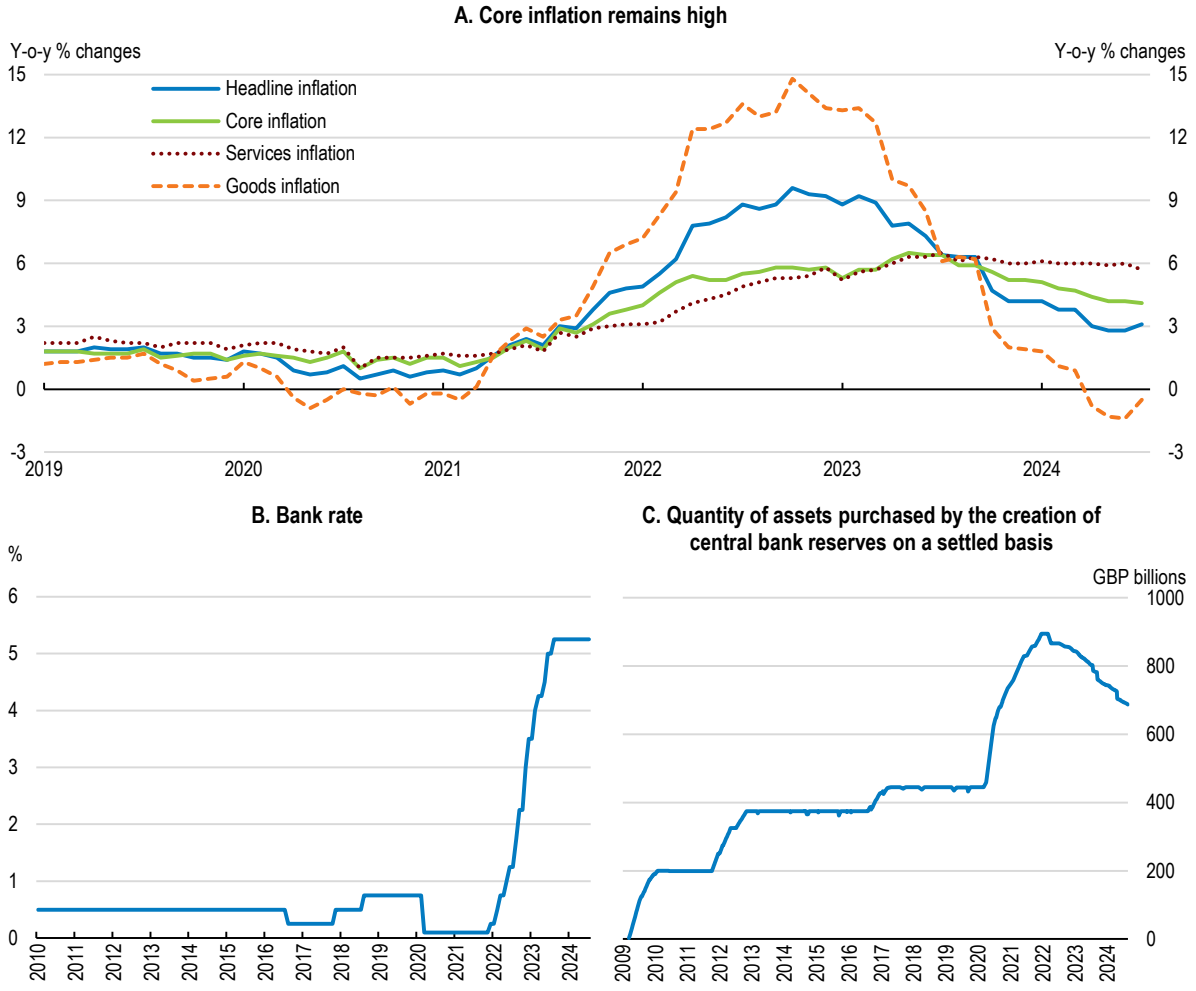
1.2. Monetary policy is restrictive

Consumer price inflation fell continuously during 2023, helped by restrictive monetary policy, lower contributions from energy and food price inflation, and continued easing of supply chain pressures. Annual consumer price inflation has been trending downwards since its peak of 11.1% in October 2022 slowing to the 2% inflation target in May and June, before slightly picking up again to 2.2% in July Figure 1.7, Panel A). Goods price inflation has fallen to -0.6% in July, but services price inflation at 5.2% has been stickier, as wage-driven underlying price pressures persist. Annual nominal wage growth remains robust despite a marked slowdown since the summer of 2023, with an increase of 5.4% in the second quarter of 2024.

Monetary policy should remain restrictive to ensure that inflation decreases durably to the 2% inflation target. In August 2023, the Bank of England (BoE) ended a rate hiking cycle that began in December 2021, bringing interest rates from 0.1% to 5.25% (Figure 1.7, Panel B). Only in August 2024, the BoE has lowered rates to 5%, maintaining a restrictive monetary policy and allowing monetary tightening to continue to work its way through the economy. Closely monitoring domestic inflationary pressures is warranted, especially given concerns regarding the quality of labour market data (Chapter 4). Current trends indicate a decrease in inflation expectations. The Bank of England's Decision Maker Panel reports a drop in one-year ahead consumer price inflation expectations from 3.1% in the three months to April to 2.7% in the three months to July. Similarly, three-year ahead inflation expectations between May to July have fallen to 2.6%, a decrease of 0.1 percentage points from the three months to April. But inflation expectations are surrounded by risks, including imbalances in the labour market, high growth in wages and labour costs, and persistent price pressures in services sectors. The BoE should continue to pursue a restrictive policy, and only start to ease as incoming data points to substantively slowing wage growth and service price inflation. To better manage inflation expectations in the longer term, implementing the recommendations from the independent review into the Bank's forecasting process (Box 1.2) would be a positive step.

The Bank of England's Monetary Policy Committee (MPC) is pursuing its quantitative tightening strategy as set out at the end of 2022 (Bank of England, 2022[19]) (Figure 1.7, Panel C). By the end of 2023, the Bank of England's Asset Purchase Facility (APF) was holding GBP 744 billion assets for monetary policy purposes. The MPC decided to increase the pace of tightening by reducing the stock of UK government bond purchases held for monetary policy purposes by GBP 100 billion over the 12-month period from October 2023 to September 2024, bringing the balance sheet to a total of GBP 658 billion (Bank of England, 2023[20]). While quantitative tightening has so far proceeded smoothly, uncertainty remains about its potential impact once policy rates begin to decline. The likely coexistence of quantitative tightening and policy rate reductions, with potentially opposite impacts on long-term yields and financial conditions more generally, calls for the BoE to continue to clearly communicate its strategy to guide markets.

Figure 1.7. Monetary tightening supported easing of inflation



Source: OECD Main Economic Indicators (database); ONS; BoE.

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Box 1.2. Forecasting for monetary policy making and communication at the Bank of England - The Bernanke Review

The Bernanke Review refers to an independent assessment led by Dr. Ben Bernanke, focusing on the forecasting and communication processes of the Bank of England during times of significant uncertainty. The review was announced in July 2023 and published on 12 April 2024. It provides a thorough evaluation of the Bank's current forecasting approach and its relationship with monetary policy decisions and their communication. The review outlines 12 recommendations across three major themes:

- **Forecasting Infrastructure:** To improve and maintain the Bank's forecasting infrastructure, including data management, software, and economic models:
  - Prioritise updating and modernisation of data management software;
  - Prioritise model maintenance and development;
  - Consider replacing or revamping the COMPASS forecasting model in the long term;

- The new forecasting framework should, at the very least, include a realistic representation of the monetary transmission mechanism, short and long-run inflation expectations, a wage-price system with gradual adjustment to shocks and wages affecting prices and vice versa, detailed models of the housing, energy and financial sectors, and greater attention to the supply side.

- **Forecast Process:** To provide a forecast process that better supports the Monetary Policy Committee's (MPC) decision-making, including learning from past forecast errors and dealing with uncertainty and structural change in the economy:
  - Pay more attention to forecast errors for flexible policy adjustment;
  - Consider staff deployment to improve forecast infrastructure and quality;
  - Regularly augment central forecast with early-stage alternative scenarios.
- **Communication:** To help the MPC communicate its view of the economy, the risks and uncertainties surrounding its outlook, and its policy rationale, to the public:
  - Publish selected alternative scenarios in the Monetary Policy Report;
  - De-emphasize central forecast and clarify forecast assumptions inconsistent with the MPC's view of the outlook;
  - Replace or cut back the detailed quantitative discussion of economic in favour of a shorter and more qualitative description;
  - Eliminate the fan charts;
  - Implement proposed changes in phases, starting with improving the forecasting infrastructure, while moving cautiously in adopting changes to policymaking and communications.

The Bank of England has welcomed the recommendations and is committed to implementing them, with an update on proposed changes expected by the end of the 2024.

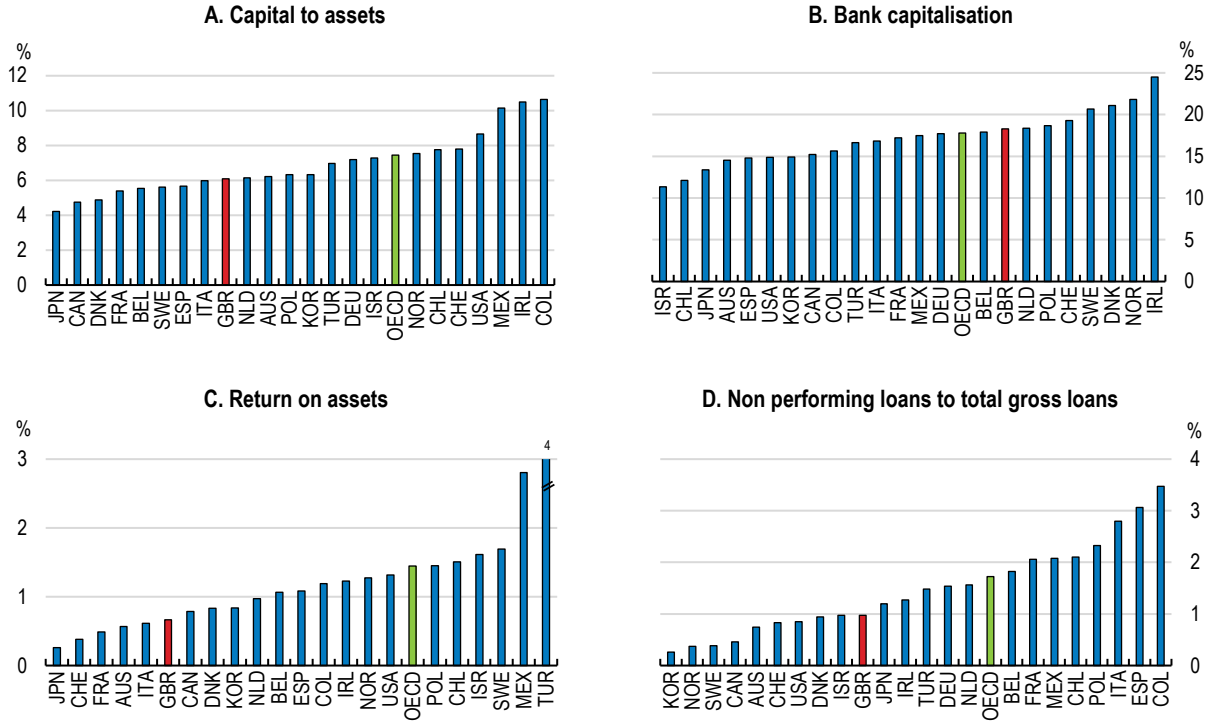
Source: Bank of England (2024[21]).

1.3. Financial stability has been maintained despite stress episodes

The UK banking system has remained stable and resilient during successive economic shocks, maintaining capitalisation and liquidity positions well above prudential requirements (Figure 1.8, Panels A and B). The Financial Policy Committee has gradually increased the counter cyclical buffer (CCyB) to a neutral 2% in July 2023. This development is welcome as the current environment of high interest rates and slow economic growth raises vulnerabilities in the financial sector. High interest rates support banks' profitability (Figure 1.8, Panel C) through higher interest income, but may lead to losses from their fixed income trading portfolio due to declining bond prices. In addition, credit defaults may rise, although so far, they remain low (Figure 1.8, Panel D). The 2022-23 stress test by the Bank of England (2023[22]) finds that major banks have capacity to absorb future shocks without restricting lending. The Bank of England should continue to monitor developments closely and adjust the counter cyclical buffer in line with credit conditions and financial stability risks.

Figure 1.8. The financial system is well capitalised

2023Q4 or latest quarter



Note: Bank capitalisation refers to the capital adequacy, regulatory tier 1 capital to risk-weighted assets.

Source: IMF Financial Soundness Indicators database.

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1.3.1. A large non-banking financial institution sector creates vulnerabilities

High interest rates can create vulnerabilities in parts of the system of market-based finance. In the United Kingdom, the non-bank financial sector has grown in importance, now accounting for around half of total financial sector assets (Bank of England, 2023[23]). The non-bank financial institutions sector comprises a heterogeneous group of institutions including insurers, pension funds, investment funds, finance companies, broker dealers and central counterparties, each with different risks related to their respective investment strategies, making close monitoring particularly important as highlighted by the stress episode following the Autumn 2022 “Mini Budget”. The subsequent rapid rise in gilt yields highlighted the risks with liability-driven investment (LDI) funds, which many defined benefit (DB) pension schemes use in their investment strategies. DB pension funds with leveraged LDI strategies had to quickly raise a large amount of cash to meet margin and collateral calls, contributing to fire-sales of longer-dated gilts. The Bank of England had to step in with a temporary and targeted intervention to restore financial stability (see Box 1.3). Following the episode, the ability of LDI funds to absorb shocks has been reinforced with new standards. In March 2023 the Bank’s Financial Policy Committee judged that LDI funds should be resilient to a shock to the gilt yield curve of 250 basis points at a minimum and in addition to maintaining sufficient resilience to manage other risks and day-to-day movements in yields (Bank of England, 2023[24]), which is a welcomed development. Further, liquidity backstops should be expanded to adequately supervised systemically important NBFIs such as large DB pension funds. It will also be important to better understand the interconnectedness across the financial sector that could amplify and spread financial stress. The Bank has therefore launched a “system-wide exploratory scenario” (SWES) exercise, which aims to improve understanding of the behaviours of banks and non-bank financial institutions in stressed financial market conditions and how these behaviours might interact to amplify shocks in financial markets that are core to UK financial stability (Bank of England, 2023[23]). Advancing this toolkit by continuing to

close data gaps will be an important contribution to understanding and addressing vulnerabilities in market-based finance.

Direct risks from corporate indebtedness to the financial sector are low, but indirect risks through the non-banking sector warrant attention. Corporate debt levels are generally low with limited immediate refinancing needs as most UK corporate debt on fixed rates is due to mature only after 2025 (Bank of England, 2023[23]). Despite a rise in corporate insolvency rates, primarily among small firms with minimal debts, they remain below the long-term average. However, the non-bank financial sector holds more than half of UK corporates' debt (Bank of England, 2023[23]), and requires close monitoring and consideration of adequate action in line with the Financial Stability Board's guidelines to prevent potential transmission of credit defaults from the corporate sector to the financial sector.

Box 1.3. The Bank of England's financial stability interventions after the September 2022 "Mini Budget"

In Autumn 2022, the UK government bond market exhibited extreme volatility following the fiscal statement of 23 September. UK financial assets were severely repriced, particularly affecting long-dated UK government debt. That period saw two daily increases in 30-year gilt yields of more than 35 basis points. Measured over a four-day period, the increase in 30-year gilt yields was more than twice as large as the largest move since 2000, which occurred during the 'dash for cash' in 2020.

The unexpected and unprecedentedly sharp fall in the prices of long-dated gilts held by liability-driven investment (LDI) funds ('LDI funds' refers to leveraged LDI funds and LDI mandates) pushed up their leverage and forced the funds to post additional collateral on their secured borrowing or pay margin calls on derivatives. To meet collateral and margin calls, as well as reduce leverage, LDI funds had to rebalance their portfolios sharply by selling liquid assets or asking their defined benefit pension scheme investors to provide more collateral.

Where this rebalancing could not be achieved quickly enough, LDI funds were forced to sell gilts into an illiquid market. This was a particular problem for many pooled LDI funds, given operational lags and the large number of smaller investors. Forced deleveraging into an illiquid market risked reinforcing the downward pressure on gilt prices. This downward spiral threatened to cause broader market dysfunction and to lead to an unwarranted tightening of financing conditions for businesses and households. The Bank of England's Financial Policy Committee noted the risks to UK financial stability from the dysfunction in the gilt market and recommended that action had to be taken.

On 28 September, the Bank announced a gilt market intervention on financial stability grounds, using temporary and targeted asset purchases to restore market functioning. The aim of this intervention was to temporarily 'support market functioning as a backstop' to buy time for LDI funds to build resilience, thereby reducing risks of contagion to credit conditions to UK households and businesses. On 11 October, inflation-linked gilts ('linkers') were added to these operations. In total, the Bank bought GBP 19.3 billion of gilts between 28 September and 14 October 2022, comprising GBP 12.1 billion of conventional gilts and GBP 7.2 billion of index-linked gilts. These were subsequently sold back to the market in a timely but orderly way, over 12 trading days between 29 November 2022 and 12 January 2023.

Source: Bank of England (2023[25]).

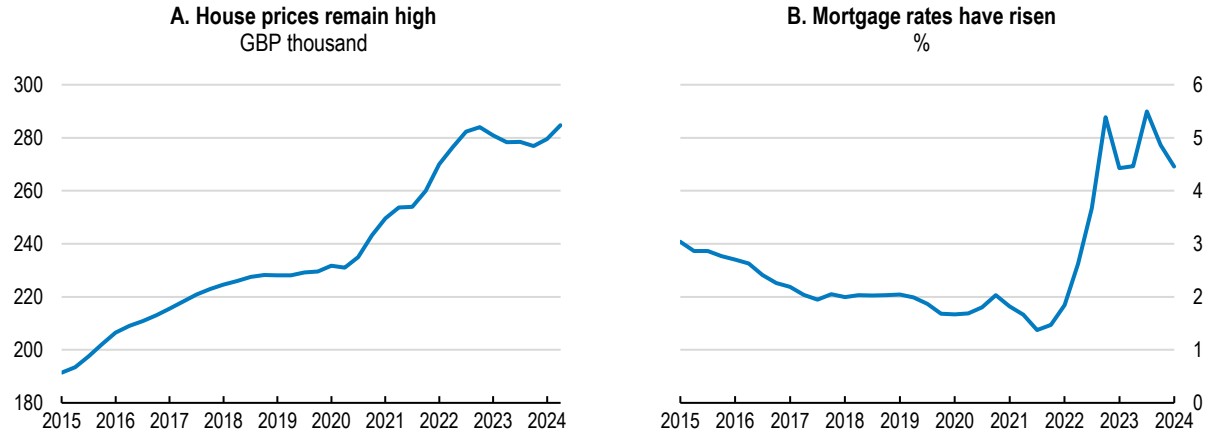
1.3.2. Monitoring housing market developments and mortgage refinancing

Risks arising from the housing market remain contained, but ongoing vigilance is needed. After a slowdown in 2023, house prices increased again to about 24% above pre-pandemic levels by the second quarter of 2024 (Figure 1.9, Panel A). Mortgage approval rates, albeit recovering from their trough in summer 2023, remain slightly below pre-pandemic levels on the back of increased mortgage rates (Figure 1.9, Panel B),

lower real incomes due to the higher cost of living, and high house prices, which have all affected affordability. The full impact of higher financing costs has however not yet passed through to all households, as most mortgages rates in the UK are fixed at 5 years (Bank of England, 2024[26]). Since interest rates began rising in late 2021, about 55% of mortgage accounts have repriced, and higher rates are expected to affect around 5 million households by 2026 (Bank of England, 2023[23]). Given robust capital and profitability, UK banks can offer forbearance and limit repayment increases for borrowers, including by allowing loan refinancing. Thus, borrowers can offset the near-term impact of higher mortgage rates by opting to borrow over longer terms to reduce monthly repayments. New mortgage lending at terms longer than 35 years has increased from around 5% in the first quarter of 2022 to 12% in the third quarter of 2023 (Bank of England, 2023[23]). Regulatory conduct standards for lenders with respect to supporting households in payment difficulties have tightened since the Global Financial Crisis. On 23 June 2023, principal mortgage lenders, the Chancellor and the Financial Conduct Authority (FCA) agreed on new support measures for struggling mortgage holders, providing them with targeted solutions for example by extending the term to reduce their payments or offering a switch to interest only payments for six months without a new affordability check or it affecting the borrower's credit score, but also a range of other options like a temporary payment deferral or part interest-part repayment, which is welcome. The Bank of England should continue to monitor housing market developments and mortgage refinancing closely as high interest rates feed through to households, and buffers to accommodate potential defaults should be maintained.

Figure 1.9. The housing market remains tight

Developments in the UK housing market



Note: Panel A: Quarterly average of monthly seasonal adjusted house prices. Panel B: Quarterly average of monthly interest rate of UK monetary financial institutions (excl. Central Bank) sterling 5 year (75% LTV) fixed rate mortgage to households (in percent) not seasonally adjusted.
Source: HM Land Registry; Bank of England.

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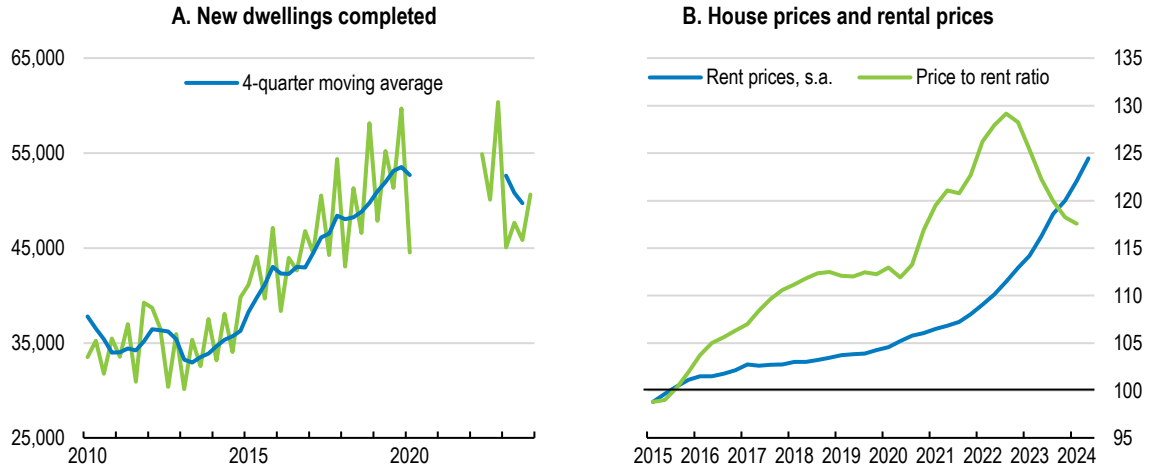
Housing supply continues to lag demand posing affordability challenges. The housing target of 300 000 homes a year by the mid-2020s set by the UK government in 2019 has not been met (Figure 1.10, Panel A). Not only has new housing construction suffered during the pandemic and rising prices in materials following since, but it has also been held back by a complex and inefficient planning system. According to the Competition and Markets Authority (2024[27]) the length, costs and complexity of planning permits have risen over the years and often take a protracted amount of time for builders to navigate before construction can start holding back construction (see Chapter 2). Insufficient housing supply, high house prices and high mortgage rates also reduce affordable housing alternatives for households that rent. The private rental sector covers around 20% of households. Many private landlords finance their investment through mortgage borrowing with around 7% of the total UK housing stock having a buy-to-let mortgage on it comprising around 18% of the overall mortgage market by value (Bank of England, 2023[23]). Many buy-to-let landlords are passing on higher costs to renters, thus given limited supply, renters have

continued to face rapidly rising costs whereas the house price to rent ratio has been falling (Figure 1.10, Panel B). This may pose financial stability risks via sharp household spending cuts or credit defaults and while it is unlikely to test UK banks severely, developments should be monitored.

Figure 1.10. The lack of housing pushes prices up, especially, in the rental market



Source: ONS; OECD Analytical house price indicators.

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Table 1.3. Past recommendations on the housing market

Recommendation in previous *Surveys*	Actions taken since last *Survey*
Monitor the effect of the removal of the affordability test to ensure macroprudential tools remain effective to contain risks from the mortgage market for the UK banking system.	The BoE has closely monitored the removal of the affordability test and has found that risks from the mortgage market due to the removal has not increased.

1.3.3. Continuing to adapt financial supervision to cyber-risks and climate change

The United Kingdom remains a front-runner in stress-testing "non-traditional" risks, such as the effects of cybercrime and climate change. Amidst heightened geopolitical tensions, financial institutions are more exposed to cyber-attacks, which can disrupt the economy and the financial system (Table 1.2).The Bank of England conducted the 2022 Cyber Stress Test to better understand firms' ability to quickly identify the nature of the disruption they faced and to assess potential financial stability impacts. This exercise was an exploratory, voluntary test based on a hypothetical data integrity scenario in retail payments. In March 2024, the Bank's Financial Policy Committee published a macroprudential approach to operational resilience which considered cyber risks (Bank of England, 2024[28]), and a further exploratory cyber stress test has started in Spring 2024, which is exploring firms' capabilities and the potential financial stability impact of a hypothetical scenario involving data integrity disruption to wholesale payments and settlement.

As highlighted in the previous *Economic Survey* (OECD, 2022[6]), the Bank is also leading in assessing climate related risk across the financial system and interactions between banks and insurers. Financial risks from climate change can materialise through physical risks that arise from increasing severity and frequency of climate and weather-related events, such as sea-level rises and floods. These events damage property and other infrastructure, disrupt business supply chains, and impact agricultural output. Early and well managed climate adaptation can lower the potential drag on the profitability of UK banks and insurers due to climate risks (Bank of England, 2021[29]). While the Bank's current frameworks already capture climate-related risks to some extent, including through capital models and credit ratings, risk capture may be incomplete due to difficulties in estimating climate risks. The Bank's data collection on non-traditional risks that could become systemic is welcomed. The BoE should adapt its financial sector regulation and

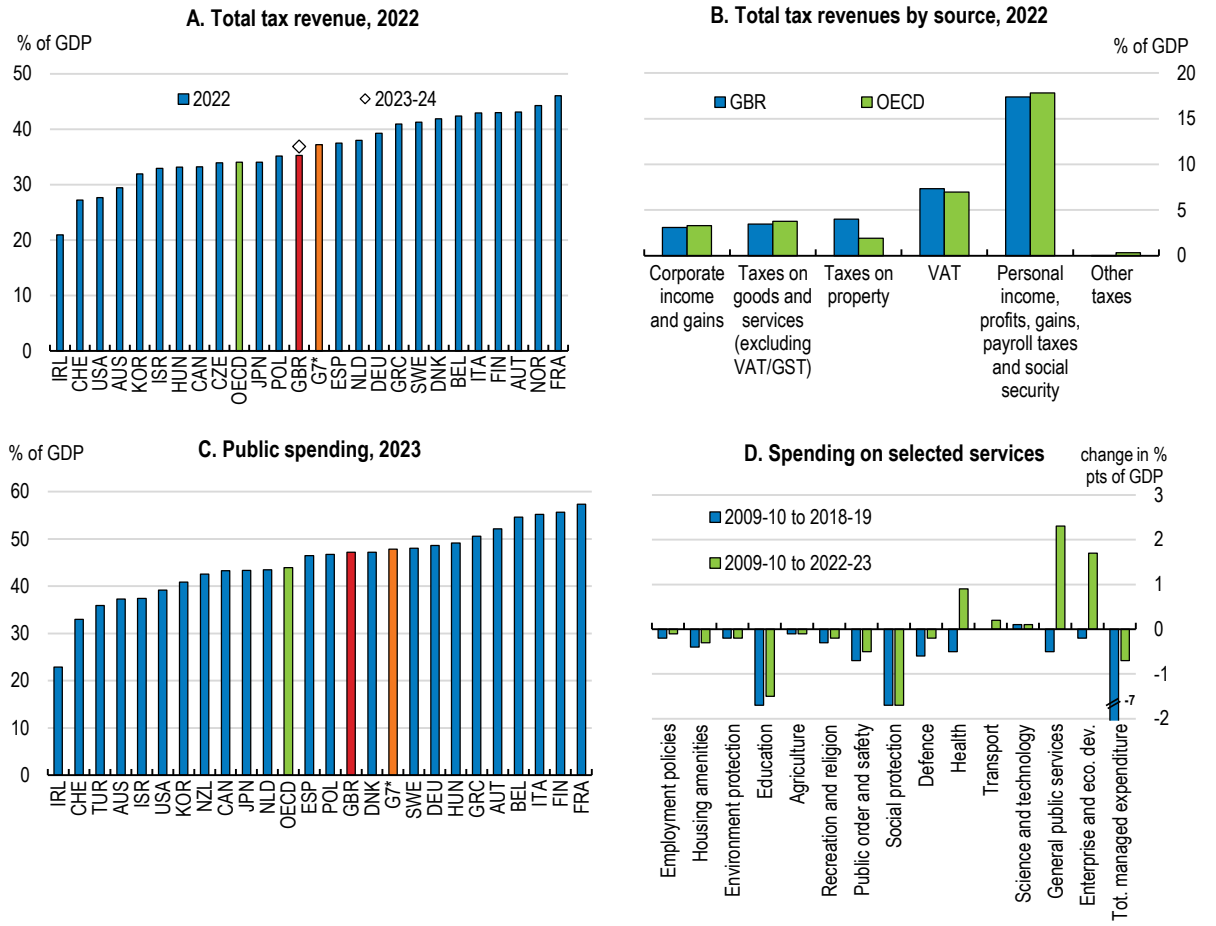
supervision as non-traditional risks and vulnerabilities that could become systemic are uncovered by stress-tests and related activities.

1.4. Prudent fiscal policy is warranted

1.4.1. Fiscal space is constrained

The fiscal stance is restrictive and adequately supports monetary policy. The government's efforts to improve fiscal space are visible in both rising tax revenues and reduced spending. The tax burden and tax revenues have been on the rise (Figure 1.11, Panel A), with a tax mix that broadly aligns with the OECD average (Figure 1.11, Panel B). Higher revenues from frozen personal income tax thresholds are partly offset by the cumulated 4 percentage points cut in the rate of National Insurance Contributions since 2023. Moreover, higher revenues from the 2023 increase in the statutory corporate tax rate partly finance the permanent full expensing of investment in place since April 2023. Public spending as share of GDP is around the OECD average but has declined since the global financial crisis (Figure 1.11, Panel C and D). Thus, despite spending increases on health and on enterprises and economic development during the pandemic and the energy crisis, overall real expenditure decreased. Rising spending on general public services, which includes debt servicing costs, also limits available funding for other departments, including areas important for growth such as education and employment policy, which received less funding than before the global financial crisis (Figure 1.11, Panel D).

Figure 1.11. Revenues increase while spending has decreased



Note: Panels A and C: G7* refers to the G7 average excluding the United Kingdom. Panel A: The value 2023-24 value for the United Kingdom is a preliminary estimate. Panel B: OECD refers to the year 2021.
Source: OECD Tax database; OECD Statistics on National Accounts; OECD Revenue Statistics; ONS, HM Treasury.

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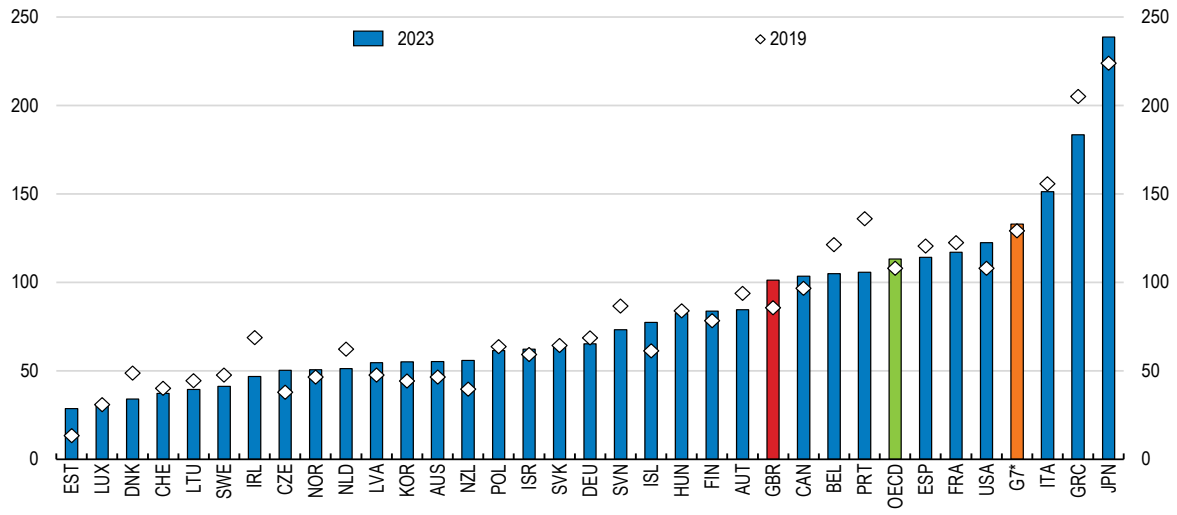
The fiscal stance is appropriate following significant fiscal support during the pandemic and energy price crisis that increased government debt by 15 percentage points between 2019 and 2023. While gross public debt at about 101% of GDP in 2023 is below the OECD average (Figure 1.12), the government finds itself in a difficult position to balance consolidation with public investment and spending needs. With low growth affecting revenues, already low public spending, and increasing debt servicing costs, the government has limited options to restore fiscal space.

Figure 1.12. Debt has increased following the pandemic

Gross government debt, % of GDP



Note: G7* is a simple average of Canada, France, Germany, Italy, Japan and the United States.
Source: OECD Main Economic Indicators (database).

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The new government that came into office in July 2024 is committed to pursue fiscal consolidation over the medium term. Between 2023 and 2025, the fiscal balance is projected to improve by almost 2% of GDP (Table 1.4). In Spring 2024, the government announced to increase the threshold at which the child benefit starts to be tapered away and together with previously announced cuts to National Insurance Contributions, these changes are designed to encourage work. The Office for Budget Responsibility (OBR) estimates that these measures could boost GDP by 0.2% and add an average of GBP 0.7 billion (0.03% of GDP) of receipts each year (Office for Budget Responsibility, 2024[7]). Revenues will also be supported by fiscal drag as income thresholds remain frozen until 2028-29 and tax revenues are set to rise to about 37% of GDP by 2028-29. However, the OBR expects public expenditure to be 2.9% of GDP higher by fiscal year 2028-29 than before the pandemic. This increase is mainly due to the pension triple lock, under which state pensions are increased either by price inflation, average earnings growth or a flat 2.5% rise, whichever is higher, as well as rising health and disability benefit claims, leading to a more than 1% of GDP increase in welfare spending. This is despite a consolidation-driven fall in real departmental spending per population, which will be about 8% lower by 2026-27 than anticipated when spending plans were first set in October 2021 (Office for Budget Responsibility, 2024[7]).

High debt interest payments will continue to weigh on public finances. Almost 9% of total government revenues are set to go towards debt interest costs in the next five years, under the OBR's most recent forecasts, up from an average of 5.5% over the 2000s and 2010s. While recent rapid growth in interest payments on inflation-indexed debt will moderate as inflation eases, high interest rates also entail significant transfers from the UK Treasury to the Bank of England within the Asset Purchase Facility (APF) indemnification arrangement. As of the fourth quarter of 2023, the Treasury had transferred a total

of GBP 38.2 billion (about 1.7% of GDP) to cover APF losses, and is expected to further transfer GBP 37.7 billion by the end of 2024 worsening the general government primary deficit (Figure 1.13).

Table 1.4. Fiscal indicators and projections indicate little room for discretionary fiscal policy

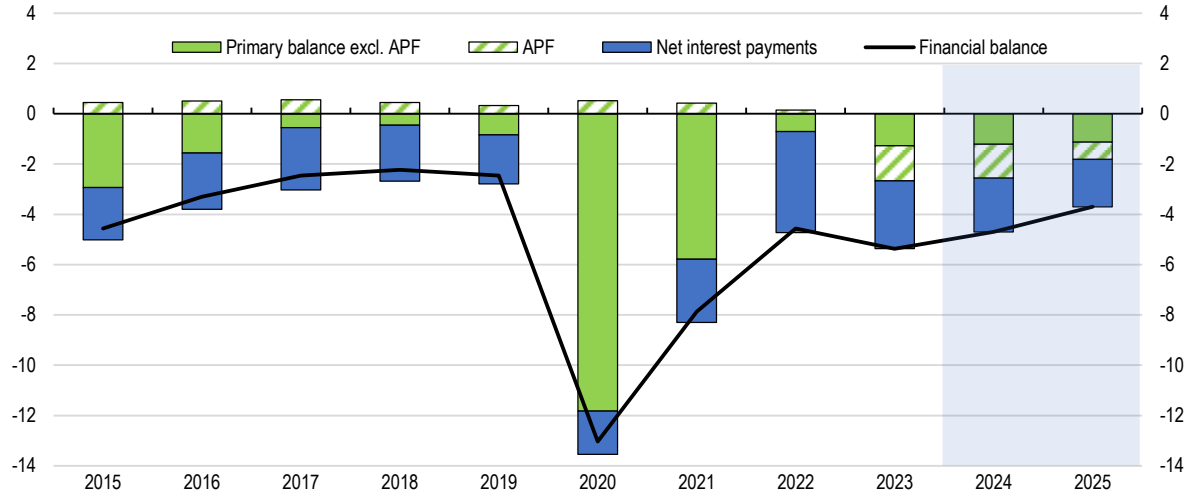
% of GDP

	2021	2022	2023	2024[1]	2025[1]
Spending and revenue					
Total revenue	40.1	41.8	41.2	41.4	41.3
Income tax	15.4	15.8	16.6	16.6	16.6
Social contributions	8.7	8.9	8.6	8.5	8.5
Other receipts	15.9	17.1	16.0	16.2	16.2
Total expenditure	48.0	46.4	46.5	46.1	45.0
Government consumption	22.3	21.0	20.7	21.1	21.1
Social transfers	13.5	12.9	12.9	13.0	13.2
Gross fixed capital formation	3.1	3.1	3.3	3.5	3.5
Gross interest payments	2.7	4.3	3.2	2.7	2.4
Budget balance					
Fiscal balance	-7.9	-4.6	-5.4	-4.7	-3.7
Primary fiscal balance	-5.4	-0.5	-2.7	-2.6	-1.8
Cyclically adjusted fiscal balance[2]	-6.2	-5.0	-5.1	-4.5	-3.5
Underlying primary fiscal balance[2]	-3.8	-0.9	-2.4	-2.3	-1.7
Public debt					
Gross debt	105.2	100.4	101.3	101.2	102.6
Gross financial assets (GBP billion)	780.0	753.8	752.4	782.1	807.7

Note: 1. OECD estimates unless otherwise stated; 2. As a percentage of potential GDP.
Source: OECD Economic Outlook database.

Figure 1.13. Fiscal policy will remain challenging

General government net lending, % of GDP



Note: APF refers to transfers to and from the Bank of England under the Asset Purchase Facility indemnification arrangement.
Source: OECD Economic Outlook database.

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The government's objective to meet its fiscal targets and restoring fiscal space in the medium term is surrounded by significant risks. The OBR estimates that with policies announced in the Spring Budget 2024, the government will meet both of its self-imposed targets by 2028-29, including falling public sector net debt (excluding the Bank of England) as a share of GDP, and public sector net borrowing not exceeding 3% of GDP. However, the fiscal headroom to meet both targets is small and hinges on the assumption that the "temporary" cut in fuel duty, which has been in place since 2011, will be removed. Moreover, the lack of detailed department-by-department spending plans raises doubt on how stated ambitions to increase defence spending to 2.5% of GDP by 2030 with an extra GBP 75 billion spent over the next six years would be implemented without further cutting back other department's spending (Office for Budget Responsibility, 2024[7]; HM Government, 2024[30]). Finding additional resources to support the NHS's efforts to reduce waiting lists for hospital treatment would also come at a cost of other services (Emmerson et al., 2024[31]). In July 2024, the government announced to update the Charter for Budget Responsibility to require spending reviews to be held every two calendar years, and with a minimum horizon of three years (HM Treasury, 2024[32]). This development is welcome as it would ensure that public services delivery is always planned over the medium term.

1.4.2. The current fiscal trajectory is unsustainable in the long term

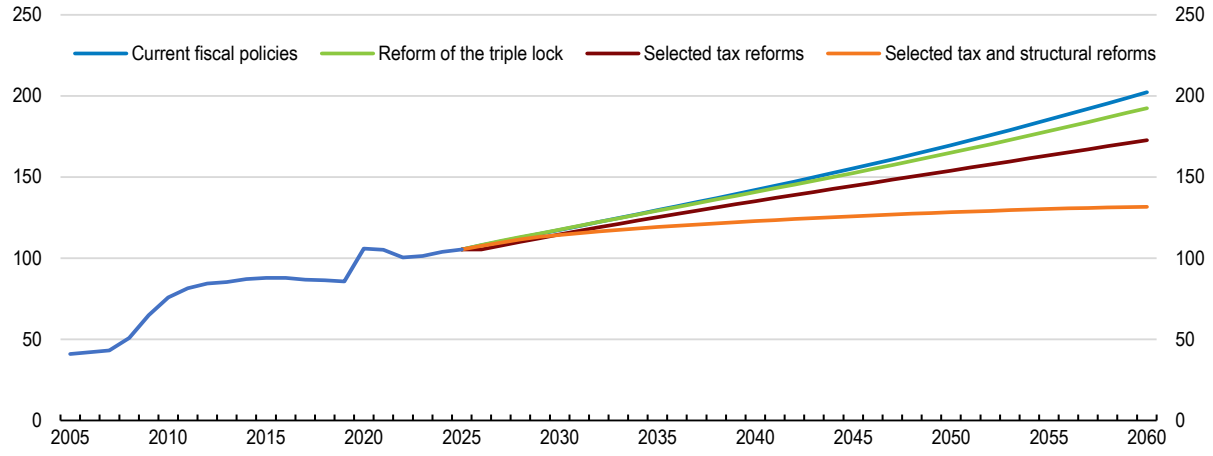
The United Kingdom faces mounting spending pressures related to population ageing, through higher health, long-term care and pension costs, aggravated by needed investments in the green transition, infrastructure, skills and innovation. Moreover, these needs come on top of the current difficult position of high debt, high interest payments and low growth, which raises borrowing cost over time. Illustrative simulations indicate that public debt will increase substantially to around 200% of GDP by 2060 under current policies (Figure 1.14, blue line). This increase is largely driven by rising costs for health and long-term care related to ageing and pensions due to the expensive triple lock as well as significant investment needs to advance the green transition (Office for Budget Responsibility, 2024[7]). Still, the baseline scenario is a lower bound estimate, as spending needs due to climate risks are not accounted for in this simulation. More frequent and more severe weather events such as flooding or heatwaves put a strain on the health system, disrupt infrastructure, increase fiscal costs and insurance payments, and can ultimately lower output and productivity. While the UK government has set out a strategic five-year plan, the Third National Adaptation Programme (NAP3, Box 1.4), to boost resilience and protect people, homes, businesses, and cultural heritage against climate change risks , the Climate Change Committee judges the implementation of adaptation to be at an insufficient scale (Climate Change Committee, 2023[33]). As better adaptation will also benefit the resilience of public finances, it remains important that the government strengthens its efforts to prepare for climate risks facing the United Kingdom. This should include improved governance across levels and sectors to accommodate cross-sectoral impacts of severe climate events, sufficient investment to manage the scale of future climate risks and advancing the monitoring and evaluation framework.

Significant action is needed to stabilise public debt over the longer term. To achieve a stable debt trajectory, the primary balance would need to be on average in surplus of 0.8% of GDP throughout the projection period. This is a sizable shift from the pre-pandemic period when the debt stabilising primary balance was -2.5% of GDP (Office for Budget Responsibility, 2023[34]). Hence, immediate actions to increase revenue and manage expenditures are crucial. As outlined above and illustrated in the previous *Economic Survey* (OECD, 2022[6]), there remains little room for further cuts to public services after a decade of spending cuts in real terms. However, spending related to the triple lock for state pensions could be reduced. Thus, the triple lock is expected to add about 8% of GDP to public debt by 2072-73 (Office for Budget Responsibility, 2023[34]), despite the gradual increase of the retirement age to 67 years by 2028. Replacing the triple lock with the indexation of pensions to an average of CPI and wage inflation and providing direct transfers to poor pensioners to mitigate poverty risks as recommended in the previous *Economic Surveys* (OECD, 2022[6]; OECD, 2020[10]) would help to contain public debt somewhat

(Figure 1.14, green line). On the revenue side, there is scope to mobilise additional revenues in a more efficient and progressive way, as discussed below. In addition to selected tax reforms that would help to improve the primary balance (Figure 1.14, dark red line), structural reforms to boost growth by increasing labour supply and stimulating productivity-enhancing investment could put debt towards a more stable path (Figure 1.14, orange line).

Figure 1.14. Reforms are needed to stabilise public debt

Gross government debt, % of GDP



Note: The Baseline scenario assumes current fiscal policies, average GDP growth of about 1.6% over the simulation horizon, and a deterioration in the primary balance from not offsetting health and long-term and pension-related spending; the Triple Lock Reform scenario assumes an improvement in the primary balance compared to the Baseline scenario due to savings from indexing pensions to an average of CPI and wage inflation; the Selected Tax Reforms scenario assumes a gradual improvement in the primary balance over a 5-year horizon from improved tax compliance and unfreezing the fuel duty; the Selected Tax and Structural Reforms scenario further assumes a gradual 0.5% increase in labour supply over a 5-year horizon and a gradual increase in productivity enhancing investment to G7 average, as described in Table 1.5.
Source: Simulations based on the OECD Economics Department Long-Term Model.

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Box 1.4. The Third UK National Adaptation Programme

The Third UK National Adaptation Programme (NAP3) outlines the key actions for 2023-2028 that the UK government and other stakeholders will take to adapt to climate, in response to the Third Climate Change Risk Assessment (CCRA3). The programme is part of a statutory cycle under the Climate Change Act 2008, which mandates the government to assess climate risks and plan adaptation measures every five years.

NAP3 focuses on several key areas:

- Protecting the Natural Environment: Efforts include enhancing flood defences, promoting nature-based solutions, and supporting biodiversity through schemes like the Nature for Climate Fund and Environmental Land Management schemes.
- Supporting Businesses and Infrastructure: This involves adapting critical infrastructure such as electricity networks and railways to withstand climate impacts and promoting resilient construction practices. The NAP3 also includes strategies to help businesses to understand and adapt to the risks and opportunities presented by climate change.
- Public Health and Communities: Measures include addressing overheating in schools and hospitals, ensuring resilient water supplies, and protecting vulnerable populations from climate-related health risks.

- Mitigating International Impacts: The plan considers the global interconnectedness of supply chains and includes strategies to safeguard food and other imports from climate disruptions.
- Local and Regional Efforts: Collaboration with devolved governments (Scotland, Wales, and Northern Ireland) ensures region-specific adaptation plans. Local authorities are also engaged through initiatives like the Local Authority Climate Service pilot scheme, providing localized climate data and support.

Overall, NAP3 emphasizes building a resilient economy and society by investing in adaptation research, enhancing infrastructure, and implementing sustainable land and water management practices.

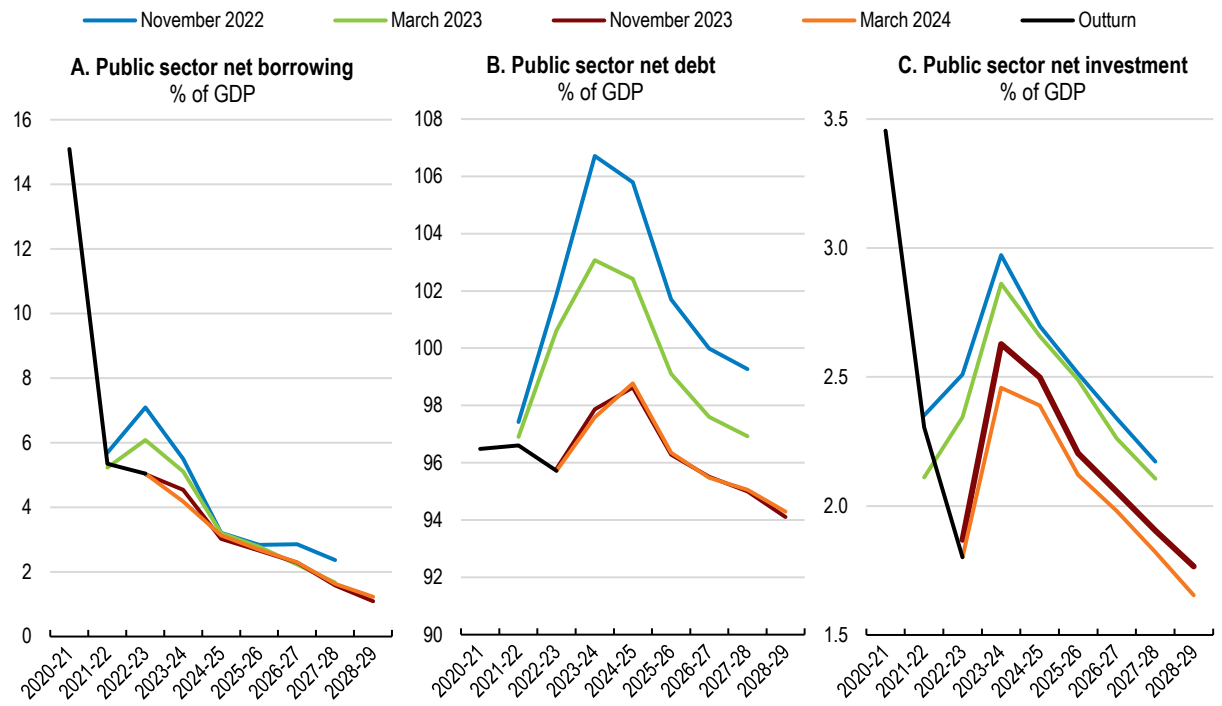
Source: HM Government (2023[35]); UK Department for Environment, Food & Rural Affaires (2024[36]).

1.4.3. Refining the fiscal framework to better support debt management

The UK fiscal framework is in general stable and features strong institutions, but current fiscal rules within the framework may lead to short-termism and to a trend deterioration of public finances. Since Autumn 2022, the two main targets are falling public sector net debt excluding the Bank of England as a share of GDP, and public sector net borrowing not exceeding 3% of GDP, which are both defined as rolling targets to be achieved in the fifth year of the OBR forecast. The current targets are looser than the ones they replaced, as they are focusing on the fifth year, rather than the third year, of the forecast period (OECD, 2022[6]). Moreover, the actual date for meeting a rolling target never arrives by construction, which at each point in time creates strong incentives to implement looser fiscal policy in the near years and postpone consolidation (Figure 1.15). The government could consider shortening the time horizon of its fiscal rules, while also better defining escape clauses to accommodate economic shocks outside government control, by setting clear conditions for when to suspend the rules and when they should be reactivated. Clear guidelines for the government to invoke escape clauses rather than changing the fiscal rules, as frequently done over the past years (UK House of Commons, 2024[37]), would ultimately strengthen the credibility of the framework.

The timing and horizon of the fiscal rules entail sub-optimal fiscal policy, as they impede large-scale public investment with longer planning horizons. Focusing the assessment of fiscal sustainability solely on rules based on a five-year window does not allow for public investment to feed through into the supply side of the economy and drive-up income. Since investment is treated in the same way as current spending, resources allocated to public investment often end up as the adjustment variable to meet fiscal rules, resulting in inefficiently low levels of productivity-enhancing public investment and significant delays in approved investment projects (Resolution Foundation & Centre for Economic Performance, LSE, 2023[38]). Budgeted public investment as a share of GDP kept being lowered in successive fiscal events (Figure 1.15, Panel C), even as GDP forecasts were revised down. Government spending plans set out in the 2024 Spring Budget imply a significant cut to public investment over the coming decade according to the Institute of Fiscal Studies (Emmerson et al., 2024[31]). As public investment is already low compared to OECD peers (OECD, 2022[6]), this will have important repercussions on the ability to maintain public infrastructure and to create the necessary signal to raise complementary private investment (National Infrastructure Commission, 2023[39]). The OBR has estimated that new public investment of around 0.4% of GDP is needed each year by the end of the decade to meet the investment needs for the green transition alone (Office for Budget Responsibility, 2023[34]), and more is needed to renew or replace existing infrastructure (OECD, 2022[6]).

Figure 1.15. Public investment is squeezed to meet fiscal rules



Note: Fiscal rules for March 2021 and March 2022 aimed for public sector net debt as share of GDP falling after 3 years, and to balance the current budget by the third year of the rolling forecast period.
Source: OBR Fiscal Forecast – March 2024.

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Public investment should be prioritised based on rigorous cost-benefit analysis and decisions regarding these investments should be outlined in stable medium-term plans. This would improve planning certainty, which can also provide necessary assurance for private investment. The government should prioritise productivity-enhancing public investment within fiscal rules (see e.g. Box 1.5). The current fiscal rule, based on debt falling as a share of national income over the longer term, has its merits in terms of reduced complexity and easy communication. But only focussing on one side of the government balance sheet by looking at liabilities (debt), and not at assets, might be misleading when assessing debt sustainability. Including a measure such as public sector net worth, that provides a broader measure of public debt sustainability, inclusive of what the government owns and what it owes, as part of a broader range of fiscal metrics could help to better judge the sustainability of debt. It would provide a broader and more comprehensive picture of the public finances and could strengthen the incentive for governments to focus on investing in high-quality projects. However, as government assets often cannot be easily sold, public sector net worth does not provide information about the government's ability to service its debt. It should therefore just be considered as complementary information.

The United Kingdom has strong fiscal institutions, which could be leveraged more effectively to further raise credibility. The OBR is generally commissioned by the Chancellor to prepare fiscal and economic forecasts twice a year to accompany fiscal events (OECD, 2019[40]). Under current legal requirements, the OBR must condition its forecast on stated policies that reflect budgetary policy decisions at the fiscal event, irrespective of the sometimes-unrealistic budgeting assumptions. For example, the OBR notes that its forecast relies on the seldom-implemented indexation of fuel duty (Office for Budget Responsibility, 2024[7]). Such arrangement insures the fiscal watchdog's impartiality. However, forecast evaluations regularly conducted by the OBR indicate a general trend to overestimate real GDP growth and a tendency to underestimate the medium-term level of government spending leading to lower government borrowing (Office for Budget Responsibility, 2023[41]). Changing the legal requirement to include a forecast on debt

development and fiscal headroom based on a "no policy change" scenario would allow to compare new policy measures to current tax and spending policies, giving a more transparent overview of the benefits and costs of new policy. Rather than focussing solely on compliance with fiscal rules, a requirement to assess the overall fiscal stance could also be introduced, as is for example the case in Ireland, where the fiscal council assesses the government's overall fiscal stance, its macroeconomic and fiscal forecasts, and its compliance with fiscal rules (OECD, 2022[42]).

Box 1.5. Treatment of capital expenditure in fiscal rules – The examples of Denmark and the Netherlands

Denmark's fiscal framework allows for a structured approach to handling capital expenditures, with several key elements:

- Medium-Term Budgetary Framework (MTBF): Denmark's MTBF sets expenditure ceilings for central government, regions, and municipalities, usually for four years in advance. This framework includes capital expenditures but provides flexibility to prioritize and manage them within the overall limits.
- Flexibility within Expenditure Ceilings: The expenditure ceilings are designed to ensure fiscal discipline but are periodically reviewed to allow adjustments based on economic conditions and investment needs. This provides a framework within which capital expenditures can be planned and executed effectively.
- Regular Reviews and Adjustments: The government conducts regular reviews and adjustments of the expenditure ceilings to respond to economic changes and investment requirements, ensuring that capital expenditures remain aligned with fiscal policy goals.

The Dutch fiscal framework has provisions that distinguish between current expenditures and capital expenditures, allowing for borrowing specifically for public investment while requiring that current expenditures are to be covered by revenues. This means that the government can borrow to finance investments in infrastructure, education, and other long-term projects without violating fiscal rules.

- Medium-Term Budgetary Framework (MTBF): The Dutch government employs a medium-term budgetary framework with multi-year expenditure ceilings. There is flexibility to allocate resources for capital expenditures over several years to ensure effective planning and management of public investments.
- Investment Ceiling: Investment expenditure of a one-off nature that takes place over several years is not controlled annually by means of the expenditure ceiling, but falls under the investment ceiling. Expenditure covered by this investment ceiling can be shifted to future years if a project is delayed, as long as it complies with European budget rules.
- Investment Prioritisation: Public investment projects are prioritized based on their economic and social impact. The government evaluates the expected returns and benefits of each investment to ensure that resources are allocated efficiently and effectively.
- Debt Sustainability: While borrowing for public investment is allowed, the Dutch fiscal rules ensure that overall debt levels remain sustainable. The government aims to keep debt within certain limits to maintain fiscal stability and prevent excessive borrowing.
- Transparency and Accountability: The Dutch government publishes regular reports on public finances, including information on borrowing and public investment. This transparency ensures that the public and policymakers are informed about the government's investment decisions and their impact on fiscal sustainability.

Source: OECD (2019[43]; 2024[44]); Danish Ministry of Finance (2024[45]; Danish Ministry of Finance, 2014[46]); Dutch Ministry of Finance (2022[47]; 2012[48]); Vierke and Masselink (2017[49]).

1.4.4. Improving public finances calls for reforms on the revenue side

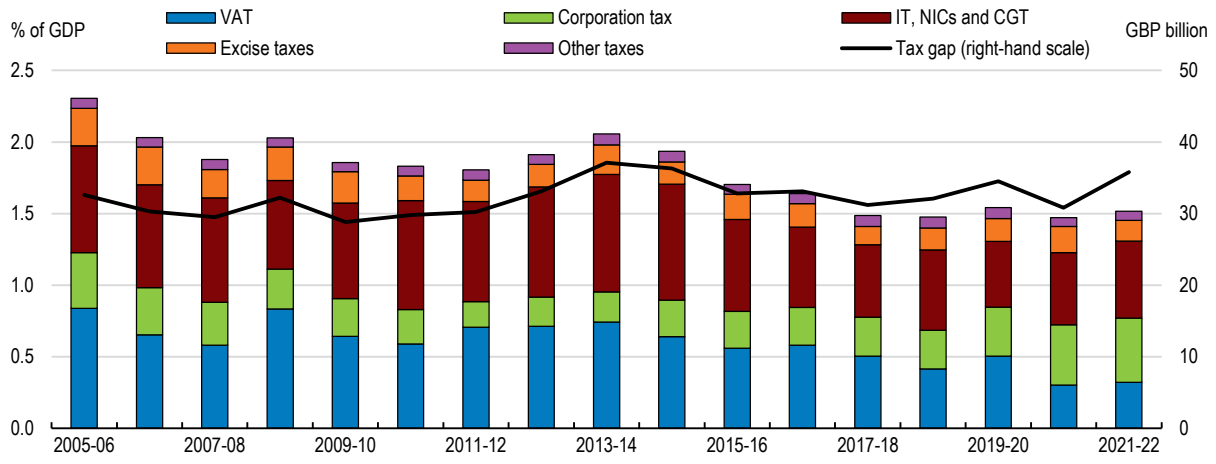
The government faces a tight fiscal environment as low growth weighs on revenues, substantial spending on debt interest, and limited room to cut public spending. Although the tax burden on households and businesses has increased, it is lower than in G7 and large European economies (see above), and even with the expected rise towards a post-war high of about 37% of GDP by 2028-29 it will remain in line with G7 countries (Office for Budget Responsibility, 2024[7]). While raising taxes will help to finance necessary spending, the government has to shift to solutions that make the tax system fairer and more effective to avoid unnecessary economic distortions, in particular with respect to investment and labour supply.

Raising compliance through a less complex tax system

Compliance with tax payments has improved, but could be further enhanced. The government has made significant advances in increasing compliance and reducing the tax gap, which measures the difference between tax collected and the total amount of tax that should, in theory, be collected if individuals and businesses paid all due tax. The tax gap as share of GDP fell from 2.3% in 2005-06 to 1.5% in 2021-22 (Figure 1.16, Panel C). About two-thirds of the reduction came from greater compliance in paying VAT, owing to the declining use of cash and several measures introduced by HM Revenue and Customs department (HMRC) to reduce the VAT tax gap. The corporation tax gap has however increased from a low of 0.2% of GDP in 2011-12 to 0.4% in 2021-22 largely driven by small businesses (HM Revenue and Customs, 2023[50]). It is welcome that HMRC has introduced support for small businesses to navigate the tax system. Capacity issues in the HMRC to provide customer service and to collect tax debts are a growing issue as frozen tax thresholds increase the number of taxpayers (Office for Budget Responsibility, 2024[7]). It is therefore a positive step that the government has announced further investments to address non-compliance, including in HMRC's capacity to collect tax debts, in its Spring Budget 2024 (HM Treasury, 2023[3]).

Figure 1.16. Continuing progress in reducing the tax compliance gap is needed

Tax gap



Note: The tax gap estimates only cover the taxes administered by HMRC, so they exclude any taxes and duties administered elsewhere, such as council tax, business rates (property taxation of businesses) and vehicle excise duty, as well as charges such as the congestion charge.IT, NICs and CGT stand for Income Tax, National Insurance Contributions and Capital Gains Tax, respectively.
Source: OECD Tax database, Office for Budget Responsibility (2024[8]).

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Streamlining the tax system could increase compliance and efficiency. Parts of the UK tax system are complex, leading to large compliance costs. For example, the tax system features more than

300 non-structural reliefs, accounting for about a fourth of all tax revenue in 2022-23, which are reliefs designed to help or encourage specific types of individuals, activities, or products to achieve economic or social objectives (HM Revenue and Customs, 2024[51]). The Treasury and HM Revenue and Customs made important improvements, including publishing the objectives for non-structural reliefs in 2021 and increasing the number of relief with published cost estimates, and started to provide high level commentary on movements in the cost of significant reliefs (National Audit Office, 2024[52]; HM Revenue and Customs, 2024[51]). Non-structural reliefs should be evaluated and phased out if they only have limited impact, run counter to overarching government objectives or constitute an inefficient way to achieve their stated objective. The government should consider reinstating the Office for Tax Simplification, which was closed following the September 2022 Mini-Budget.

Raising revenues through a fairer and more efficient tax system

The government should conduct a comprehensive tax review that goes beyond costing reliefs to identify ways to make the tax system fairer, reduce distortions and close loopholes. Regularly conducting tax expenditure reviews, as for example done in Canada (Government of Canada, 2024[53]), could help identify inefficiencies in taxation. Potential reforms have been highlighted in the chapters of this Survey and previous *Economic Surveys*, and could include:

- Updating council tax and removing stamp duty land tax: The council tax bands in England are based on property values in 1991, in Scotland on property values in 1995 and in Wales on slightly more recent property values in 2003. Thus, every property in England is assigned to one of eight valuation bands ranging from A to H, based on its estimated capital value as of April 1991. Each local authority in England determines the overall council tax level in their jurisdiction by setting a rate for properties in Band D, which is then used to calculate the tax rates for properties in other bands as proportions of the Band D rate (Xu et al., 2020[54]). Updating the property values that determine the amount due for council tax and adjusting thresholds for higher property values should be a first step (OECD, 2020[10]; 2017[11]; 2022[6]). Council tax, along with central government grants, serves as a key funding source for local authorities. As property values evolved differently across England since 1991, updating these values will result in some local authorities receiving increased revenues from council tax, while others will see a decrease in received revenues (Xu et al., 2020[54]). As such, the effects of updating property values on local authority funding should be carefully monitored. Adjustments in complementary central government grants might be necessary if these updates exacerbate inequalities between local authorities. To make the system fairer and less distortive, the government could consider moving towards a more proportional system by introducing more valuation bands or even fully moving towards a proportional system where the tax on a property is determined based on its current value, rather than being assigned to a fixed band. The government could further consider removing stamp duty land tax, which is a tax paid by the buyer of a UK residential property. The amount to be paid depends on the price paid for the property, and whether the buyer is a first-time buyer or owns multiple homes. As such, stamp duty land tax can discourage people to move for better job prospects or to downsize during retirement hampering the reallocation of housing in a tight market.
- Broadening the VAT base: Non-structural reliefs in the VAT system created a revenue shortfall in 2022-23 of about GBP 70 billion (HM Revenue and Customs, 2024[51]), in addition to a GBP 20 billion revenue shortfall in structural reliefs (HM Revenue and Customs, 2023[55]). Zero- and reduced-rates for goods such as food, children's clothing and domestic fuel are often justified on distributional grounds but are poorly targeted at helping those on low incomes. Similarly, the VAT reduction on domestic fuel and power meant to reduce costs on individual's energy bills is poorly targeted and has had a fiscal cost of 0.35% of GDP in 2022-23 (and 0.2% of GDP before the energy price crisis) (HM Revenue and Customs, 2024[51]). While lower income households indeed spend a higher share of their income on energy use, better off households tend to have an

overall higher energy consumption in absolute terms (ONS, 2023[56]). Moreover, this VAT reduction disincentivises investment in decarbonised heat solutions (Chapter 3) and runs counter the overall objective to transition to net zero. Broadening the VAT base by reducing or eliminating the zero and reduced-rates on domestic consumption while compensating poorer households through the universal credit system could help to reduce distortions and make the tax system more efficient and effective.

- Simplify the income tax system: The current income tax system creates several distortions deterring labour supply. As discussed in Chapter 4, bumps in the marginal income tax rate could deter individuals from increasing working hours. Frozen thresholds disadvantage particularly people at the lower end of the income distribution and should be gradually removed. Moreover, National Insurance Contributions between self-employed and employed could be further aligned.
- Reduce interest tax deductibility within the corporate tax system: As discussed in Chapter 2, the corporate tax system allows interest payments to be deducted against corporation tax, up to a limit of GBP 2 million a year. This encourages firms to finance themselves with debt rather than equity and can make unprofitable investments viable by the tax system which is exacerbated when combined with full expensing of new investment.
- As discussed in the previous *Economic Survey* (OECD, 2022[6]), implementing well-designed carbon taxes can help finance necessary green investments, offset negative distributional effects of carbon pricing and help secure public acceptance.

Several proposed reforms could further be designed in a revenue neutral way as illustrated in Box 1.6, such as reforming council tax or extending full expensing to all capital but restrict debt interest deductibility. Some of the proposed reforms should be accompanied by compensation for poorer households as outlined above, but gains are likely to outweigh additional costs. Changes to the tax system should follow an in-depth tax review with a strategic focus on making the tax system fairer and less complex in the medium term.

Box 1.6. Quantification of the impact of selected recommendations

This box summarises potential long-term impacts of selected recommendations included in this Survey on GDP (Table 1.5) and the fiscal balance (Table 1.6). The quantified impacts are merely illustrative. The estimated fiscal effects include only the direct impact and exclude behavioural responses that may occur due to policy change.

Table 1.5. Illustrative GDP impact of selected structural reforms

Policy areas	Scenarios	GDP impacts
Stimulate business investment	Measures that increase business investment to the G7 average, including expansion of full expensing, planning reforms, improved access to finance for small and innovate firms, stable policy environment.	+0.4% points in GDP per capita after 5 years +0.9% points in GDP per capita in the long run
Boost labour supply	Labour supply gradually increases by 0.5% over a 5-year horizon, including about 0.25% through unfreezing National Insurance Contributions thresholds from 2025/26; about 0.05% through activating 10% of the yearly long-term sickness inflow; and about 0.15% through gradually substituting 50% of apprenticeships used for current staff with apprenticeships for young low-skill people.	+0.4% points in GDP after 5 years +0.5% points in GDP in the long run

Note: The quantification impacts are merely illustrative. While recommended reforms in this Survey have budget and GDP implications, not all can be quantified due to model limitations.
Source: OECD calculations based on the framework in Égert (2018[57]) and the OECD long-term model.

Table 1.6. Illustrative fiscal impact of selected recommendations

Fiscal recommendation	Estimated impact (% of GDP)
Spending side (on fiscal deficit)	
Reform the triple lock by indexing pensions to an average of CPI and wage inflation	-0.2
Support households with energy efficiency improvements (additional GBP 25 billion over the next 5 years)	+0.2
Align unemployment and incapacity benefits, by increasing universal credit by 10%	+0.2
Extend full childcare support to active jobseekers	<+0.05
Increase funding rates for classroom-based adult training by 20%	<+0.05
Total spending side (on fiscal deficit)	***+0.2***
Revenue side (on fiscal balance)	
Broadening the VAT base to the level of the OECD average keeping the standard rate while compensating poorer households through the universal credit system	Neutral/+
Aligning national insurance contributions between self-employed and employed by raising national insurance contributions for high income self-employed.	+0.5
Reform council tax	+0.4/neutral (depending on design)
Unfreeze fuel duty	+0.1
Gains from increasing tax compliance and lowering the tax gap by a quarter	+0.4
Expand qualifying assets under full expensing while reducing interest deductibility from corporate income	Neutral
Expanding the emissions trading scheme and/or implementing well-designed carbon taxes covering fuel for heating	positive
Index National Insurance Contributions thresholds to inflation from Fiscal Year 2025/26.	-0.1
Abolish the High-Income Child Benefit Charge and offset the fiscal cost by raising the Higher Rate for income tax.	Neutral
Cut the main home stamp duty rates	-0.2
Total revenue side (fiscal balance, assuming neutral reforms where indicated)	***+0.7***
Resulting change in primary balance	**+0.5**

Note: These estimates are subject to a wide margin of error. They do not represent the actual gain as they do not take account behavioural effects and the impact does not account for the change in GDP. Reforming council tax: Depending on design, could be revenue neutral or enhancing, i.e., doubling the rates for bands F, G, H and E as suggested in OECD 2020. Not all reforms recommended in this survey can be quantified due to model limitations.
Source: OECD calculations based on the OECD Economics Department's long-term model; UK government (2023), Direct Effects of Illustrative tax changes https://www.gov.uk/government/statistics/direct-effects-of-illustrative-tax-changes/direct-effects-of-illustrative-tax-changes-bulletin-january-2023, IFS.

Table 1.7. Past recommendations on fiscal policy

Recommendation in previous *Surveys*	Actions taken since last *Survey*
Replace the state pensions triple lock by indexing pensions to an average of CPI and wage inflation and provide direct transfers to poor pensioners to mitigate poverty risks.	No action taken.
Make council tax fairer by adjusting thresholds for higher property values and by updating property valuation.	No action taken.
Broaden the tax base by phasing out inefficient and regressive exemptions, for example by removing partial VAT exemptions.	The Treasury and HM Revenue and Customs started publishing the objectives for non-structural reliefs and started to estimate costs.
Reduce the gap between the rates of National Insurance Contributions between employed and self-employed people.	No action taken.

Table 1.8. Findings and recommendations on macroeconomic developments and policy challenges

Findings	Recommendations (Key recommendations in bold)
Monetary policy and financial stability	
Headline inflation has been slowing towards the 2% target. Core inflation has been stickier as wage-driven underlying price pressures persist.	**Maintain the data-dependent restrictive monetary policy stance until inflation is durably around the 2% target.**
The Bank of England's Monetary Policy Committee (MPC) increased the pace of quantitative tightening, aiming to reduce the stock of UK government bonds purchased by GBP 100 billion. Quantitative tightening and policy rate reductions could potentially have opposing impacts on long-term yields and financial conditions more generally.	The Bank of England's MPC should continue to clearly communicate its strategy to guide markets and to reduce uncertainty.
The banking system has maintained capitalisation and liquidity positions well above prudential requirements. The Bank of England gradually built-up of the counter cyclical buffer (CCyB) and raised it to a neutral setting of 2% in July 2023.	Continue to closely monitor credit default developments and adjust the counter cyclical buffer in line with credit conditions and financial stability risks.
High interest rates create vulnerabilities in the non-bank financial sector, which accounts for around half of total financial sector assets and holds more than half of UK corporate debt. But the interconnectedness of actors is not fully understood yet.	**Closely monitor the non-bank financial sector and consider adequate action to prevent potential transmission of credit defaults from the corporate sector to the financial sector**. Advance the system-wide exploratory scenario as a toolkit by continuing to close data gaps to better understand and address vulnerabilities in market-based finance.
The full impact of higher financing costs has not yet passed through to all households, as most mortgages rates in the UK are fixed at 5 years.	Continue to closely monitor housing market developments and mortgage refinancing, and maintain buffers to accommodate potential defaults.
Higher costs for buy-to-let mortgages are passed through from landlords to tenants leading to rapidly rising prices in the rental market.	Closely monitor developments in the rental market and continue to evaluate the risk from this market segment.
Addressing fiscal challenges	
High interest rates to contain inflation, combined with low real GDP growth and high public debt limit fiscal space.	**Pursue a restrictive fiscal stance over the short term to support inflation falling durably to the inflation target.**
The fiscal rules may lead to short-termism and to a trend deterioration of public finances. Current rules provide clear guidance about the medium-term plan for returning to debt sustainability. But the rolling target window leads to sub-optimal fiscal policy and works against long-horizon public investment. Fiscal rules have changed frequently over the past years**.**	**Shorten the time horizon of fiscal rules and define escape clauses with clear conditions under which fiscal rules can be suspended and reactivated.** Adapt fiscal priorities to encourager productivity enhancing investment.
Fiscal institutions are strong, but legal requirements imply the OBR needs to condition its forecast on stated policies reduce transparency and weigh on credibility.	Mandate the OBR to add a forecast for debt scenarios on a "no policy change" scenario as a baseline for comparing new policy measures. Introduce a requirement to assess the overall fiscal stance beyond compliance with fiscal rules.
The UK faces mounting spending pressures related to population ageing, aggravated by needed investments in the green transition, infrastructure, skills and innovation. There is scope to improve the efficiency and fairness of the tax system. Tax compliance has decreased, especially for smaller businesses with less capacity to navigate the system. Strengthening tax revenues can help to safeguard fiscal sustainability in the medium- to long-term as spending pressures increase.	**Conduct an in-depth tax review to make the tax system more efficient by reducing distortions, closing loopholes, and ending reliefs and exemptions that do not serve economic or social objectives.** Regularly conduct tax expenditure reviews. Raise more revenues from recurrent taxes on property by adjusting thresholds for higher property values and by updating property valuation. Broaden the VAT base by phasing out exemptions and compensate low income households through targeted transfers. Reduce the gap between the rates of National Insurance Contributions between employed and self-employed people. Replace the state pensions triple lock by indexing pensions to an average of CPI and wage inflation and provide direct transfers to poor pensioners to mitigate poverty risks.
Trade following the EU exit	
UK trade intensity has been lagging OECD peers driven by deteriorating trade in goods. The EU remains a main trading partner, but non-tariff barriers added to slow growing trade of goods since the pandemic. Trade of services has been resilient.	Continue reducing non-tariff barriers for EU-UK trade in goods and improve mutual market access for services.
The United Kingdom and the European Union have made important advances by agreeing to the Windsor Framework agreement, which restores the free flow of goods between Great Britain and Northern Ireland.	Ensure that expansion of movement of all goods between Great Britain and Northern Ireland advances according to the timeline.

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2 Enhancing business investment to lift productivity

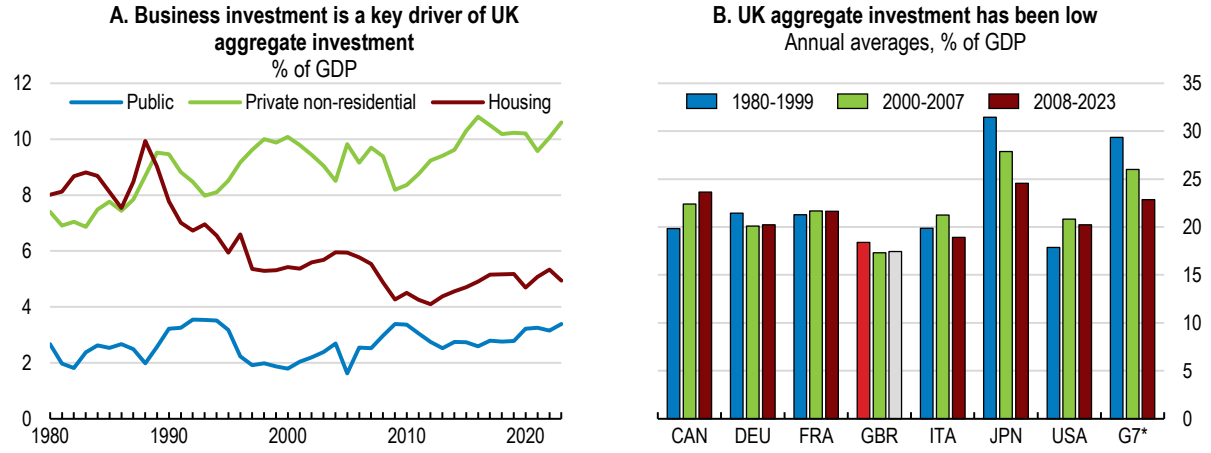
Daniela Glocker, OECD.

Years of low investment have contributed to sluggish productivity growth in the United Kingdom. Businesses have not sufficiently increased their investment to make labour more efficient partly due to uncertainty from subsequent economic shocks and frequent policy changes. Given fiscal constraints, it is crucial to foster a conducive environment for business investment. While the UK government has taken several steps to support business investment, further changes are required to planning regulation, tax policies, and better access to finance for smaller businesses with policies outlined in a long-term transparent strategy to increase certainty for businesses.

2.1. Low investment has been holding back UK's productivity

Weak investment has contributed to lacklustre productivity gains since the global financial crisis. Slowing productivity growth was experienced across a range of OECD countries (OECD, 2022[1]), but compared to other countries was driven by a sharper drop in capital accumulation in the United Kingdom (Van Reenen and Yang, 2023[2]). Although business investment has picked up in 2023 and contributed most to aggregate UK investment at around 11% of GDP (Figure 2.1, Panel A), businesses have been lagging their peers for years in investing in physical capital, innovation or new processes that would make labour more productive as discussed in the last *OECD Economic Survey* (OECD, 2022[1]). Complemented by low housing and public investment, aggregate investment continues to remain low by international comparison (Figure 2.1, Panel B). Public investment can increase the cost-effectiveness of business investment, for example through infrastructure providing better access to markets, but fiscal constraints highlight the necessity of stimulating business investment to increase the supply capacity of the economy.

Figure 2.1. Investment has been lower than in peer countries



Note: Panel B: G7* refers to the G7 average excluding the United Kingdom.
Source: OECD Economic Outlook database.

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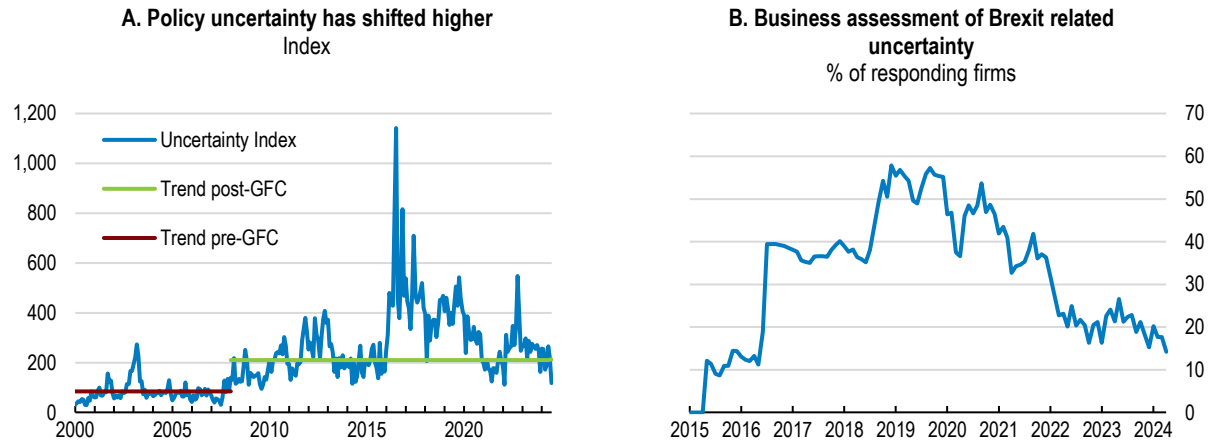
Low business investment in the United Kingdom reflects structural and cyclical barriers. Despite low interest rates and easy financing conditions in the decade between the global financial crisis and the pandemic, the recovery in business investment stalled with the Brexit referendum in 2016 (Figure 2.1, Panel A). The tightening of credit conditions following the energy price crisis (Chapter 1) has made it essential to prevent structural factors from further weakening investment incentives.

Raising private investment is a government priority and the United Kingdom benefits from a regulatory framework that is generally supportive of businesses. This includes lean business regulations, a business-friendly insolvency framework (André and Demmou, 2022[3]) and a comprehensive competition framework, that is being expanded to promote fair competition in the tech industry via the Digital Competition Act UK (UK Parliament, 2024[4]). To boost business investment, the government has reformed the corporate tax system, increased Research and Development (R&D) support, simplified tax arrangements for SMEs, and sought options to unlock the large pool of UK pension and insurance savings, as discussed below. But despite these efforts, high policy uncertainty and lack of policy continuity have weighed on business investment (International Monetary Fund, 2023[5]; Bank of England, 2021[6]).

Since the global financial crisis, the United Kingdom has seen a rise in policy uncertainty (Figure 2.2). Following the Brexit referendum in 2016, elevated levels of uncertainty with respect to regulations reduced the UK's attractiveness within Europe-wide value chains and raised the cost of exporting (Chapter 1, Bakker et al. (2022[7]), Faccini and Palombo (2021[8]), or Bloom et al (2019[9]). As Brexit related uncertainty declined, the pandemic and the energy price crisis introduced new uncertainties that were amplified by an acute lack of policy consistency (Coyle and Muhtar, 2023[10]; Pabst and Westwood, 2021[11]). From 2017, the government released three major growth strategies, the Industrial Strategy (HM Government, 2017[12]), the Plan for Growth (HM Treasury, 2021[13]) and the Four E's: Employment, Education, Enterprise and Everywhere (HM Treasury, 2023[14]). These strategies all had a strong focus on supporting the business environment, but a high degree of policy churn hindered their effectiveness in boosting investment. The lack of continuity was not only evident in the development of new strategies, but also in the policy areas they covered (Valero and van Ark, 2023[15]). This prevented the government from learning from experience over time and created uncertainty for businesses. Building on its expertise from previous growth plans the government should establish stable framework conditions and comply to a long-term strategy that ensures policy transparency and allows for continuity of government programmes. A framework with clear rules for review and revision could provide the flexibility to adapt to changing circumstances without compromising predictability.

Figure 2.2. Overall policy uncertainty remains high despite fading uncertainty related to Brexit



Note: Panel A: UK Economic Policy Uncertainty (EPU) index based on 11 UK newspapers: The FT, The Times and Sunday Times, The Telegraph, The Daily Mail, The Daily Express, The Guardian, The Mirror, The Northern Echo, The Evening Standard, and The Sun. Panel B: Brexit related uncertainty shows the percentage of firms who reported that Brexit was in the top three current sources of uncertainty for their business.

Source: Economic Policy Uncertainty Index, https://www.policyuncertainty.com/uk_monthly.html; Bank of England, Decision Maker Panel.

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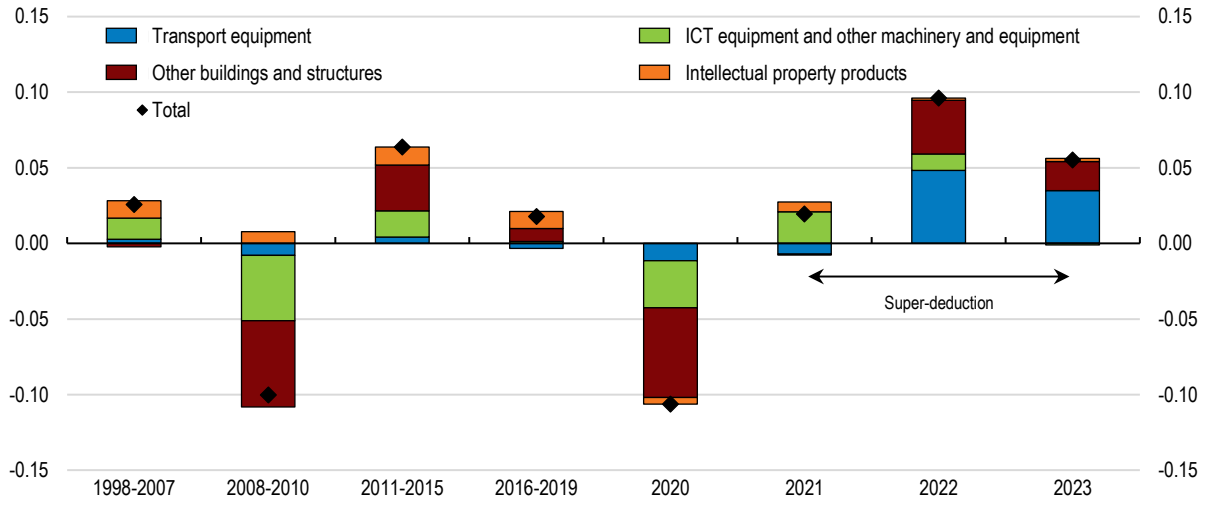
Policy can create favourable conditions to invest, as seen with the temporary introduction of the "super-deduction" from April 2021 to end-March 2023, which allowed businesses to deduct 130% of the cost from qualifying assets from taxable income. From April 2023, the super-deduction was replaced with full expensing, which offers 100% capital allowances on qualifying new plant and machinery investments (see below). Businesses increased investment into qualifying assets (Figure 2.3), leading to an overall pick up in investment growth since 2021. Thus investment did not fall despite the disruptions from the pandemic, the energy crisis, Brexit, higher interest rates and the impact of the pre-announced rise in corporation tax, suggesting that the super-deduction worked as intended to support investment (Office of Budget Responsibility, 2023[16]). However, the uptake in investment may reflect businesses bringing forward investment and thereby the policy affecting the timing rather than the investment decision.

It remains therefore important to develop policies that reduce structural barriers to sustainably lift business investment.

Figure 2.3. The super-deduction scheme supported investment growth

% point contribution to investment growth



Source: ONS 2024, Business investment database.

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This chapter focuses on selected issues that can support business investment, including reforming the planning system, reducing distortions in the corporate tax system and ensuring sufficient access to finance especially for smaller firms. Access to skills is a complementary factor to investment, and measures to alleviate skills shortages and improve the availability of skilled workers should be strengthened as discussed in Chapter 4.

Table 2.1. Past recommendations on supporting business investment

Past recommendations	Action taken since last *Survey*
Refine the competition framework to adapt it to the digital economy: enable greater personal data mobility and systems with open standards; adopt a broader approach to merger assessment including an evaluation of the overall economic impact of mergers.	The Digital Markets, Competition and Consumers Bill is in its final stages of approvement (April 2024)
Ensure long-term policy transparency and continuity of government programmes to reduce uncertainties for businesses.	-

2.2. Towards an investment friendly environment

2.2.1. Overhauling the planning system to facilitate investment

An overly stringent and complex planning system creates barriers to investment. Some evidence suggests that the combination of land and building regulations and construction costs creates significantly higher project costs in the United Kingdom than elsewhere (Cheshire, 2018[17]; Brandily et al., 2023[18]). The Competition and Markets Authority (2024[19]) finds that the length, costs and complexity of planning permits have risen over the years as uncertainty due to planning bottlenecks and unpredictable outcomes often take a protracted amount of time for builders to navigate before construction can start. This not only holds back business development, but also developments that are supportive to business investment such as housing for workers and infrastructure (Chapter 1 and 3).

The government has acknowledged that the planning system is "outdated", and has taken steps to address inefficiencies holding back business investment in particular (HM Treasury, 2023[20]). It plans to strengthen the capacity of the planning system to deliver better services for businesses, including introducing new premium planning services across England with guaranteed accelerated decision dates for major applications and fee refunds wherever these are not met. To ensure effective implementation, the government should provide financial support and capacity building to ensure that local authorities have the necessary resources to adapt to the priority planning system without risking falling behind in other planning areas, as there are significant differences in capacities across regions (OECD, 2022[1]). Local administrations infrequently review and update local plans, which are key for development projects. Local plans should be reviewed and updated once every five years, but only 42% of local authorities have an up-to-date local plan that is less than five years old (HM Government, 2024[21]). The government should support local administrations to update their local plans to reduce high uncertainty around the granting of planning permits.

Greater priority for businesses should not come at the expense of other government objectives, such as increasing residential housing supply (Chapter 1). Speeding up planning decisions for businesses is a welcome development but should only be a first step. The planning system needs to be reformed and aligned with the government's objectives to not only support investment, but also increase housing supply and speed up infrastructure development. Transitioning from the existing discretionary system, where each planning application faces review and potential opposition from local "not in my backyard" (NIMBY) residents, to a more rule-based system could streamline planning processes. Under this proposed system that is found more commonly in European countries (OECD, 2017[22]) (Box 2.1), developers would have the right to use land for its designated purpose, if they adhere to established rules. This change could enhance planning certainty and speed-up permitting decisions. In 2020, the government proposed reforms to move towards a more rules-based system, but political backlash stopped the advancement of further progress. While changes to the system can be politically difficult as they are usually opposed by existing homeowners, it is vital to consider the long-term gains of better planning procedures.

Box 2.1. The fiscal and planning system in Switzerland

The government structures of the United Kingdom and Switzerland are at opposite poles of the decentralisation spectrum. Whereas the United Kingdom's (central) land-use planning system is one of the most rigid in the world and its fiscal system is heavily centralised, Switzerland is an extremely decentralised country, with strong political and fiscal powers allocated at local level.

In contrast to the United Kingdom, Switzerland – a highly decentralised country with fiscal competition both at regional and local level – has a rule- or code-based planning system, where construction projects are automatically approved if they comply with the requirements of the respective code. These requirements usually consist in attributing land-use type (residential, commercial, industrial, or mixed) to plots of land zoned for new construction and in defining the development intensity (in the form, for example, of floor to area ratios). This makes it extremely difficult for local NIMBY residents to successfully oppose new development. Moreover, the Swiss fiscal system provides strong incentives to local municipalities to allocate land for new residential development: local public good provision is financed by levying progressive income taxes and municipalities can choose tax rate levels. Local municipalities thus have strong fiscal incentives to allocate large plots of land at the outskirts of their localities to attract high-income taxpayers.

The combination of a flexible planning system with local fiscal incentives makes the housing supply in Switzerland fairly elastic. Consequently, housing affordability is considered less of an issue in Switzerland, except in major agglomerations – mainly Zurich and Geneva – where physical and geographical supply constraints (lakes, mountains) are quite binding. The main policy concern in Switzerland is thus urban sprawl and preservation of the touristic countryside: Swiss voters are increasingly concerned about urban sprawl as new development in suburban areas is typically quite scattered and low density. Moreover, they are concerned about blighting the most beautiful and touristic Alpine areas. This has recently led Swiss voters to approve an initiative that imposed a ban on the construction of new second homes in touristic areas, with adverse consequences for local residents.

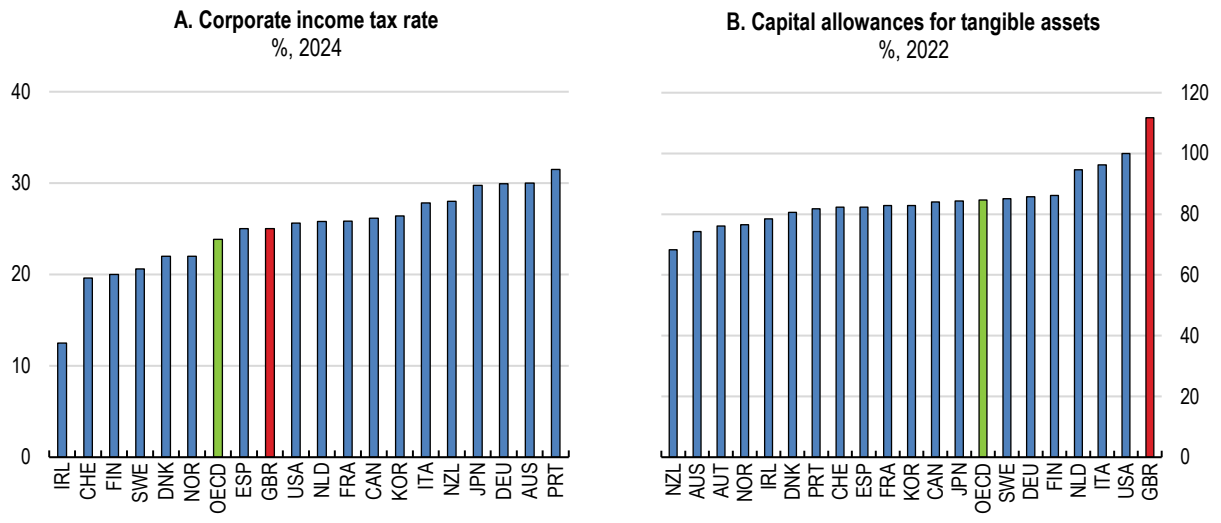
Source: OECD (2017[22]).

The fiscal system in the United Kingdom provides very few fiscal incentives for local authorities to permit new development (OECD, 2017[22]). New business developments increase costs for local authorities, through increased demand for public services, traffic, and pollution amongst other, whereas the benefits of higher employment might not accumulate to the same degree at the same local authority (Brandily et al., 2023[18]). Moreover, local authorities in the United Kingdom transfer half of the property tax revenue from businesses to the central government and over the medium term any increases in revenues are equalised away through the central government grant system. Thus, there are limited incentives to permit local development as the cost could outweigh the financial benefit. In 2015, the government had committed to devolve 100% of the property tax revenue from businesses to local government, but this was later reduced to 75% before being abandoned in 2021. In spring 2023, the government announced its commitment to devolve 100% to Greater Manchester and the West Midlands Combined Authorities (HM Treasury, 2023[14]). The government should consider broadening this commitment and devolve business property tax revenues to all local authorities in the longer term to help align local incentives with the national objective to increase development. The government should set out a clear timeline and conditions for local authorities to keep 100% of property tax revenues from businesses and outline how this will affect transfers from the central government grant system in the longer run.

2.2.2. Moving towards less distortions in the corporate tax system

After a years-long strategy of cutting the main corporate tax rate and broadening the base, the government recently shifted towards higher rates with more generous capital allowances. In April 2023, the main tax rate was increased from 19% to 25% for firms with profits over GBP 250 000 (HM Treasury, 2023[14]). At the same time, the base was narrowed through a "full expensing" policy which comes on top of the annual investment allowance and allows companies to immediately deduct 100% of the cost of qualifying plant and machinery investments. Even though the recent increase in the statutory corporate tax rate is quite substantial, the UK rate remains at the lower end among G7 countries (Figure 2.4, Panel A) and is complemented with generous capital allowances (Figure 2.4, Panel B). Recent OECD research shows that the sensitivity of business investment to the corporate tax rate has fallen since the global financial crisis, while more generous capital allowances can induce strong investment responses (Hanappi, Millot and Turban, 2023[23]). Thus, the new direction is a positive development. However, frequent and often not well communicated changes to the corporate tax system in the recent past increased uncertainties for businesses (Box 2.2). To increase investment durably, the government should set out a transparent strategy for the corporate tax system for the medium term to give businesses more planning certainty.

Figure 2.4. The UK corporate tax system has the most generous capital allowance



Note: Panel A: The corporate income tax rate refers to the combined central and sub-central government corporate income tax rate.
Source: OECD Corporate Tax Statistics.

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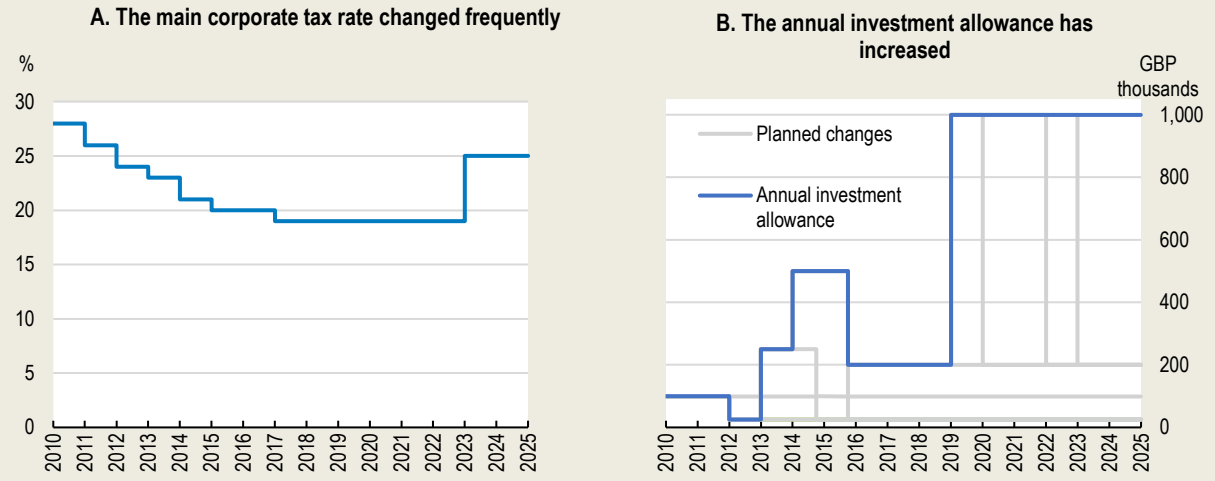
Box 2.2. The UK corporation tax system has changed frequently since the Global Financial Crisis

Over the past two decades, the UK corporate tax system underwent frequent changes. Between 2010 and 2017 alone, the main tax rate was gradually reduced from 28% to 19% to enhance international competitiveness while the tax base was broadened, including by making capital allowances less generous (Figure 2.5, Panel A and B). While the shift towards a low corporate tax rate made the United Kingdom an attractive location for profitable, internationally mobile investments, a lower investment allowances disincentivised domestic investment. In March 2021, the government shifted direction and announced to lift the main rate to 25% for firms with profits over GBP 250 000 to take effect from April 2023 (HM Treasury, 2021[24]).

These reforms of the corporate tax system were not always transparent and well communicated. Changes before 2017 were broadly following the 2010 Corporate Tax Roadmap (HM Treasury, 2010[25]), but subsequent announcements lacked a transparent strategy and clear communication. The raise of the main rate to 25% in April 2023 was implemented as announced in April 2021, but the time between announcement and implementation was characterised by uncertainties as the government announced scrapping the raise in the main rate, and then decided to reinstall it (HM Treasury, 2023[14]; HM Treasury, 2022[26]; HM Treasury, 2022[27]). Similarly, the annual investment allowance, allowing businesses to immediately deduct investment for plant and machinery up to a certain limit each year, has not only varied over time in terms of the amount that can be deducted, but the government's announcements to change the amount have been even more frequent (Figure 2.5, Panel B).

Figure 2.5. The corporate tax system has been subject to frequent changes

Changes in the key parameters of the corporate tax system, 2010-2025



Source: Institute for Fiscal Studies (2023[28]).

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The design of the corporate tax base creates a range of undesired distortions. Investment incentives differ based on the type of asset, how they are financed and the legal structure of the business. The UK's capital allowance system encompasses two key components: full expensing and the annual investment allowance. The annual investment allowance allows businesses to immediately deduct the full value of qualifying plant and machinery investments up to GBP 1 million from their taxable profits in the year of purchase and is available for all businesses including unincorporated businesses and most partnerships. Above this limit, investments are gradually depreciated for tax purposes over time. Most assets are subject to a writing down allowance with the main rate of 18%, while certain assets (like integral features in a building such as lifts or lighting systems, and assets with an expected life of at least 25 years) are subject to a special rate of 6% for the writing down allowance (Institute for Fiscal Studies, 2023[28]). Since April 2023, incorporated businesses subject to UK corporation tax can immediately deduct the full cost of qualifying new plant and machinery investment under full expensing. First introduced as a temporary scheme, full expensing was made permanent in Autumn 2023 thereby removing the near-term incentive to bring investment forward and increasing certainty for businesses, which is welcome. By facilitating a sustained decrease in the cost of capital, the Office for Budget Responsibility anticipates that business investment will rise by approximately GBP 3 billion annually, subsequently enhancing potential GDP by 0.2% in the long term (Office of Budget Responsibility, 2023[16]). Full expensing only applies to new investments that would qualify for the writing down allowance with the main rate of 18%. Investments in special-rate assets get a 50% allowance in the first year (Institute for Fiscal Studies, 2023[28]). Moreover, capital allowances and full expensing, favour qualifying assets over e.g., buildings or intangibles, hindering the efficient allocation of resources and thereby reducing productivity and economic growth. If fiscal space allows, the government could improve tax neutrality by broadening the range of qualifying assets under full expensing conditional on those assets being expected to be productivity and revenue enhancing in the longer term. However, to move to a better designed tax system, this has to be accompanied with measures that limit the deductibility of interest payments from the corporate tax base.

The UK corporate tax system provides for different treatment of equity and debt financed investment. A distinction between debt and equity is recognised in most other OECD countries' corporate tax systems by giving deductions for interest as business expense. UK limitations on interest deductions are aligned with BEPS 4 Action, which aims to limit base erosion through the use of interest expense to achieve excessive interest deductions or to finance the production of exempt or deferred income (OECD, 2016[29]). Thus, groups (based on the requirement to prepare consolidated accounts) can deduct interest payments up to GBP 2 million a year against corporation tax, with some restrictions in place above this level. Interest deductibility results in a zero marginal corporate effective tax rate on debt financed investment, and combined with tax depreciation allowances and immediate expensing, creates a mix that results in a cost of capital below the real interest rate and, therefore, a marginal corporate effective tax rate that is negative. Full expensing has increased this large and problematic existing subsidy for debt-financed investment, making even more unprofitable projects viable through the tax system (Institute for Fiscal Studies, 2023[28]). The government should identify and monitor potential overinvestment, evaluate the role of tax in financing decisions and reduce interest rate deductibility accordingly to avoid subsidising unprofitable investment.

Complexities in the corporate tax system can not only raise the administrative burden for firms, but also disincentive investment, especially for small firms. Since April 2023, companies with taxable profit of GBP 50 000 or less are subject to corporation tax at the rate of 19% "small profits rate" (about 88% of firms in 2021-22) and companies with profit levels between GBP 50 000 and GBP 250 000 pay tax at 25%, reduced by marginal relief. This means that an effective marginal tax rate of 26.5% applies on profits over GBP 50 000 and the average tax rate gradually increases until it reaches 25%. The government should review complexities created with the operation of the marginal relief system and the small profit rate, and address potential issues that discourage businesses from increasing their profits for amounts below or above these thresholds (GBP 50 000 and GBP 250 000).

2.2.3. Streamlining investment incentives in business property taxation

Business property taxation can weigh on investment that would improve property values. In the United Kingdom, business property taxes are based on a percentage of the property's estimated rental value. This system can discourage investment, especially for smaller firms, as increasing property value leads to higher taxes. Although there are several reliefs to support investment, they also create complexity and reduce the tax base. In 2023 alone, the UK government introduced several temporary reforms to lower the business rate on commercial properties, including a 75% relief for the retail, hospitality, and leisure sector (capped at GBP 110 000), a freeze of the business rate multipliers and a three-year transitional relief limiting the tax liability increases when commercial properties are revalued.

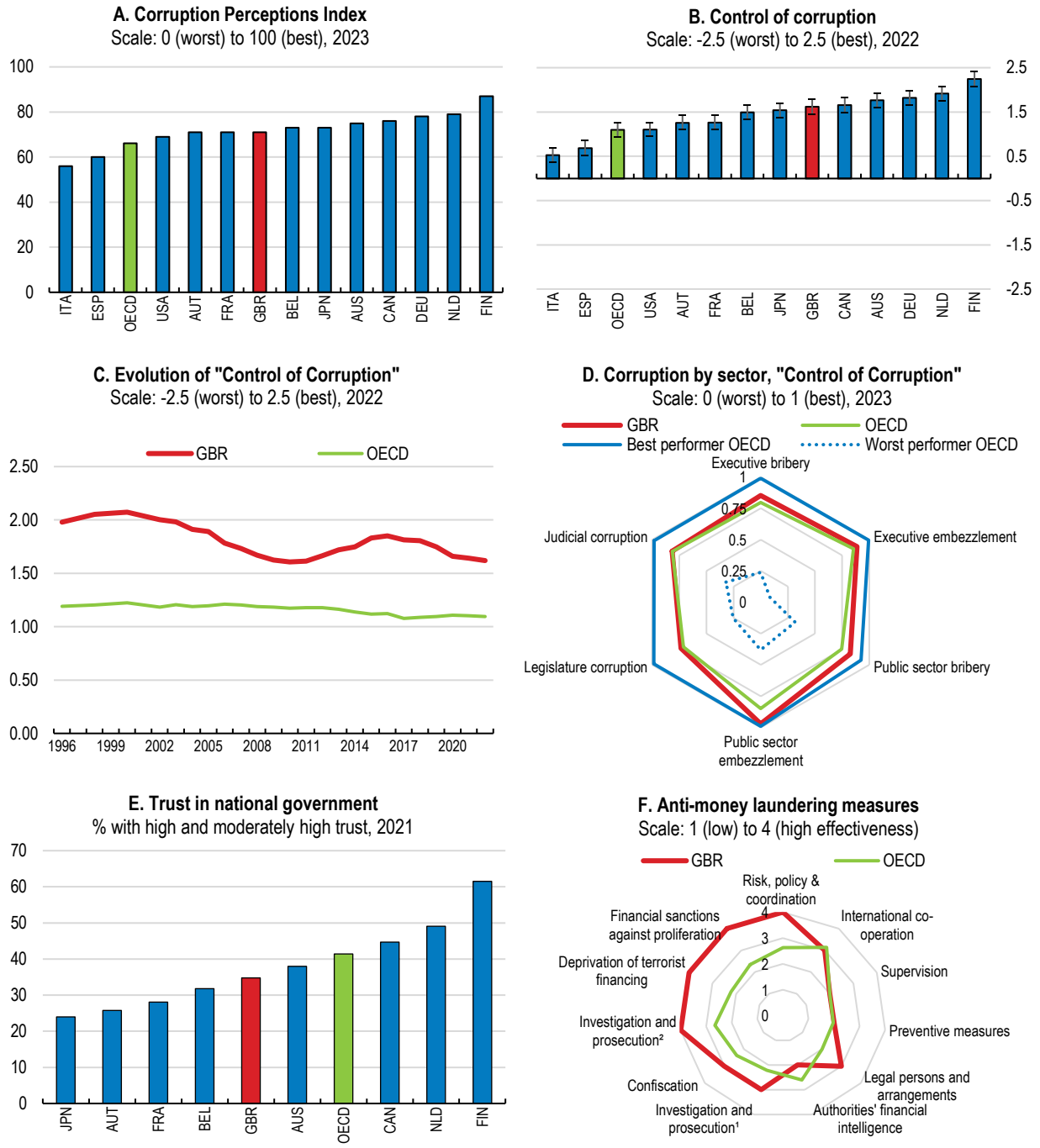
To reduce the administrative burden in the short-term, the government should streamline the business property taxation system by evaluating the effectiveness of reliefs and exemptions and ending those that are not fulfilling their purpose as discussed in Chapter 1. In the longer term, the government should evaluate whether a move towards a more efficient land value tax, as for instance, applied in Estonia would be feasible. A land value tax is a recurrent tax on landowners based on the value of undeveloped land and is often considered as economically efficient as it provides incentives to develop the land based on its best use. However, to be successful in practice, it requires a comprehensive up-to-date land registry and forward planning of land use at plot level, the provision of a well-resourced and informed valuation profession, and resources to undertake robust valuations which separate the value of land from the value of improvements for developed plots based on highest and best use (Hughes et al., 2020[30]; Broome, Corlett and Thwaites, 2023[31]).

2.2.4. Increasing transparency to maintain institutional credibility

The United Kingdom has strong institutions that support the business environment. Corruption can discourage business dynamism and thus reduce investment and innovation. While perceived corruption seems to be comparatively low in the United Kingdom, the control of corruption has been deteriorating over the past years (Figure 2.6). The OECD Anti-Corruption and Integrity Outlook (OECD, 2024[32]) identifies areas for improvements, which could not only safeguard against a rise in corruption but also increase more broadly the United Kingdom's comparable low levels of trust in national government (Figure 2.6, Panel E). While the United Kingdom is one of the top performers in terms of the adequacy of its Anti-Corruption Strategy's implementation plan, regulatory safeguards on conflict-of-interest prevention could be strengthened. Measured against OECD standards on conflicts of interest, the United Kingdom fulfils 33% of criteria for regulations and 22% for practice, compared to the OECD average of 76% and 40% respectively (OECD, 2024[32]). The United Kingdom has looked into introducing the "deed of undertaking", which would legally commit ministers to adherence to the rules, for the requirements in the Ministerial Code relating to the Business Appointment Rules that cover the post-public office activities of ministers and senior officials (Cabinet Office, 2023[33]). This legally binding commitment would be signed by ministers on taking office and would mean that civil action could be brought against them if standards in the ministerial code were broken. It should be considered to introduce liability for conflict-of-interest violations more broadly by extending the deed to also cover conflicts of interest during the term of appointment.

The system of transparency around lobbying is more advanced in the United Kingdom than in many OECD countries, but digital tools could be used more effectively (OECD, 2021[34]). In the United Kingdom, the online lobbying register includes instruction on how to register, information on the name and organisation of the lobbyists, the domain of intervention and the type of lobbying activities. Improving the quality of transparency disclosures along with the searchability of the UK's transparency databases could optimise the potential for transparency and facilitate public scrutiny.

Figure 2.6. Corruption appears to be low



Note: Panel B shows the point estimate and the margin of error. Panel D shows sector-based subcomponents of the "Control of Corruption" indicator by the Varieties of Democracy Project. Panel E does not include Germany, Italy, Spain, and the United States because of data unavailability. Panel F shows ratings from the FATF peer reviews of each member to assess levels of implementation of the FATF Recommendations. The ratings reflect the extent to which a country's measures are effective against 11 immediate outcomes. "Investigation and prosecution¹" refers to money laundering. "Investigation and prosecution²" refers to terrorist financing.
Source: Panel A: Transparency International; Panels B & C: World Bank, Worldwide Governance Indicators; Panel D: Varieties of Democracy Project, V-Dem Dataset v12. Panels E: OECD Government at a glance indicators; Panel F: OECD, Financial Action Task Force (FATF).

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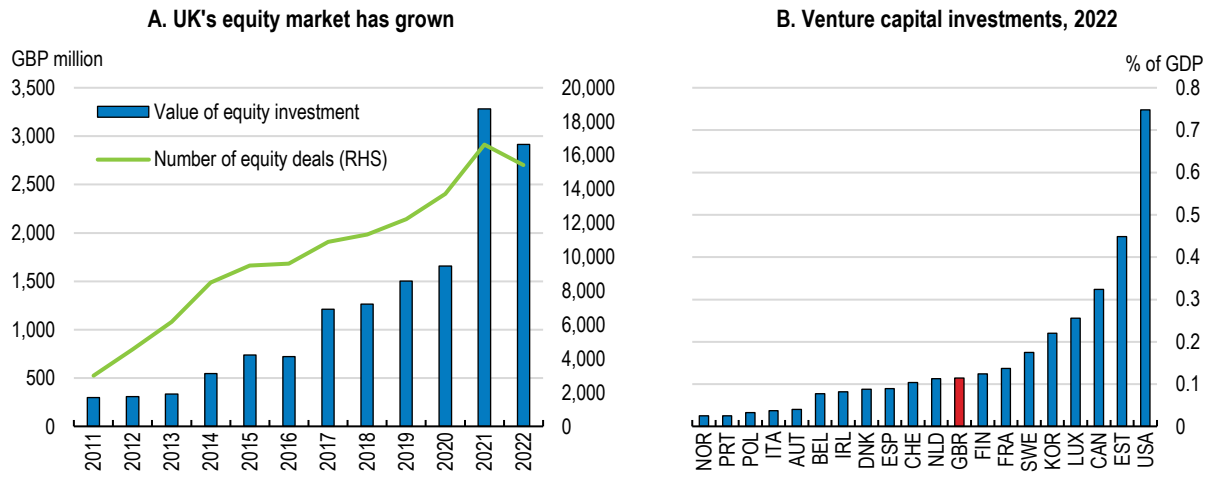
2.3. Improving access to finance for small, innovative firms

2.3.1. Smaller firms have limited access to finance investments in intangibles and new technologies

An investment friendly environment needs to be complemented by sufficient access to finance. In the United Kingdom, public support through direct funding and indirect tax subsidies for Research and Development (R&D) is the highest across major OECD economies, but still firms only invest just above the OECD average in R&D (OECD, 2024[35]). Small and medium-sized firms and high-growth potential firms in particular report being constrained by the difficulty of raising funds for long term investment and to scale up (Department for Business, Energy and Industrial Strategy, 2022[36]; British Business Bank, 2023[37]).

Equity finance in the United Kingdom has grown significantly over the past decade, but it has declined recently in part explained by the cyclical nature of this type of finance, with investors seeking out other types of fixed return investments in response to interest rate hikes (Figure 2.7, Panel A). Moreover, the venture capital market particularly important for young firms is smaller than those of the United States or Canada (Figure 2.7, Panel B). Thus, intangible investments, including R&D, or investment in risky or unproven technologies are particularly hard to finance and firms lack the collateral that are provided by tangible assets. This is not only important as intangible investments are associated with higher productivity growth (Karmakar, Melolinna and Schnattinger, 2024[38]), but also in the context of developing new technology to advance the green transition, as many smaller firms in this field report the lack of financing to be a key barrier (British Business Bank, 2023[37]).

Figure 2.7. Equity markets have grown, but venture capital investments remain below top-performers



Note: Panel B: Data for the UK is based on the European Data Cooperative (EDC) whose approach is based on a Census of European PE and VC firms identified by Invest Europe and its PE and VC partner associations. As few UK VC fund managers are Invest Europe members, numbers for the UK might be under-estimated.
Source: OECD (2024), Financing SMEs and Entrepreneurs 2024.

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Continuous government efforts have improved access to finance by lowering barriers particularly for smaller, high-growth potential firms over the last decade. The British Business Bank, set up with the objective to restructure UK's finance markets to better serve small businesses in 2014, supported about GBP 12 billion of finance through its programmes, assisting over 96 000 businesses by 2022 (OECD, 2024[39]). The Bank's subsidiary, British Patient Capital (BPC), launched the Future Fund:

Breakthrough in July 2021. This GBP 375 million UK-wide programme encourages private investors to co-invest with government in high-growth, innovative firms. It focuses on R&D-intensive companies and aims to accelerate the deployment of breakthrough technologies that can transform major industries, develop new medicines, and support the UK transition to a net-zero economy. It is welcome that the government announced the extension of the British Patient Capital's mandate until 2034 at the 2023 Spring Budget and provided the "Future Fund: Breakthrough" programme with at least GBP 50 million additional funding at its Autumn 2023 budget (HM Treasury, 2023[20]; HM Treasury, 2023[14]). To allow the British Business Bank to further scale up its operations, the government could consider allowing the Bank to borrow capital through the issuance of government guaranteed bonds, such as e.g., similar institutions in peer countries like the KfW in Germany (Box 2.3). Separately, the government also provides generous tax reliefs for investors to encourage investments in young, innovative companies. Under the Enterprise Investment scheme, investors can claim a tax relief of 30% on investments up to GBP 2 million if at least GBP 1 million of that is invested in knowledge-intensive companies. Separately, under the Venture Capital Trust, investors can claim 30% on investments up to GBP 200 000 and on income from dividends. In 2021-22, companies raised a total of GBP 2.3 billion of funds under the Enterprise Investment Scheme, and shares issued under the Venture Capital Trusts (VCTs) amounted to the value of GBP 1.1 billion (HM Revenue & Customs, 2023[40]; HM Revenue & Customs, 2023[41]). The announcement to extend both schemes to 2035 is welcome.

Box 2.3. Venture Capital funding through Germany's Kreditanstalt für Wiederaufbau (KfW)

The KfW, a German state-owned bank, operates by raising over 90% of its borrowing needs through bonds in the capital markets. These bonds are guaranteed by the federal government, enabling KfW to secure funds under favourable conditions. Its public agency status exempts it from corporate taxes, and it receives unremunerated equity from its public shareholders. This allows KfW to provide loans at lower rates than commercial banks for specific purposes defined by KfW law.

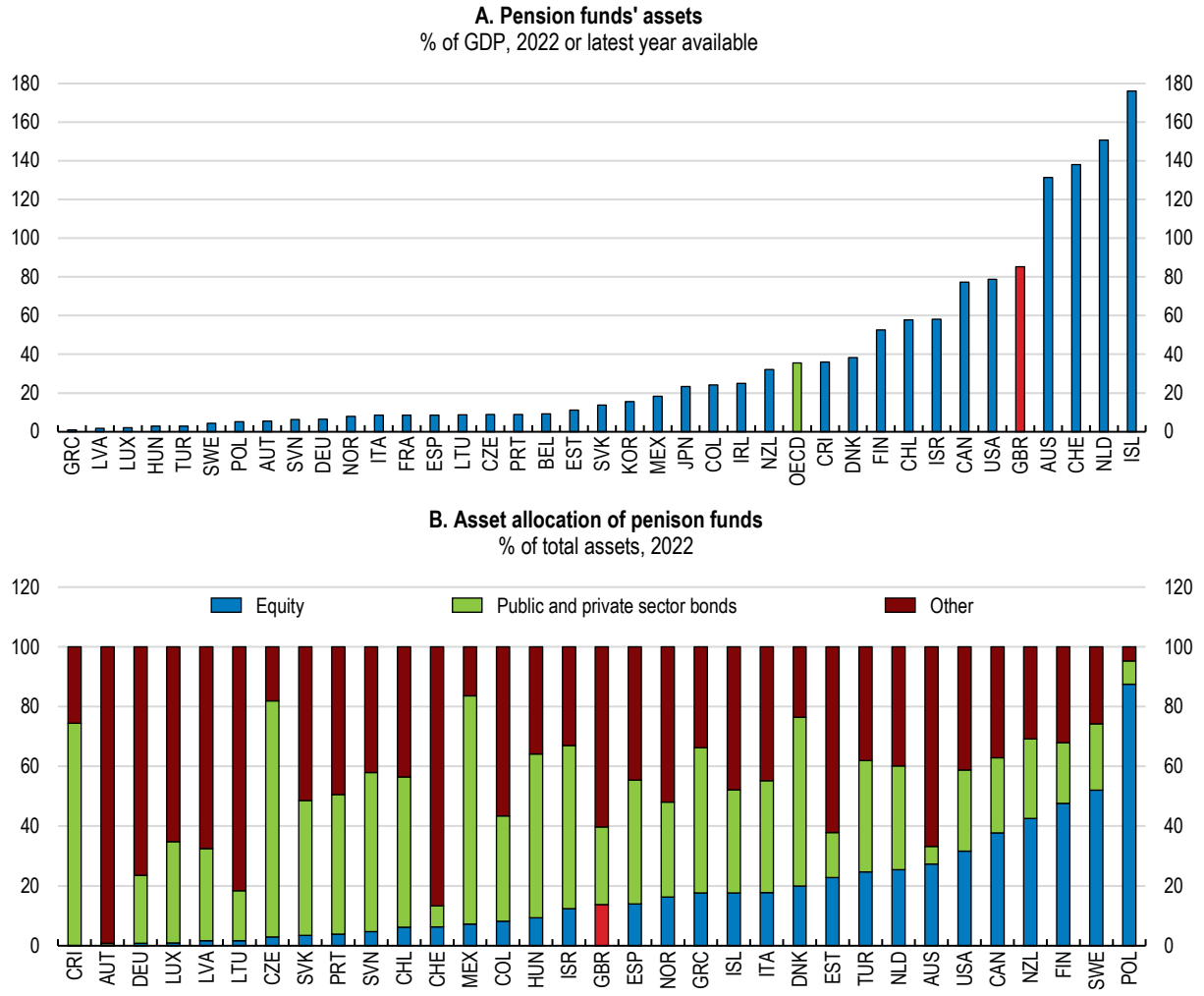
As a subsidiary of KfW Bankengruppe, KfW Capital invests in German and European Venture Capital (VC) and Venture Debt funds. Its goal is to strengthen the capital base of these funds, thereby improving access to capital for technology-oriented growth companies in Germany. KfW Capital has doubled the annual amount of funding to EUR 400 million from 2021 onwards. Funding takes place particularly as part of the European Recovery Programme (ERP)-VC Fund Investments programme as well as of the ERP/Future Fund Growth Facility as a module of the 'Zukunftsfonds' (Future Fund). Set up by the Federal Government in 2021, KfW Capital is allocating EUR 10 billion to its' Future Fund' by 2030 to boost the German venture capital market for forward-looking technologies.

Source: OECD (2024[39]).

2.3.2. Ensuring high value investments from long-term investors

Unlocking institutional investment can further improve access to finance. The United Kingdom stands out internationally by having one of the biggest pension markets in the OECD, but low domestic investment in equity from Pension Funds (Figure 2.8). According to the British Venture Capital Association, UK pension funds contributed 4% to the GBP 70.2 billion invested in venture capital and private equity in the United Kingdom in 2022, compared to 21% from overseas pension schemes (British Private Equity & Venture Capital Association (BVCA), 2023[42]). As highlighted in previous Surveys (OECD, 2022[1]; OECD, 2020[43]), removing barriers for UK funds to diversify their portfolios in these activities could increase the financing pool available to young innovative firms.

Figure 2.8. A large pension market does not translate into higher domestic investment



Note: Panel A and B refers to autonomous pension funds. Panel B: The "Other" category includes cash and deposits (including those of mutual funds), land and buildings (including those of mutual funds), loans, hedge funds, structured products, unallocated insurance contracts, derivatives, commodities, trade credits and advances and other accounts receivables and payables.
Source: OECD Funded pensions statistics.

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The government considers continuing to change existing investment rules to remove barriers and costs for UK pension funds to make long-term, illiquid investments and to diversify their portfolios, such as the 2022 changes to the regulatory charge cap (Department for Work and Pensions, 2022[44]). The Mansion House reforms include the industry-led Mansion House Compact, which aims to encourage signatories to invest at least 5% of their default funds to unlisted equities by 2030; and measures to increase transparency through the Value for Money framework that will require schemes to disclose their costs and net investment returns, as well their level of investment in the United Kingdom (HM Treasury, 2024[45]). These changes are still subject to consultation by the Financial Conduct Authority. A Growth Fund within the British Business Bank, drawing upon the BBB's expertise and a permanent capital base of over GBP 7 billion, is planned to give pension funds access to investment opportunities in UK's most promising businesses. These developments are welcome, and uptake should be monitored to identify further potential barriers for pension funds from channelling investment into the domestic market. Most

importantly, it should be ensured that safeguards and appropriate investment regulations remain in place such that pension providers continue acting in the best interest of their members.

Consolidating the fragmented pension market can increase scale and lower cost for savers. Since the introduction of automatic enrolment to occupational defined contribution (DC) schemes in 2012, many small DC pension schemes have emerged. Although the occupational DC pension market has consolidated by nearly 40% between 2011 and 2021 (OECD, 2022[46]), in 2022 there were still about 27 000 schemes in existence, of which only 2 000 were non-micro schemes with more than 12 members (The Pensions Regulator, 2023[47]). Government efforts to consolidate these schemes into fewer larger schemes is welcome as larger schemes can drive down costs for savers and are better placed to invest in innovative companies as part of a balanced portfolio. The new Value for Money framework, where schemes are required to compare themselves against others in the market, including large scale schemes, to ensure they are delivering value for their members is a policy initiative that could help with the consolidation efforts. Funds that fail to meet these could be mandated to transfer assets to the existing number of authorised Master Trusts that already cover 95% of active DC members (Department for Work and Pensions, 2023[48]). However, consolidation should not go too far so that oligopolistic behaviour develops instead (OECD, 2022[46]).

Consolidation is also needed for public sector pension schemes. The Local Government Pension Scheme (LGPS) in England and Wales is administered by 86 separate local pension funds, each with its own pension board and total assets worth of GBP 369 billion (16.2% of GDP) (The Local Government Pension Scheme Advisory Board - England and Wales, 2023[49]). Despite previous government efforts, the consolidation of these funds has been slow (Brandily et al., 2023[18]). To ensure that LGPS can benefit from economies of scale in management and through better investment pooling, the government introduced a March 2025 deadline for the accelerated asset consolidation of LGPS into pools and setting a direction towards fewer pools exceeding GBP 50 billion of assets under management (HM Treasury, 2023[20]). Furthermore, a 10% private equity allocation ambition for the Local Government Pension Scheme (LGPS) in England and Wales was introduced, which the government estimated to unlock around GBP 30 billion (1.3% of GDP). The government should continue to monitor that asset consolidation of pension funds is advancing.

Table 2.2. Findings and recommendations to enhance business investment

Findings	Recommendations (Key recommendations in bold)
Towards a long-term strategy that supports business investment	
Uncertainties resulting from subsequent economic shocks and policy churn weigh on business investment. Since 2017, the UK government introduced three different growth strategies adding to planning uncertainty for businesses. The corporate tax system has been subject to frequent changes over the last decade.	**Establish stable framework conditions and comply with a transparent long-term government strategy for business investment based on clear rules for review and revision.**
Reduce uncertainty introduced by the planning system	
An overly stringent and complex planning system leads to unpredictable outcomes and lengthy decision processes hampering investment. The government announced priority for planning permits for businesses. The capacity of local administrations can be a barrier to effective implementation of priority planning permits and provision of up-to-date local plans.	**Speed up permitting decisions for development by moving towards a rule-based planning system.** Provide financial support and capacity building measures to ensure local authorities have necessary resources to adapt to the priority planning system for businesses without risking falling behind in other planning areas.
The fiscal system in the United Kingdom provides very few fiscal incentives to local authorities to permit new development. The government previously committed to devolve 100% of business property tax revenues to Greater Manchester and the West Midlands Combined Authorities.	Consider devolving business property tax revenues to all local authorities in the longer term. Set out a clear timeline and conditions for the devolution of business rates to local authorities.
Tax policies that support business investment	
The corporate tax system distorts investment towards certain types of assets and encourages firms to finance themselves with debt rather than equity by allowing interest payments to be deducted against corporation tax. Investment incentives to deduct investment for plant and machinery create distortions with respect to asset types, and financing sources.	**Monitor investment incentivised through full expensing and reduce interest deductibility to avoid subsidising unprofitable investment.** Consider broadening qualifying assets for full expensing when fiscal space allows.
The operation of the marginal relief system and the small profit rate for creates uncertainty and may discourage businesses from increasing their profits, as it taxes firms at different marginal rates.	Assess and address the complexities created by the marginal relief corporate system and the small profit rate and potential disincentives for firms to increase profits.
Business property taxation can reduce investment incentives as property upgrading can lead to higher taxation. Many exemptions and reliefs create a complex system and reduce tax collection. A land value tax could be more efficient but requires a comprehensive up-to-date land registry and forward planning of land use at plot level, the provision of a well-resourced and informed valuation profession, and resources to undertake robust valuations.	Streamline the business rate system by ending reliefs and exemptions that are not effective. Evaluate whether a move towards a land value tax would be feasible in the longer term.
Increasing transparency to strengthen institutional credibility	
Perceived corruption seems to be comparatively low in the United Kingdom, but the control of corruption has been deteriorating. The United Kingdom has looked into introducing a legally binding commitment for the requirements in the Ministerial Code relating to the Business Appointment Rules that cover the post-public office activities of Ministers and senior officials.	Extend the legally binding commitment to introduce liability for conflict-of-interest violations also during the term of appointment.
The UK system of transparency is well advanced. The online lobbying register includes instructions on how to register, information on the name and organisation of the lobbyists, the domain of intervention and the type of lobbying activities. But digital tools could be used more effectively.	Improve lobbying transparency and searchability of the online lobby register.
Improve access to finance for small, innovative firms	
Access to finance remains a barrier for smaller, innovative firms. The British Business Bank has several support programmes to help SMEs to grow and scale up but is comparatively small to peer countries.	Consider allowing the British Business Bank issuing government guaranteed bonds to scale up its operations.
A well-funded pension market does not translate into higher domestic investment. Government measures have started to address barriers for UK funds to diversify their portfolios and increase the financing pool available to young innovative firms.	Ensure safeguards and appropriate investment regulations remain in place such that pension providers continue acting in the best interest of members.
The DC pension market is highly fragmented and lacks scale and cost savings for savers. The Local Government Pension Scheme (LGPS) in England and Wales is administered by 87 separate local pension funds, reducing economies of scale in the available investment pool and in the management of the funds.	Advance up the consolidation of DC pension funds by advancing the Value for Money framework. Monitor that consolidation of Local Government pension funds is advancing according to set timelines.

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3 Decarbonising the residential housing sector

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Decarbonising the residential housing sector is central to meet the UK's net zero target, as it is responsible for about 14% of UK's domestic greenhouse gas emissions. Despite substantial emission reductions in other sectors since 1990, progress in the residential housing sector has been slow since 2014. Most of these emissions originate from heating systems, indicating that a successful transition requires a shift from gas to low-carbon heat sources. Simultaneously, improving the energy efficiency of homes is crucial for cost-effectiveness and managing future energy demand. The government set out a comprehensive strategy for decarbonising the building sector in 2021, but timelines and policies have changed since. Shifting consumer behaviour towards low carbon choices requires a transparent long-term strategy, with clear pricing signals, reliable timelines for regulatory changes and financial support measures to stimulate the market.

3.1. Decarbonising the housing sector is central to meet the UK's net zero target

The United Kingdom is among global leaders in reducing domestic greenhouse gas emissions. As discussed in the last *Economic Survey of the United Kingdom* (OECD, 2022[1]), the UK's broad political consensus to reduce net emissions to zero by 2050 and a strong institutional framework were key to the successful emission reductions so far (Table 3.1). Since 1990, overall emissions have halved, and the United Kingdom met its first three carbon budgets (Figure 3.1, Panel A and B). But progress varies across sectors, with reductions driven mostly by the waste sector and electricity generation (Figure 3.1, Panel B). While most sectors are judged to be on track, sectors that require demand driven changes by the consumer such as transport and housing have shown only slow progress. Owing to the legislated Zero Emission Vehicle (ZEV) mandate, about 80% of new cars sold by 2030 are estimated to be zero emission and risks to meet government longer term targets are low (Climate Change Committee, 2023[2]). The residential building sector has seen a gradual reduction in emissions up to 2014 largely driven by increased energy performance of homes and improved efficiency of fossil-fuelled boilers. Since then, progress has almost stalled and emissions from residential buildings were only about 15% lower in 2021 compared to 1990 contributing to about 16% of UK's carbon footprint. Residential emissions declined in 2022 and 2023 owing to mild winter and record high energy prices (Figure 3.1, Panel B), though it remains unclear to what extend this reduction stems from improvements in efficiency or by people having had colder homes due to unaffordable energy. Thus, the aggregate fuel poverty gap in England, which measures the total reduction in energy costs needed to take all fuel poor households out of fuel poverty, increased by an estimated 67% between 2020 and 2023 (Hinson, Bolton and Kennedy, 2024[3]). Decarbonising the residential sector will not only be crucial to meet the nation's net zero target by 2050, but will also reduce households' reliance on fossil fuel, improve air quality and lower heating costs.

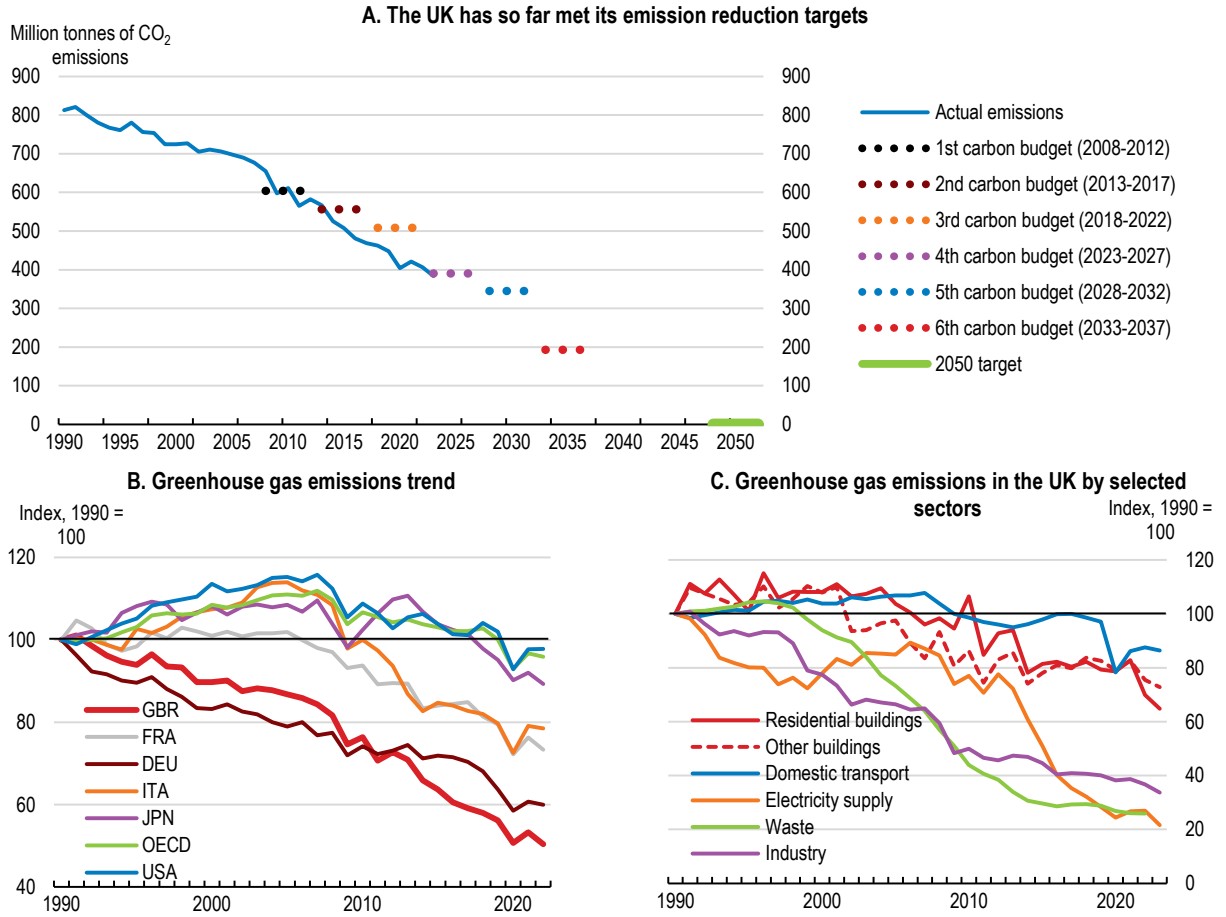
Table 3.1. Past recommendations on climate change mitigation

Past recommendation	Actions since previous survey
Build on the Net Zero Strategy, with further concrete deadlines, policies and priorities in line with legal targets.	In 2023, the government published updated plans to support the Net Zero target via the Powering Up Britain publications, including the Carbon Budget Delivery Plan, which provides details up to 2037 on how to decarbonise the economy in line with the 2050 net zero target.
Systematically track and quantify support measures with potential environmentally harmful impacts and adjust policy accordingly.	HM Treasury collects and produces qualitative and quantitative data on climate and environmental impacts of fiscal events to feed into decision making and support transparency. A qualitative assessment of the impact of Spending Review 2021 on progress towards the UK's Net Zero target was published in December 2022 and the government has committed to publishing impacts at future Spending Reviews.
Ensure that target-consistent carbon values are consistently applied in all cost-benefit analyses across government and systematically considered in decision making.	The Department for Energy Security and Net Zero published updated supplementary guidance to the Green Book on valuing greenhouse gas emissions impacts in November 2023 to reflect the latest evidence.
Commit to gradually expanding the UK ETS to all emitting sectors and tighten the emissions cap in line with targets.	The UK Emissions Trading Scheme (ETS) Authority has tightened the emissions cap in line with net zero. The ETS scope is planned to also expand to domestic maritime (2026) and energy from waste (2028). Subject to consultation, engineered greenhouse gas removals will be integrated, and the Authority will respond to consultations on free allocations and ETS markets policy. The government has launched a consultation seeking views on the design and delivery of a carbon border adjustment mechanism (CBAM) that is planned to be implemented on 1 January 2027.
Allocate a portion of carbon pricing revenues to schemes compensating low-income and fuel-poor households and supporting their green investments.	No action taken. Receipts from the UK Emissions Trading Scheme (ETS) are not hypothecated towards specific projects or households although, alongside helping to fund public services, receipts from the scheme support the Net Zero transition.
Allocate a portion of carbon pricing revenue to public investment in green infrastructure, development and deployment of green technologies, including carbon capture and storage.	No action taken. Receipts from the UK Emissions Trading Scheme (ETS) are not hypothecated towards specific projects although, alongside helping to fund public services, receipts from the scheme support the Net Zero transition.

Engage in education and information campaigns increasing knowledge and awareness on how explicit pricing instruments work.	No action taken.
Expand the use of competitive auction designs to maximise value for money of public support policies across sectors of the economy.	At Spring Budget 2024, the government announced over GBP 1 billion for the 6th Contract for Difference round for renewable energy. In 2024, the government announced intention to introduce competitively allocated CfD Sustainable Industry Rewards to further support for sustainability in renewable energy supply chains. No action taken to expand to other sectors.
Replace the fuel duty with a new road pricing regime differentiating charges between fossil fuel and zero emission vehicles.	No action taken.
Encourage the shift towards low and zero-carbon vehicles, including with financial incentives to invest in recharging stations particularly in remote areas.	The zero emission vehicle (ZEV) mandate – which became law on 3rd January - sets out the percentage of new zero emission cars and vans manufacturers will be required to produce each year up to 2030. Under the ZEV mandate 80% of new cars and 70% of new vans sold in Great Britain must be zero emission by 2030, increasing to 100% zero emission by 2035. The government has spent over GBP 2 billion to support the transition to EVs. This funding has focused on reducing barriers to their adoption, including accelerating charging infrastructure rollout and offsetting their higher upfront cost, allowing more people to benefit from their lower running and maintenance costs. The government continues to support the rollout of EV infrastructure. Applications for the first round of the GBP 381 million Local EV Infrastructure Fund are currently being assessed. This funding is expected to deliver tens of thousands more chargepoints in local areas across England and transform the availability of charging for drivers without off-street parking. The government has also launched a GBP 70 million pilot to support the deployment of ultra-rapid charging points at motorway service areas as part of the GBP 950 million Rapid Charging Fund.
Encourage compact development around transport nodes, and financial incentives to travel by rail, public transport shared mobility and active transport.	Active Travel England (ATE, established as an executive agency of the Department for Transport (DfT) in 2022) supports local authorities to incorporate active travel improvements and acts as a statutory consultee in major planning applications. Active Travel Fund funding supports local transport authorities with developing and constructing walking and cycling facilities, in line with Local Cycling and Walking Infrastructure Plans. The funding has been provided in 4 tranches, with tranche 4 extended into 2023 to 2024. Buses: Supporting bus networks through Bus Service Improvement Plans and other revenue based funds that support local bus services.

The UK government has laid out a broad strategy for decarbonising the housing sector, with explicit emission reduction commitments for the building sector. This strategy covers residential, public and commercial buildings, but detailed policies and credible timelines to phase in regulation to achieve the ambitious targets are largely missing. Building emissions (residential and other buildings) are expected to fall 25-37% by 2030 and 47-62% by 2035 before dropping 98-100% by 2050 compared to 2019, according to the 2021 Net Zero Strategy (BEIS, 2021[4]) and the 2023 Carbon Budget Delivery Plan (HM Government, 2023[5]). In October 2023, the government clarified that electrification of heat in buildings via heat pumps will be the main route to decarbonisation, alongside heat networks (district heating) that distribute heat generated in a centralised location for residential and commercial heating (National Audit Office, 2024[6]). The government strategy to reach the target includes several measures including price incentives, stricter regulation, an obligation on boiler manufacturers selling in the UK market to gradually increase the proportion of heat pump sales compared with the number of gas boilers, standards on phasing out the installation of oil boilers in homes from 2026, and household support for heat pumps and energy efficiency improvements.

Figure 3.1. The United Kingdom has been among OECD leaders in the reduction of greenhouse gas emissions



Note: Panel A: Total greenhouse gas emissions excluding land use, land-use change and forestry. Panel C: Selected sectors only. Domestic transport refers to emissions from road vehicles, domestic aviation, and shipping (including military), fishing vessels, and railways. Also includes emissions from transport related mobile machinery (e.g., at airports and ports) and F-gases from mobile air conditioning and refrigeration. International aviation and shipping emissions are not included. Sectors not depicted are Agriculture, land use and forestry, International aviation and shipping, and fuel supply. Panel A and C: Data for 2023 is preliminary.
Source: OECD (2024), Environment database; ONS, Climate Change Committee (2023), 2023 Progress report to Parliament.

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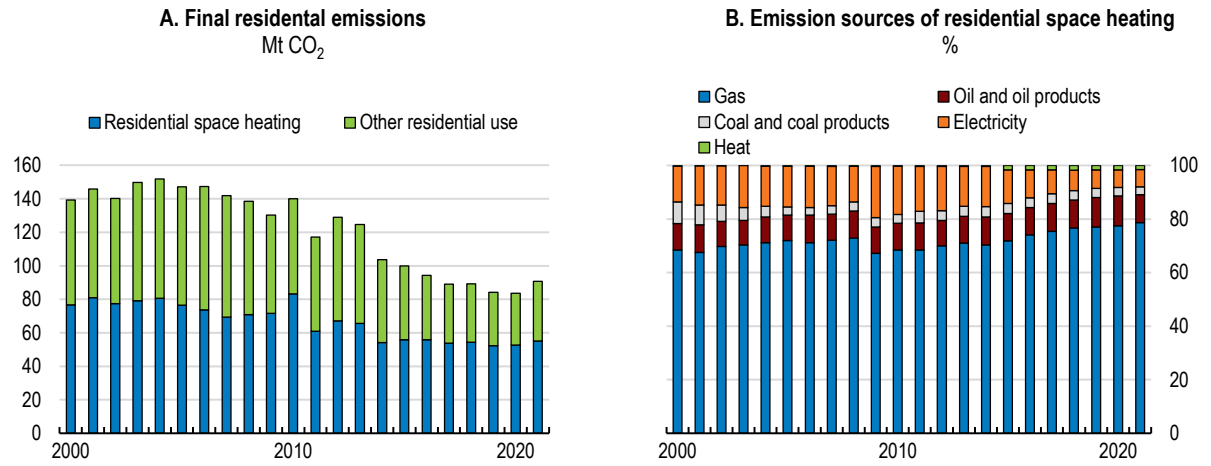
Policy progress has, however, been slow creating difficulties for households and businesses to make key decisions, such as how and when to retrofit buildings, or decisions about investments in skills and supply chains (Climate Change Committee, 2023[2]). Furthermore, the government backtracked on some of the commitments laid out in the Net Zero Strategy and the Heat and Building Strategy. In September 2023, the government announced to exempt about 20% of households from the phase-out of fossil fuel boilers by 2035, delayed a ban on new oil boilers from 2026 to 2035 and scrapped the requirement of Energy Performance Certificate (EPC) band C by 2028 for private rented homes amongst others (HM Government, 2023[7]). According to the Climate Change Committee, these changes increase the long-term risk that the 2050 residential emissions target will be met (Climate Change Committee, 2023[8]).

Figure 3.2. Fossil fuel heating contributes to high residential emissions



Note: Emissions from fuel combustion. Emissions are calculated using IEA's energy balances and the 2006 IPCC Guidelines; see http://wds.iea.org/wds/pdf/WorldCo2_Documentation.pdf for more details.
Source: IEA (2024) Energy use and efficiency indicators database.

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The primary source of residential emissions in the UK stems from heating, with natural gas boilers as dominant source (Figure 3.2). Phasing out emissions by 2050 in line with the net zero target will therefore require heating systems with zero emission energy carriers such as clean electricity or hydrogen in most UK homes and continuous efforts to improve energy efficiency. As such, shifting homeowners behaviour in favour of low carbon heating is essential, but this will take time.

The government needs to speed up policy development and delivery with a focus on increasing demand for low carbon heating solutions to kick-start this market, while providing financial support for less-well off households to cover high up-front cost. Updating the 2021 Heat and Building Strategy with concrete policies and reliable timelines will give clear longer-term signals providing the certainty needed for households' and businesses' investments in energy efficiency, growing supply chains and supporting infrastructure. This chapter focuses on policies to reduce emissions in the residential sector through improving effective carbon pricing, the role of regulation to raise energy efficiency of homes and to decarbonise heat, and the need to address high-up front costs through the financial market and government support schemes.

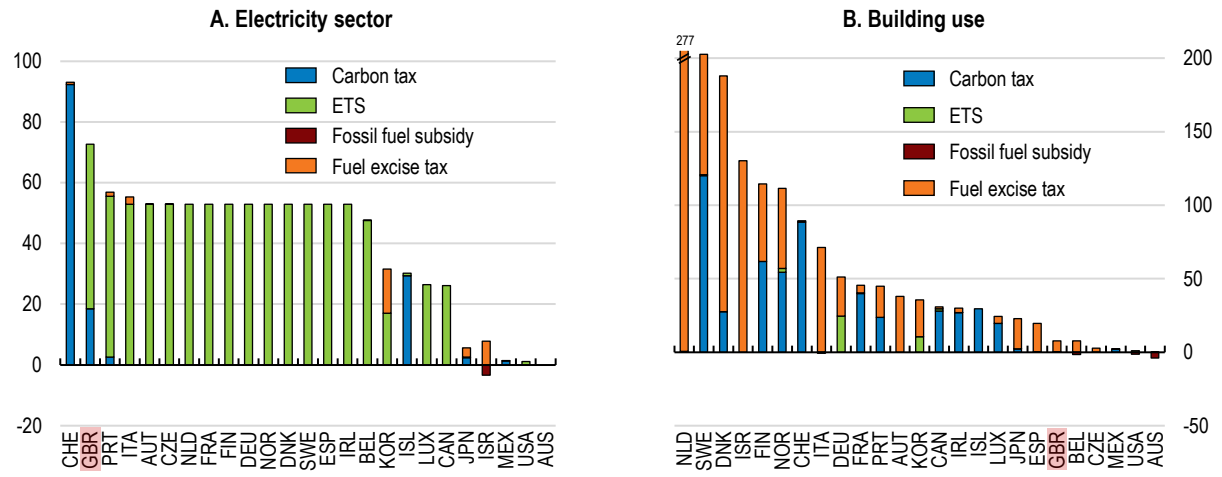
3.2. Re-balancing energy prices to incentivise low-carbon heat

In the United Kingdom, low effective carbon rates in the building sector create price distortions towards gas over electricity implying high running cost for heat pumps. Electricity is taxed at the production stage via emission trading systems and explicit carbon taxes on the energy source used to generate electricity. Carbon taxation has been key in the Nordic countries to shift to electrified heating from renewables, but in the United Kingdom as well as most other OECD countries, effective carbon rates in the housing sector are low (Figure 3.3) and fossil fuels for heating are practically untaxed (OECD, 2022[1]). The price gap between gas and electricity is widened even more by a policy levy on electricity at the consumption stage undermining the installation of heat pumps (OECD, 2022[1]). In 2021, electricity was about 5.6 times more expensive than gas, and even though the UK Treasury temporarily removed policy costs from electricity bills from 2022 to 2024 as part of their consumer energy support measure, the price of electricity was still 3.7 times higher than that of gas (Climate Change Committee, 2023[2]).

The risk of higher running cost of heat pumps, together with high upfront installation cost, deter households from making the investment. Thus, while the National Infrastructure Committee (National Infrastructure Commission, 2023[9]) has judged heat pumps to be the most efficient solution to heat homes, and the government has stated that 90% of homes already have sufficient energy efficiency (EPC D) and internal electrical connection capacity to accommodate a heat pump (House of Lords Environment and Climate Change Committee, 2023[10]), uptake has been below projected necessary pathways. The government's commitment to close the gap between electricity and gas prices as stated in its 2021 Heat and Building strategy is welcome, but it needs to outline a clear approach on how to do it, assess potential distributional effects, and pick up pace. The government should consider to permanently remove the policy levy on electricity at the consumption stage, as it has done between 2022 and 2024. To further reduce the price gap, this should be complemented with explicitly pricing emissions in the building sector by broadening the scope of the UK ETS to cover heating fuels according to their carbon content as recommended in the last *Economic Survey* (OECD, 2022[1]).

Figure 3.3. Effective carbon rates vary across sectors and countries

Estimated effective carbon rates, EUR per tonne of CO_2, 2021



Source: OECD (2023[11]).

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3.3. Energy efficiency upgrades are needed to support the decarbonisation of heat

3.3.1. Energy efficiency of homes has improved, but more needs to be done

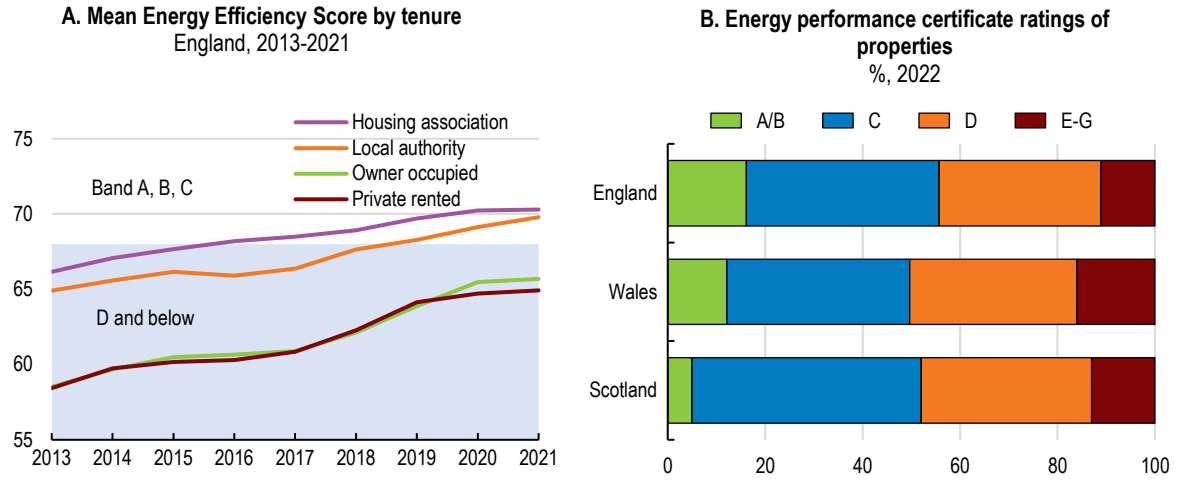
Improving the energy efficiency of homes should be complementary to policies promoting heat pumps. Even though heat pump technology continues to evolve leading to heat pumps running more efficiently, well insulated homes will allow for greater cost savings, while also ensuring that future energy demand is lowered. The recent energy crisis highlighted the benefits from a better insulated home. Estimates suggest, that families living in poorly insulated properties consume an extra 58% more gas over the course of a year, than they would in a home that meets the government's Energy Performance Certificate (EPC) target of a C rating (Anis-Alavi et al., 2022[12]). Improving the energy efficiency of the housing stock not only reduces emissions, but also reduces the reliance on fossil fuels and lowers the energy bill for households.

Despite considerable improvements over the past decade, about 45% of rated UK homes still have an EPC of D or lower (Figure 3.4). However, as only homes rented, marketed or built since 2008 are required to have an EPC rating, the share of homes with poorer energy performance is likely higher. The cost of insulating existing buildings depends less on household income than on several factors including age, size,

property type (apartment vs detached/semi-detached) and building technique (OECD, 2022[1]). Socially rented homes for example are on average more efficient, because they are generally newer, and include more flats, and housing associations also receive public funding to support upgrade costs (Anis-Alavi et al., 2022[12]).

Upgrading will help to improve the energy efficiency of the housing stock, however, upfront expenses of improving homes to the government target of EPC C are high. These ranged in 2021 from GBP 6 200 for homes with an EPC D to about GBP 14 000 for homes rated below EPC D (Department for Levelling Up,Housing and Communities, 2023[13]), and prices for insulation materials have been rising almost 50% between 2021 and 2023 (HM Government, 2024[14]). As recommended in the last *Economic Survey* (OECD, 2022[1]), local schemes to scale up demand could drive down cost for energy efficiency improvements and clean heating solutions. Under the Dutch *Energiesprong* model (Box 3.1), renovation needs are bundled up to create sufficient market size. This model, which has been started to be implemented for social housing in the United Kingdom, could be scaled up. Under such a scheme, local councils could provide a platform for homeowners or entire neighbourhoods with similar building structure to engage in competitive bidding for renovation works, ensuring strict quality controls and based on measurable results.

Figure 3.4. Energy efficiency of residential homes has improved



Note: The Energy efficiency of a property is rated from A (very efficient) to G (very inefficient), based on a score between 1-100. EPC A refers to a score of 92-100; EPC B: 81-91; EPC C: 69-80; EPC D: 55-68; EPC E-G: 1-54.

Source: Department for Levelling Up, Housing and Communities and Ministry of Housing, Communities & Local Government (2023[15]), English Housing Survey data on energy performance.

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Box 3.1. Local initiatives to increase scale for energy efficiency improvements of homes

The Dutch Energiesprong model

Initiated in 2013, The Dutch Energiesprong model is a housing process that aims to create Net Zero Energy (NZE) buildings on a large scale. By bundling renovation needs in social housing and creating sufficient market size for private investment, it led to mass application of low-cost production technologies and increased financial opportunities. Using new technologies, such as prefabricated facades, insulated roofs with solar panels, smart heating and ventilation, it aims to complete renovation within 10 days and to ensure a long-term performance warranty on energy performance. Energiesprong specifies performance outcomes, which means development teams are not tied to any particular system or design. In the Netherlands, the targets include the requirement that all energy use – including

plug-in appliances – must be net zero carbon. Energiesprong homes are designed to pay for themselves over 30 years. The idea is that one-off retrofitting costs are paid for by the subsequent reduction in planned maintenance and energy bills – cuts to the latter being passed on, in part, to the landlord.

Greener Neighbourhoods Pilot Program in Canada

To accelerate the retrofitting of existing buildings, Canada aims to aggregate homes and buildings in an entire neighbourhood and retrofit them all at the same time. The Government of Canada announced to invest CAD 35.5 million over five years, starting in 2022-23, for the establishment of a Greener Neighbourhoods Pilot Program to retrofit homes or units in up to six communities across the country using an aggregated deep retrofit approach based on the Dutch Energiesprong model. The objective of the programme is to accelerate the pace and scale of retrofits by aggregating similar homes and buildings in an entire neighbourhood to create mass demand for deep energy retrofits. This scale of project and the similarity of buildings can leverage new retrofit approaches, such as the use of prefabricated exterior panels, to reduce onsite labour time and overall project costs while reducing the energy use intensity and emissions from each building (Government of Canada, 2024[16]).

Source: OECD (2023[17]); Government of Canada (2024[16]).

3.3.2. Tightening energy efficiency standards for rentals and new homes

Regulation plays a crucial role in improving energy efficiency standards, especially in the rental market where split incentives create market imperfections. While enforcing energy efficiency standards in existing owner-occupied homes can be complex, the requirement for an Energy Performance Certificate (EPC) when selling homes should gradually reduce demand for inefficient housing. This reduction can occur through less favourable credit conditions if energy risks are properly considered in mortgage financing. Additionally, combining regulation to phase out fossil fuel heating with higher running costs for less energy-efficient houses can incentivise homeowners to gradually upgrade their homes' energy efficiency. Such supporting conditions will facilitate the gradual improvement of the housing stock. Meanwhile, stricter energy efficiency standards for rentals and new homes can lead to faster improvements. The UK building code already sets minimum requirements for social and privately rented homes, but further tightening is necessary to accelerate the overall uprating of the UK housing stock.

Energy efficiency has increased in the rental sector, since the introduction of regulations in 2018 prohibiting the letting out of a property which had an energy performance rating of F or below coupled with energy labels for private and social rentals. However, landlords can be exempted from meeting the energy performance standard if the cost of installing even the cheapest recommended measure exceeds GBP 3 500 (including VAT) (HM Government, 2023[18]). The government should phase in higher minimum performance standards for rental housing and review and increase the cost threshold to reflect price developments. Decarbonising the rental sector can be challenging as landlords have weak incentives to invest in electrification and insulation as the resulting energy-bill savings accrue to tenants. Tenants also have weak incentives to invest, because rental contracts are often too short for lower future energy bills to compensate for the upfront investments (OECD, 2023[11]). Government plans to tighten the minimum standard for rental housing to band C by 2028, were scrapped in September 2023. As the private rental market accounts for about 20% of all dwelling the government should reconsider and recommit to the minimum standard to band C with a concrete timeline to support the uprating of the overall housing stock, while monitoring its impact on supply in the rental market.

Energy efficiency standards for new buildings can achieve large energy savings at limited additional investment cost. The "Future Home Standard" will ensure from 2025 that new homes produce at least 75% lower CO_2 emissions compared to those built to current standards by using very high-quality building fabric (structural materials, insulation etc.), triple glazing standards and low-carbon heating through heat pumps to replace their older, less efficient counterparts (BEIS, 2021[19]). The Future Home Standard also

requires new homes to be "zero-carbon-ready". This means they use electricity from renewable energy sources, and will automatically have zero carbon emissions once the electricity grid is fully decarbonised (Department for Levelling Up, Housing and Communities, 2023[20]). As it is less disruptive to consumers, and significantly cheaper and easier to install energy efficiency and low-carbon heating measures as buildings are constructed, rather than retrofitting them afterwards, this development is welcome. However, there is also a risk the heat pump market does not grow fast enough to deliver around 200 000 heat pumps in new builds annually from 2025 (Climate Change Committee, 2023[2]). Recommitting to phase out fossil fuel boilers as described above and committing to end connections to the gas grid for new homes could support the growth of necessary supply chains, coupled with workforce upskilling, as discussed below.

3.4. Energy efficiency improvements and clean energy heating need support from financial institutions and government

3.4.1. Scaling up green financing

Financial markets can support the decarbonisation of housing by smoothing high upfront cost that often have long pay-off periods. The Department for Business, Energy and Industrial Strategy (2022[21]) estimated that up to GBP 65 billion of investment (2.9% of 2023 GDP) will be required to upgrade the UK housing stock to an average EPC band C rating by 2035. This calls for a diverse portfolio of private green finance products that will be required to meet a series of market needs ranging from the acquisition to improvement of domestic buildings to meet or exceed relevant market standards on energy efficiency, carbon emissions, material use or climate resilience.

In the United Kingdom, the green mortgage market offers marginally cheaper lending than traditional borrowing and shows signs of picking up. By the end of 2023, the Green Finance Institute registered about 60 green financing products fitting into two categories: *i)* for homebuyers looking to purchase an already energy efficient property; and *ii)* for those looking to access capital to fund improvements in their home. On top of this, some lenders are also rewarding existing mortgagors with cashbacks for specific green improvements, e.g., solar panels. However, uptake of green mortgages seems to be constrained due to their lack of competitiveness and the limited awareness among customers (Department of Energy Security and Net Zero, 2024[22]).

Scaling up the green housing finance market requires reliable, internationally comparable energy performance certification of all buildings such that conditions for benefitting from favourable financing can be clearly identified by financial institutions and customers (OECD, 2023[11]; de Mello, 2023[23]). The energy certification should be expanded to all residential buildings in the United Kingdom, not just those for sale or rent. To encourage energy performance certification for housing that is not up for sale or rent, the cost of the EPC rating could be covered by banks (e.g., through a cash back scheme), when green financing products are assessed for home improvements. This would allow financial institutions to better identify energy consumption-related risks and benefits, while supporting the gradual expansion of energy performance ratings to the existing housing stock. Advancing the development of common methodologies and ratings criteria for credit assessments in the green finance market, could further improve the competitiveness of green financing products together with incorporating energy consumption-related risks and benefits of energy efficiency improvements (de Mello, 2023[23]).

3.4.2. Supporting investments in heat pumps and energy efficiency upgrades

The UK government has several schemes to help households with energy efficiency improvements and the installation of heat pumps. Heat pumps require significant up-front investment, for instance the average cost of a heat-pump installation in 2022 amounted to about GBP 10 000 (Climate Change Committee, 2023[2]), about four times as expensive as a gas boiler (IEA, 2024[24]). To increase the demand for heat-pumps and thereby grow this market, the government introduced grants for homeowners under the

boiler upgrade scheme in 2022. In 2023, the amount available per homeowner was increased from GBP 5 000 to GBP 7 500 and the overall size of the scheme was expanded (HM Government, 2023[25]), which is a positive development. The government should consider prioritising the boiler upgrade grants based on household income in the short term, while moving to a means-tested scheme over the medium term.

Homeownership is the predominant form of tenure in the United Kingdom, encompassing households across various income levels. This diversity presents affordability challenges in progressing towards the decarbonisation of homes as about one third of homes are owned by households in the lowest income quintile (OECD, 2022[26]). High up-front costs of decarbonising heat or improving the energy efficiency of homes pose a significant financial challenge to those households, even further aggravated in the current economic context of high living cost and tightened financing conditions (Chapter 1). The UK government has several schemes in place that support especially lower income households and those with high heating needs (Table 3.2). Since its Spending Review in 2021, the government increased spending committed to measures to improve energy efficiency up until 2027-28, which is welcome (HM Government, 2024[27]). In addition, government mandated schemes place an obligation on energy suppliers to promote measures that raise the ability of low income/fuel poor households to heat their homes, including measures to improve energy efficiency.

Support for energy efficiency improvements for lower income households is also key to successfully phase in tighter energy efficiency regulation and to avoid adverse distributional effects of carbon pricing that will disproportionately affect low-income households and those with high heating needs. A portion of carbon pricing revenues should be used for schemes compensating low-income and fuel-poor households and supporting their green investments.

Table 3.2. Government funded schemes supporting energy efficiency, heating and renewable energy in homes

Scheme	What is it	Eligibility	GBP for 2025-2028 (% of 2023 GDP)
Social Housing Decarbonisation Fund	Upgrade 'significant' amounts of social housing stock to EPC band C or higher.	All existing social housing as defined by the Housing and Regeneration Act 2008 (sections 68-70), below EPC band C, regardless of archetype, are eligible.	1.253 billion (0.05%)
Boiler Upgrade Scheme (BUS)	Upfront grants to help with the cost of installing renewable heating systems in domestic properties and small non-domestic properties in England and Wales. Property-owners can get GBP 5 000 towards the cost and installation of a biomass boiler, or GBP 7 500 towards the cost and installation of ground source heat pump or an air source heat pump (including water source heat pumps and those on shared ground loops.	The BUS is open to properties with an installation capacity up to 45kWth and a current energy performance certificate with no outstanding recommendations for loft or cavity wall insulation. There is a limit of one BUS grant per property. It does not cover social housing.	1.545 billion (0.07%)
Heat Network Transformation Fund (including: Green Heat Network Fund, Heat Network Efficiency Scheme)	Help up to 60 000 homes and buildings access affordable, low carbon heating through new heat networks, reducing our use of fossil fuels and providing more reliable heating		530 million (0.02%)
Local authority retrofit scheme	Details to be announced	Low-income households.	500 million (0.02%)
Energy Efficiency Grant	Details to be announced		400 million (0.02%)

Source: HM Government (2024[27]).

3.5. Growing the supply chain requires substantive investment in skills

Growing the market for heat pumps will be essential in supporting the decarbonisation of homes. However, progress has been slow. While the government targeted 600 000 heat pump installations by 2028, current rates are only around one-ninth of this target and heat pump installations would need to accelerate 11-fold (National Audit Office, 2024[6]). Increasing demand for low carbon choices will be key for the industry to become active in increasing supply, but requires empowering and informing households and communities. Information campaigns are valuable tools to raise awareness about buildings' thermal characteristics, energy efficiency and the actual renovation process, including administrative help or financing options (OECD, 2023[11]). The government launched an online home retrofit tool, and a phoneline service that helps provide consumers in England with tailored and impartial information about how to improve the energy performance of their homes. Consumer awareness of the benefits of heat pumps and the Boiler Upgrade Scheme is also being raised through a targeted marketing campaign (HM Government, 2023[5]). These developments are welcomed and should be continued.

Scaling up heat pump installations is also limited by a lack of skilled workers (see Chapter 4). According to the Climate Change Committee, the number of trained heat-pump installers in 2022 fell with about 4 100 significantly short of the 10 500 target. This indicates that the growth of supply chains and workforce upskilling is not keeping pace with the rates necessary to meet the government's longer term objectives (Climate Change Committee, 2023[2]). To address the skill gap, the government introduced in September 2023 the Heat and Training Grant to support up to 10 000 heat pump and heat network training opportunities from 2023-24 to 2024-25 (National Audit Office, 2024[6]), which is welcome. To ensure that there are sufficient skilled workers to deliver, training opportunities should continue beyond 2025. Further, government action to set up more local skills accelerators in areas where the need to insulate is greatest, and a capable workforce is most lacking, would be welcome. A strong regulatory policy commitment can provide long-term certainty that industry needs to invest in training and should complement government programmes. The requirement on big boiler companies to ensure heat pumps account for 4% of their total boiler unit sales, or be penalised GBP 3 000 for every item by which they fall short was deferred from April 2024 to April 2025, although the 2025 boiler unit sales target of 6% remains. Still, this development lowers the immediate need for the industry to become active on providing training and scaling up the offer of heat-pumps themselves, the government should advance the timeline on big boiler companies and commit to it. Finland, for example has successfully expanded its heat pump market through a combination of price incentives, regulation, training and government initiatives (Box 3.2).

Box 3.2. Finland's Heat Pump market

Finland is a world leader in heat pump sales, with over one million units installed in a country of 5.5 million people. Air-source heat pumps, particularly air-to-air, dominate the market. In 2022 alone, around 200 000 heat pumps were sold that year, a 52% increase since 2021 and the highest number of heat pumps sold in the European Union per 1 000 people.

Finland has promoted the heat pump market in several ways:

- Building regulations: Changes in building regulations in 2003, 2007, 2010, and 2012 have imposed higher insulation and energy efficiency standards, propelling the construction industry towards more heat pump installations.
- Carbon taxation: Finland introduced a carbon tax as early as 1990, based on the carbon content of fossil fuels, becoming the first country to use a carbon tax as an instrument for climate change mitigation. Through successive reforms, Finland increased the rates and combined the carbon tax and the energy tax.

- The Finnish national heat pump association, SULPU, established in 1999, has played a crucial role in improving training, quality standards, and maintenance capacity, which has boosted the sector's reputation and sales.
- Government initiatives: In 2001, Finland introduced a tax deduction scheme for various services provided to households, including work involved in installing heat pumps. A household may deduct 50% of the provided services from its personal taxation. Heat pumps are further promoted through information and communication campaigns financed by ministries, and via development projects. Since June 2020, a grant programme has provided subsidies for replacing oil and gas boilers with heating systems that do not use fossil fuels. The current programme will have funds to support the replacement of 36 000 boilers out of the approximate national stock of 150 000. In 2022, the government lowered tax rates on electricity consumed by pumps in geothermal heating plants, and certain heat pumps and electric boilers, with the aim to further increase the attractiveness of investing in renewable heating.

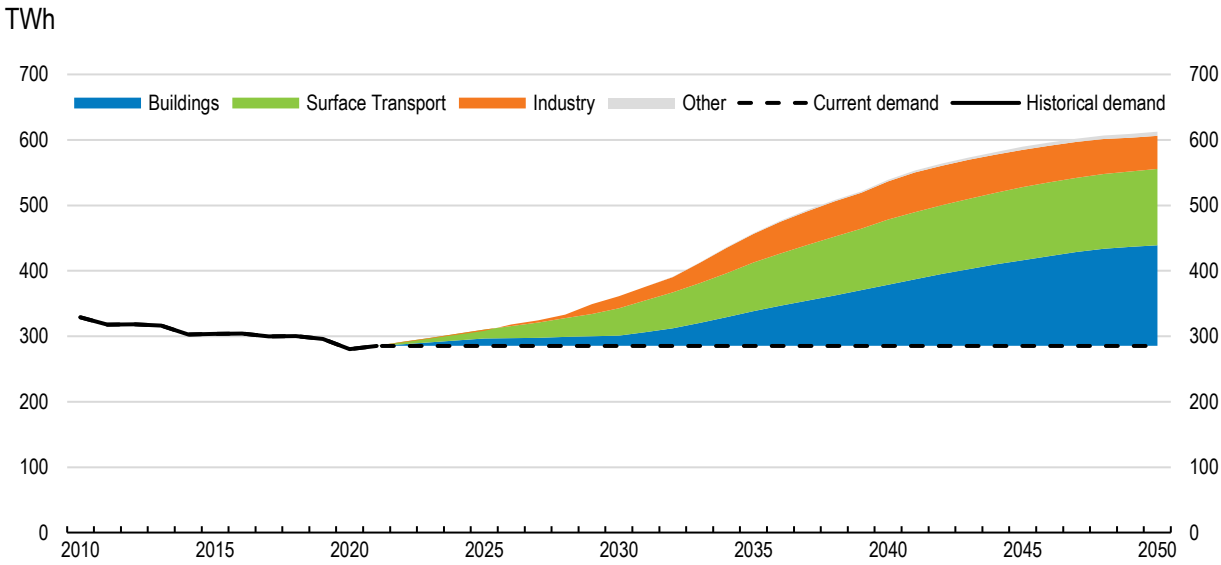
Source: IEA (2018[28]; 2023[29]).

3.6. Developing supportive infrastructure

Scaling up clean electricity is needed to meet the large-scale shift to electrified, decarbonised heat. As the United Kingdom transitions to net zero, the demand for electricity is expected to increase significantly not only for the building sector, but also for surface transport and industry (Figure 3.5). About 46% of electricity generation in the United Kingdom stems from renewables, mostly from wind (IEA, 2023[30]). The Contract for difference (CfD) auctioning scheme for renewable energy licences has been key for the United Kingdom to become a leader in offshore wind projects (OECD, 2022[1]). Under the CfD, developers are paid a flat indexed rate for the electricity they produce over a 15-year period, based on the difference between the strike price and the average price in the UK market. However, in 2023, CfDs failed to attract bids for offshore wind projects due to a failure to adjust the annual price to reflect substantial increases in supply chain costs beyond inflation (Climate Change Committee, 2023[8]). The government has since reviewed its assumptions and significantly increased the budget available for the auction round in 2024, which is welcome. Given the high importance of offshore wind farms for the UK's electricity generation and within its energy security strategy (HM Government, 2023[31]; 2022[32]), the government should ensure that underlying assumptions for the setting of the annual price properly reflect price developments to accelerate the delivery of contract awards and the commissioning of offshore wind farms.

The planning system plays a crucial role in supporting the roll-out of low carbon heat and the development of the electricity grid. The deployment of low-carbon heat must be considered within a wider strategy that ensures energy security and energy priority needs of other sectors across the United Kingdom. It is therefore welcome that the government is developing a national energy infrastructure plan and is setting out an Action Plan to halve the time to build new electricity grid infrastructure to seven years (HM Treasury, 2023[33]). Moreover, rigidities in the planning system have been holding back investment (see Chapter 2), also into low-carbon power generation. The government announced to speed up connections to reduce delays from currently five years to no more than six months (HM Treasury, 2023[33]) through a series of reforms laid out in the governments connections action plan (Department for Energy Security and Net Zero, 2023[34]), which is a positive step.

Figure 3.5. Future energy demand across sectors will rise



Note: Based on CCC's Balanced Pathway for the Sixth Carbon Budget.
Source: BEIS (2022) Energy Trends; CCC (2020) The Sixth Carbon Budget.

StatLink https://stat.link/k4lso9

Private investment will be crucial to meet large-scale investment needs to support the green transition. The government and the National Infrastructure Commission estimate that getting to net zero will requires additional annual investment of more than GBP 50 billion by 2030 from the private non-household sector (HM Government, 2023[35]; National Infrastructure Commission, 2023[9]), particularly to meet the necessary funding for related infrastructure. To crowd in private investment, the UK Infrastructure Bank (UKIB) was set up in 2021 to compensate the lost access to the European Infrastructure Bank (OECD, 2022[1]). Compared to international counterparts, activities are still of small scale relative to the country's investment needs. Institutional investors lack co-investment vehicles to encourage them to invest for public policy outcomes over the long term. The government should ensure to remain competitive in attracting private sector investment from both domestic and international markets by evaluating potential obstacles to scale up green investment through the UKIB. This will be particularly important in the context of recent international policy developments where strong incentives for renewables and green technologies are being offered in the United States and the European Union (see Box 3.3). The UK Treasury set the current borrowing cap for the UKIB at GBP 1.5 billion per year, which should be regularly reviewed in terms of appropriateness in the context of international developments and funding needs.

Box 3.3. Green investment incentives in the United States and the European Union

US Inflation Reduction Act

Under the Inflation Reduction Act (IRA), the United States provides USD 38 billion a year in government support for renewables for the period 2023 to 2033. This adds to USD 25 billion a year in spending on energy-related programmes under the Bipartisan Infrastructure Bill for the period 2021 to 2025. Altogether, spending under the two Acts accounted for 0.3% of GDP in 2023, or half of EU countries' spending on renewable energy subsidies of 0.6% of GDP in 2020. The IRA also imposes domestic content rules. In practice, domestic requirements might be less stringent as sub-components can be imported. USD 5 billion a year are allocated to the clean-vehicle credit. US consumers who purchase new electric vehicles are eligible to receive a tax credit of up to USD 7 500. This applies only to cars produced in the US, Canada, and Mexico, and essentially amounts to an import tariff of about 15% for an electric vehicle with a price of USD 50 000. The bulk of government support under IRA (USD 25 billion a year) consists of tax credits. For instance, wind installations can obtain a tax credit of USD 0.15 per kWh. If 40% of the manufacturing content of wind turbines are produced in the Unites States, the tax credit rises by 10%.

EU Green Deal Industrial Plan

The February 2023 Communication on the Green Deal Industrial Plan for the Net-Zero Age aims at scaling up the European Union's carbon neutral manufacturing capacities and supporting the use of sustainable materials in construction and other sectors. It also proposes measures to enhance the competitiveness of Europe's carbon neutral industries. The premise of the Plan is the need to massively increase the technological development as well as manufacturing of net-zero products and scale up the supply of renewable energy in the next decade. The Plan is based on four pillars: (i) a predictable and simplified regulatory environment, (ii) faster access to funding, (iii) skills and (iv) open trade for resilient supply chains.

Source: OECD (2023[36]); European Commission (European Commission, 2023[37]).

Table 3.3. Past recommendations on infrastructure investment

Past recommendation	Actions since previous survey
Expand existing investment strategies and create medium term objectives for the UKIB, in particular with respect to the green transition, to guide markets	The UK Treasury and the UKIB set out strategic priorities for the medium term focusing on providing finance to tackle climate change and support regional and local economic growth across the United Kingdom as it will help guide markets. UKIB's mandate has been clarified to include decarbonisation of residential homes.

Table 3.4. Findings and recommendations to decarbonise residential housing

Findings	Recommendation (Key recommendations in bold)
Institutional set-up	
The UK government has a broad strategy to decarbonise the housing sector. Policy progress, however, has been slow creating difficulties for households and businesses to make key decisions. Uncertainties increased further when the government delayed and backtracked on previous commitments.	**Update the 2021 Heat and Building strategy with a concrete and credible timeline for tightened energy efficiency standards and clean heating regulation**.
Removing price distortions to incentivise low carbon heat	
Gas heating is less expensive than electricity heating and effective carbon prices in the housing sector are low. The risk of higher running costs of heat pumps and high installation costs deter households' investment in heat pumps, the most energy efficient solution to heat homes.	**Explicitly price emissions in the building sector by broadening the scope of the UK ETS to cover heating fuels according to their carbon content.** Gradually close the gap between electricity and gas prices following a transparent strategy. Permanently remove the policy levy on electricity prices.
Improve energy efficiency and heat-pump uptake	
About 45% of rated UK homes have an Energy Efficiency Certificate of D or lower, below the government target of a C rating. Upfront investments to increase energy efficiency and upgrading to electrified heat are high holding back investment. Bundling renovation needs across homeowners and neighbourhoods can create sufficient market size to benefit from economies of scale.	Develop a platform for homeowners and neighbourhoods to support bundle needs for residential energy efficiency improvements and clean heating systems with competitive bidding and payments based on measurable results on energy use reductions.
Rental homes make about 20% of UK's housing stock. Phasing in minimum efficiency standards of EPC C by 2028 was scrapped late 2023.	**Reinstate the minimum efficiency standard for rental housing to band C with a concrete and credible timeline.**
Financing energy efficiency improvements and clean energy heating	
Access to green finance is growing slowly and can help smooth the high upfront cost for households investing in clean heating and energy efficiency. Energy performance certification is only needed since 2008 for homes to be sold, rented or newly build. Benefits of energy improvements for unrated housing are uncertain.	**Develop common methodologies and ratings criteria such that energy consumption-related risks and benefits of energy efficiency improvements are incorporated in credit analysis.** Expand energy performance certification to all residential buildings, not just those for sale or rent.
Heat-pump installations require considerable up-front investment. To increase the demand and to stimulate this market, the government introduced grants for homeowners under the boiler upgrade scheme in 2022.	Prioritise household grants for energy efficiency improvements and the installation of heat pumps based on income, and over the medium-term target based on means-testing.
About a third of homes is owned by households in the bottom income quintile who could experience liquidity constraints to make green investments.	Use a portion of carbon pricing revenues for compensating low-income and fuel-poor households and supporting their green investments.
Growing the heat pump supply chain requires substantive investment in skills	
Scaling up heat pump installations is limited by lack of skilled workers, slowing the green transition.	Expand investment in training opportunities for skills needed for the green transition beyond 2025, notably housing energy efficiency and clean heating.
Developing supportive infrastructure	
Scaling up clean electricity is needed to meet the large-scale shift to electrified decarbonised heat. About 45% of electricity comes from renewables, mostly wind. But in 2023 auctioning schemes for renewable energy licenses have failed to attract sufficient bidders for offshore wind projects as underlying assumptions in setting the annual price did not fully reflect increases in project costs.	Ensure that underlying assumptions better reflect price developments in contract awards and the commissioning of offshore wind farms when setting the annual price.
The UK Infrastructure Bank is comparatively small in scale compared to international counterparts and investment needs. The current borrowing cap is set at GBP 1.5 billion per year.	Review the borrowing cap and evaluate potential obstacles to scale up green investment through the UK Infrastructure Bank.

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4 Boosting labour supply

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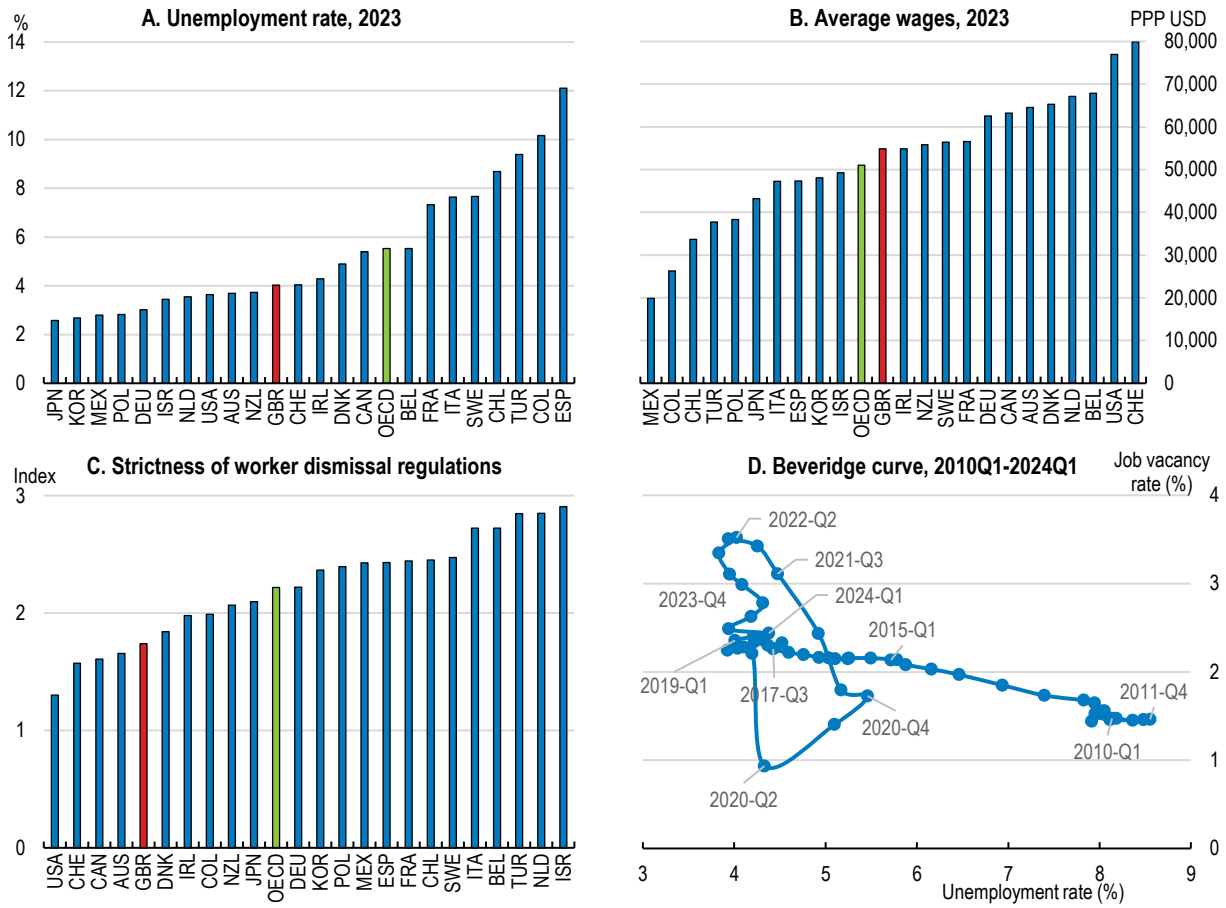
Labour market participation in the United Kingdom remains markedly lower than before the pandemic, jeopardising growth potential and wellbeing. The government has made boosting labour supply a priority, but legislated return-to-work measures are not sufficient to reverse the rise in economic inactivity on the back of mounting long-term sickness, participation-dampening gender norms, and inadequate skills. Reforming the Work Capability Assessment so that ill health-related income support is not conditioned on being found unfit for work would reduce incentives to seek and maintain long-term sickness status, thereby reducing labour market detachment. Indexing personal tax thresholds to inflation, while prioritising National Insurance Contributions thresholds if fiscal space is constrained, would strengthen work incentives, especially at the lower end of the earnings distribution. Setting and monitoring interim implementation milestones for the expansion of free childcare, and prioritising low-income households if childcare supply falls short of demand, would allow flexibility against the fast timeline for rolling out the reform and bolster labour market entry. Reducing apprenticeship subsidy rates for current employees within the Apprenticeship Levy scheme would promote school-to-work transitions for low-skilled young people and early school leavers.

4.1. Rising inactivity overshadows good labour market outcomes

The United Kingdom is experiencing a substantial and persistent increase in economic inactivity. The British labour market weathered the successive disruptions of the end of free movement for EU workers, the massive uptake of the Coronavirus Job Retention Scheme on the back of pandemic lockdowns, and the energy crisis, with only a temporary increase in unemployment (Chapter 1). However, the magnitude and repetition of shocks appear to have scarred labour supply, leaving labour force participation markedly lower than before the pandemic.

The British labour market remains strong and flexible in international comparison. Unemployment is low (Figure 4.1, Panel A). Workers enjoy higher wages than the OECD average in purchasing power parity terms (Figure 4.1, Panel B), and recently benefited from strong pay growth above inflation (ONS, 2024[1]). Hiring and dismissal regulations are relatively lenient (Figure 4.1, Panel C), facilitating the reallocation of labour resources between occupations and from contracting to expanding businesses (OECD, 2020[2]). The labour market functions smoothly overall, as reflected in the steady return of unemployment and vacancy rates to pre-pandemic conditions after sharp changes (Figure 4.1, Panel D).

Figure 4.1. The British labour market is relatively strong and flexible



Note: OECD refers to the simple average of OECD countries. Panels A refers to the share of population aged 15-64. Panel B refers to the ratio of total wages to total employment in full-time equivalent. Panel C refers to the index of employment protection legislation against individual dismissal for workers on regular contracts. Panel D refers to the share of population aged 15-64; the job vacancy rate is the ratio of the stock of job vacancies to the total of occupied and vacant jobs.
Source: OECD Labour Force Statistics (database); OECD Employment Protection Legislation (database); Office for National Statistics.

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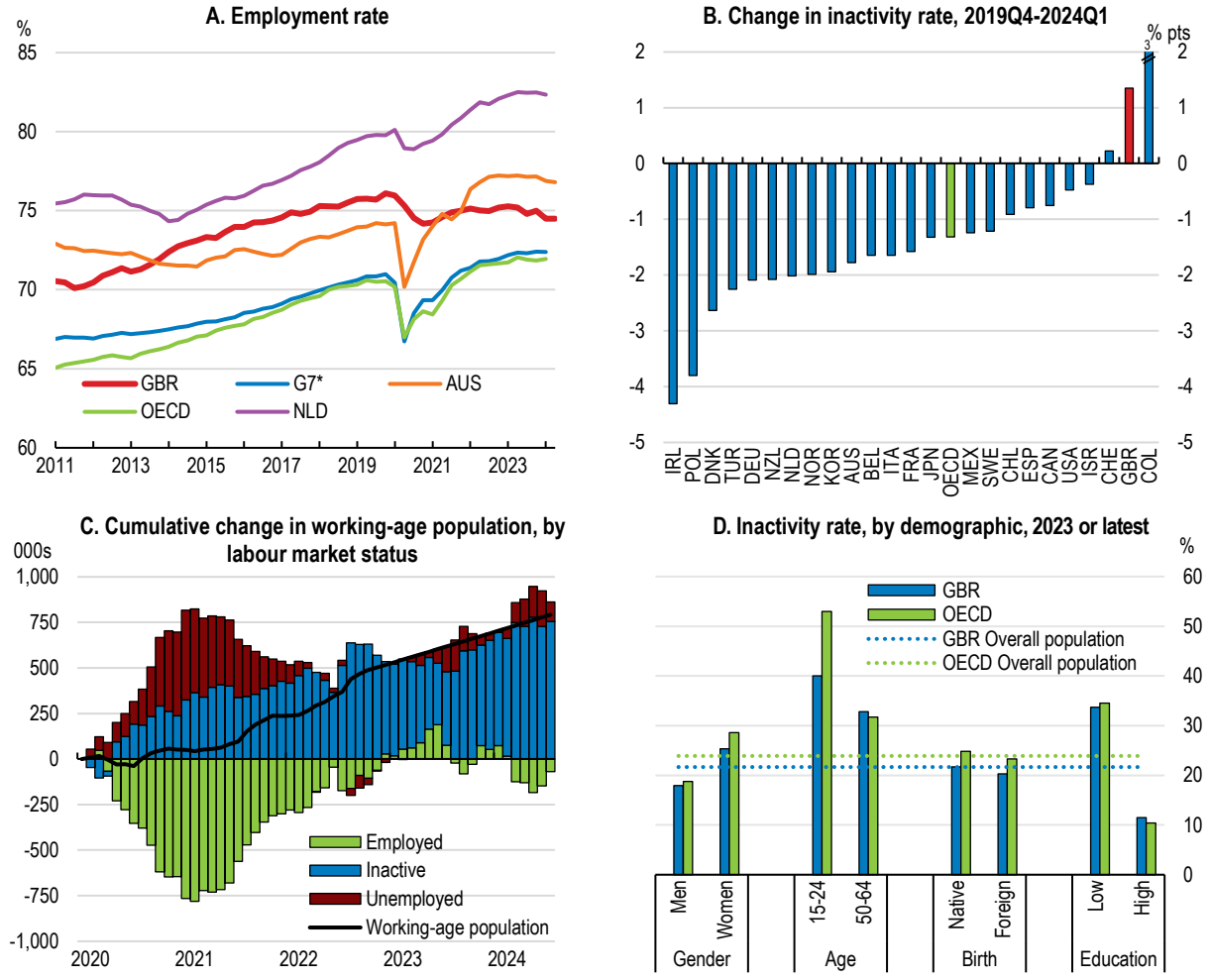
Yet, after driving GDP growth over a decade of steady increase, employment stalled in the wake of the pandemic. The employment rate, while high in international comparison, has yet to recover (Figure 4.2, Panel A). Flat employment sets the United Kingdom apart from most OECD countries, where trend increases in employment rates resumed (OECD, 2024[3]). Weak employment growth since the pandemic undid about a fifth of the improvement in labour market participation recorded in the decade after the global financial crisis (OBR, 2023[4]). Resilient hours worked partly attenuate employment adjustments, as hours per worker had recovered by the first quarter of 2023, in contrast to a small average decline across OECD countries (OECD, 2023[5]). Net migration also supported labour supply, contributing more than one percentage point to the growth in the labour force in 2023 (OECD, 2024[6]).

Figure 4.2. The post-pandemic rise in economic inactivity endures



Note: Panels A and B refer to the share of population aged 15-64; OECD refers to the simple average of OECD countries; G7* refers to the simple average of G7 countries excluding the United Kingdom. Panel C refers to the population aged 16-64. Panel D refers to the within-group share of population aged 15-64, except for Education (25-64).
Source: OECD Labour Force Statistics (database); Office for National Statistics.

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In contrast with most OECD countries, economic inactivity in the United Kingdom stays higher than before the pandemic. While low in international comparison, the inactivity rate (i.e., the share of the working-age population neither working nor actively seeking employment) at 22.1% in the first quarter of 2024 stands about one percentage point higher than in the last quarter of 2019 (Figure 4.2, Panel B). The pandemic

appears to have reversed the decade-long decline in economic inactivity in the United Kingdom, in sharp contrast with comparable economies where the trend was only temporarily interrupted (OECD, 2024[7]). About nine and a quarter million people aged 16-64 were economically inactive as of early 2024, almost 750,000 more than before the pandemic, absorbing the bulk of the increase in the working-age population (Figure 4.2, Panel C).

Economic inactivity rates differ considerably across demographic groups. The gender inactivity gap is lower than the OECD average but remains substantial at about seven percentage points (Figure 4.2, Panel D). The incidence of inactivity is particularly high among youth and for people with education below upper secondary level, yet to a lesser extent than the OECD average. People born abroad are less likely to be economically inactive than those born in the United Kingdom, pointing to a positive contribution of net migration to labour supply.

Known issues regarding the quality of British Labour Force Survey (LFS) data complicate the estimation of employment, unemployment, and inactivity rates. Increased volatility of LFS-based estimates, largely due to a trend decline in response rates and high pandemic-induced non-response bias, create significant uncertainty about the actual level of available labour resources in the United Kingdom (Box 4.1), thereby hampering policymaking. Yet, most available evidence points to structural weakness in British labour supply.

Structural policies can boost labour supply in the United Kingdom, both by reducing economic inactivity and by increasing hours worked. First, policies can decrease the opportunity cost of employment overall, mainly by strengthening work incentives through the tax and benefit system and facilitating return to work for the long-term sick. Second, policies can focus on specific groups for which economic inactivity is relatively high or hours worked relatively low, in particular women. Third, policies can promote the supply of skills that are in high demand, like in occupations necessary for the low-carbon transition and the continued digitalisation of the economy.

The UK government has made increasing labour supply a key priority to support both growth and well-being, with a focus on reducing economic inactivity. A battery of policies were legislated following successive fiscal events since the 2023 Spring Budget to support people into work, notably cuts in the rate of employee National Insurance Contributions (HM Treasury, 2024[8]; HM Treasury, 2023[9]), and a major expansion of childcare support, with free childcare extended to children aged nine to 24 months (HM Treasury, 2023[10]), in large part along the lines of recommendations in previous *OECD Economic Surveys of the United Kingdom* (OECD, 2022[11]; OECD, 2020[12]; OECD, 2017[13]). Other relevant measures to reduce economic inactivity include higher apprenticeship subsidies for youth in SMEs; a two-year pilot to promote apprenticeships in high-value manufacturing, engineering, and life science; and marginally more funding for existing training programmes, including *Skills Bootcamp*, a reskilling programme focused on digital, green, and technical skills, and for the *Sector-based Work Academy Programme*, designed to provide jobseekers with work experience.

The boost in labour supply from legislated measures on National Insurance Contributions cuts, childcare expansion, and welfare reform is not enough to reverse the rise in economic inactivity. The rate of labour market participation is expected to continue falling from its pre-pandemic quarterly peak over a five-year horizon (OBR, 2024[14]). Weak labour supply not only weighs on the volume of output, but also decreases the productivity of physical capital, the accumulation of which is already jeopardized by sluggish investment (Chapter 2). Rising economic inactivity also adds to the drag from ageing in the United Kingdom (Figure 4.4, Panel A), hence worsens fiscal sustainability challenges by reducing the relative size of the tax base to finance rising public expenditure on pension, health, and long-term care (Chapter 1).

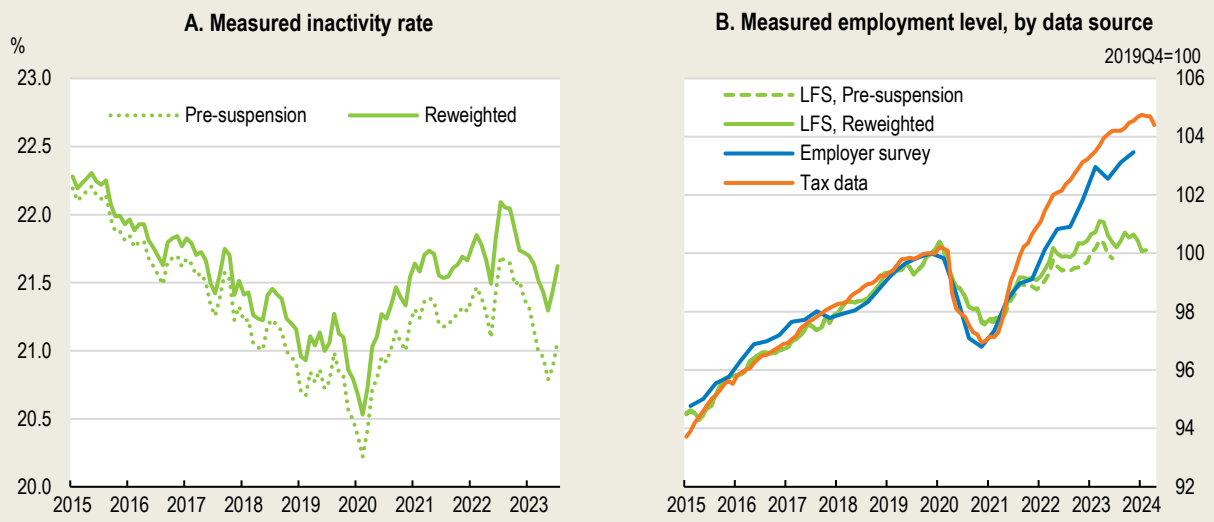
Box 4.1. Quality issues with Labour Force Survey and uncertainty about labour market statistics

Declines in the rate of response to Labour Force Surveys (LFS) observed in many OECD countries have raised concerns regarding the representativeness of LFS-based labour market statistics. In Great Britain, response rates have fallen below 15% as of late 2023, down from about 50% ten years earlier, reducing the LFS sample size from about 82 000 to about 32 000 (ONS, 2024[15]). Lower response rates increase sampling variability, hence volatility in the estimates for employment, unemployment, and economic inactivity rates. The impossibility to conduct face-to-face interviews during pandemic lockdowns added to the trend decline and increased non-response bias, e.g., as renters became under-sampled. In the United Kingdom, major concomitant changes in migration patterns introduced further non-response bias, e.g., as the foreign-born are less likely to respond.

Representativeness concerns led the Office for National Statistics to suspend the publication of LFS-based labour market statistics from October 2023 through to January 2024, and to release reweighted estimates in February 2024 under the badge "official statistics in development", based on new population census data, updated estimates of international migration, plus a sample boost and the reintroduction of face-to-face interviews (ONS, 2024[16]). The reweighted estimates suggest that statistics based on the pre-suspension weights had been increasingly underestimating the rate of economic inactivity (Figure 4.3, Panel A). Reweighted LFS estimates continue to exhibit a post-pandemic break vis-à-vis alternative data sources, either employer survey or tax data (Figure 4.3, Panel B). If alternative sources give a truer picture of employment, then the LFS may overestimate the true inactivity rate.

This chapter relies on reweighted LFS estimates for all labour market statistics, unless stated otherwise. Measures differ from previously published data, and may change following the publication of the Transformed Labour Force Survey, currently under development.

Figure 4.3. Discrepancies across data sources create uncertainty regarding labour availability



Note: Panel A refers to the share of population aged 16-64; "Pre-suspension" refers to estimates based on LFS weights used before October 2023; "Reweighted" refers to estimates published since February 2024. Panel B refers to the population aged 16-64; "Employer survey" refers to Workforce Jobs data from the Office for National Statistics; "Tax data" refers to Pay-As-You-Earn/Real-Time Information data from HM Revenue & Customs.
Source: Office for National Statistics.

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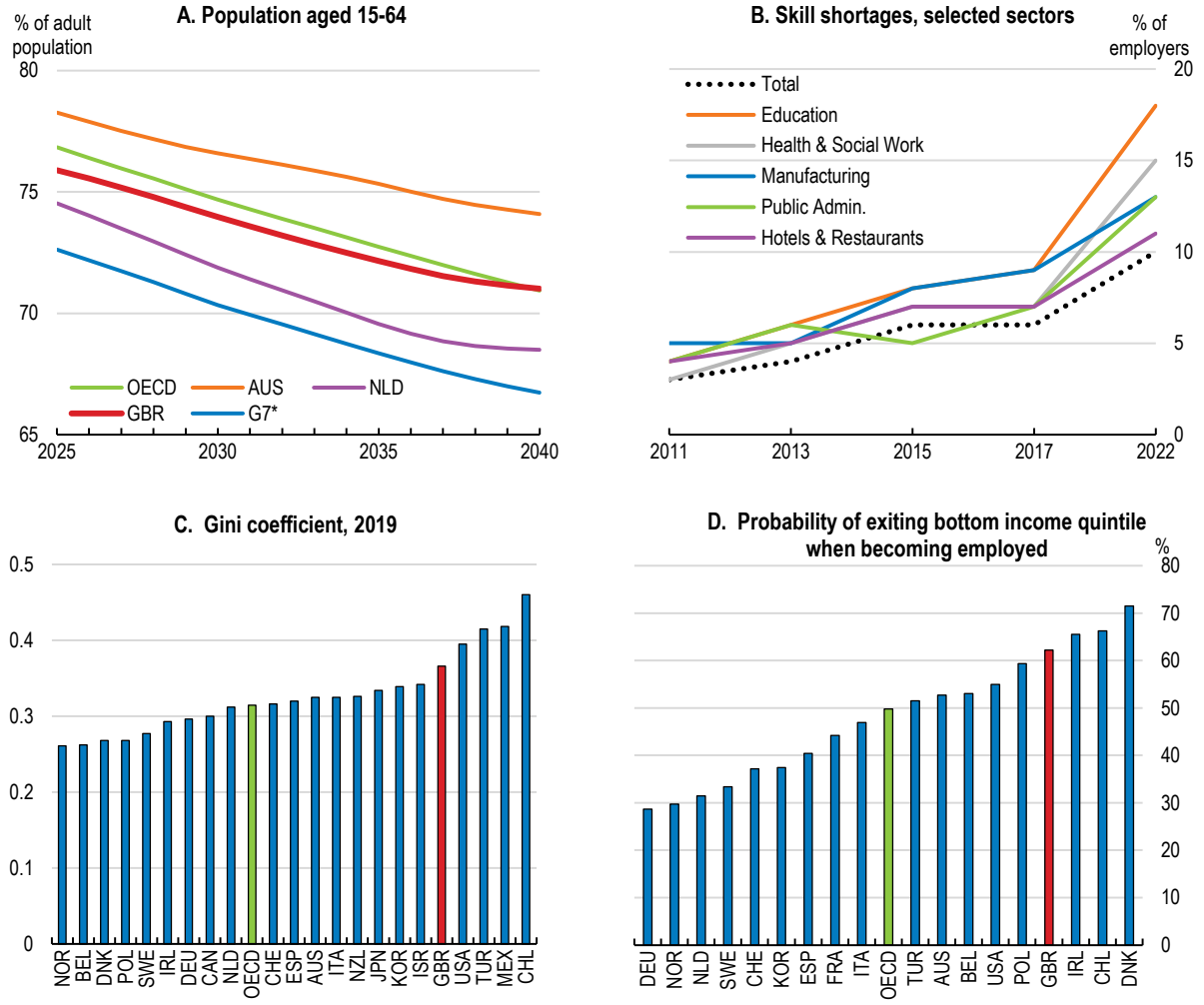
Figure 4.4. Stronger labour supply is needed to address ageing, shortages, and inequality



Note: Panel A refers the population aged 15-64 as a share of the population aged 15 and over; OECD refers to the simple average of OECD countries; G7* refers to the simple average of G7 countries excluding the United Kingdom. Panel B refers to the share of employers reporting hard-to-fill vacancies due to applicants lacking the required skills, qualification, or experience. Panel C refers to disposable income; OECD refers the simple average of OECD countries. Panel D refers to exit probabilities from the first income quintile from one year to the next over a four-year period in the early 2010s, except for Chile (2006-09); OECD refers to the simple average of countries for which data are available.
Source: OECD Population Projections (database); Department for Education; OECD Income Distribution Database; OECD (2018[17]) *A Broken Social Elevator? How to Promote Social Mobility*.

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Not only the quantity, but also the quality of labour supply matters for growth. Short-term, pandemic-induced imbalances between labour supply and demand have receded in the United Kingdom, but shortages of skilled labour remain, impeding British businesses to operate at their desired production level. An increasing share of employers have been reporting skill-shortage vacancies, defined as hard-to-fill vacancies occurring when an employer cannot find applicants with the required skills, qualification, or experience (Figure 4.4, Panel B). Shortages also contribute to upward pressures on labour costs, complicating monetary policy (Chapter 1).

Boosting labour supply would also help reduce inequality in the United Kingdom, as labour market earnings constitute households' main source of income. Income inequality is structurally high by OECD standards (Figure 4.4, Panel C). Yet, exiting economic inactivity is particularly conducive to better incomes for British households, as the probability to escape poverty when becoming employed is one of the highest in the OECD (Figure 4.4, Panel D). Higher participation and labour market earnings are key for British workers

against the backdrop of an acute cost-of-living crisis (Chapter 1). However, real earnings are unlikely to grow sustainably in the absence of productivity growth (Chapter 2).

Addressing economic inactivity is particularly important for young cohorts, given the scarring effects of weak school-to-work transitions. Labour market participation among the 18-24 year-olds appears on a decline, from over 70% before the pandemic to about 66% as of the last quarter of 2023 (ONS, 2024[18]). The concomitant increase in the number of people aged 18-24 not in employment, education or training (NEET) suggests that declining labour market participation among youth does not only reflect increased participation in higher or post-secondary education (ONS, 2024[19]), even though LFS-based estimates of NEET rates are subject to high uncertainty given smaller achieved sample sizes (Box 4.1 above). Rising inactivity among young cohorts jeopardises the improvements achieved by the United Kingdom in tackling the NEET issue since the global financial crisis (OECD, 2024[20]).

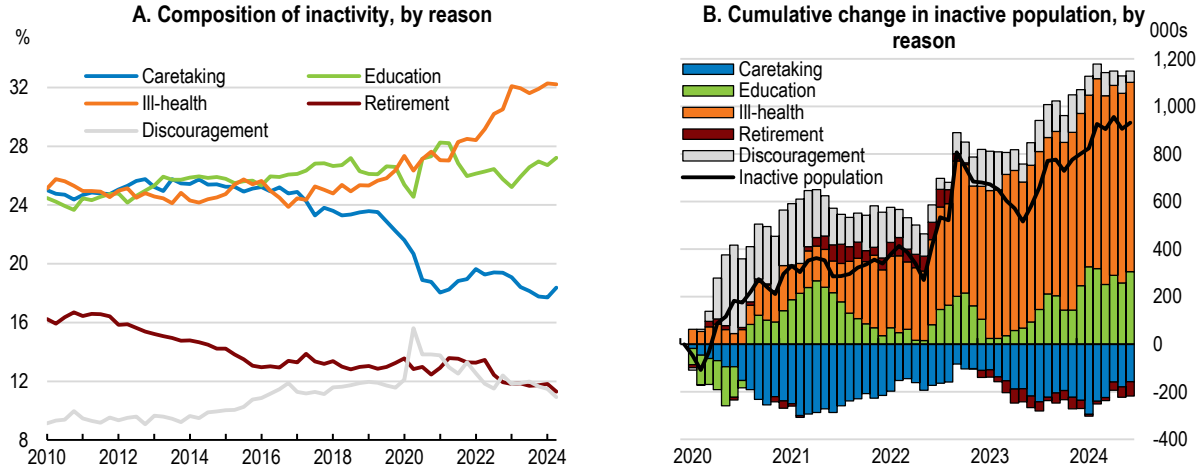
This chapter discusses policies to boost labour supply in the United Kingdom, both by reducing economic inactivity and by increasing hours worked. It first describes the key factors weighing on labour market participation, namely long-term sickness, caretaking (mostly by women), and inadequate skills, before discussing policy options to address them. These comprise improvements to the design of the tax and benefit system, including health-related welfare, personal tax thresholds, and effective tax rates; continued family policy reforms, specifically childcare support, parental leave entitlements, and long-term care; and adjustments to existing measures regarding the provision of skills, including apprenticeship, adult training, and skilled migration. Policies to increase labour productivity, in particular in the services sector and for low-skilled workers, were discussed in previous *OECD Economic Surveys of the United Kingdom* (OECD, 2020[12]; OECD, 2017[13]).

4.2. Long-term sickness, caretaking, and inadequate skills weigh on participation

About a third of the economically inactive population aged 16-64 reports sickness as the main reason for inactivity as of the first quarter of 2024 in the United Kingdom. Self-reported sickness, which comprises all health conditions including disability and mental illness, appears to be a more important driver of inactivity than in most other advanced economies, despite limited availability of internationally comparable data (OBR, 2023[4]). Other reasons for inactivity include education (one quarter of the inactive population), family and home care responsibilities (one out of six inactive people), discouragement (one out of eight inactive people, comprising the inactive not looking for work because they believe no jobs are available, and residual categories, including uncategorised reasons), and early retirement (one out of eight inactive people). Importantly, post-pandemic estimates of the share of inactive population by reason are subject to uncertainty, like other LFS-based statistics (Box 4.1 above).

The large and persistent increase in economic inactivity since the pandemic is mostly driven by the rise in long-term sickness (Figure 4.5, Panel A). The number of people aged 15-64 citing sickness as the main reason for economic inactivity increased by about 750,000 between the last quarter of 2019 and the first quarter of 2024, making up about 90% of the overall increase in inactivity (Figure 4.5, Panel B). Second in importance, the share of inactivity accounted for by students resumed its gradual increase after temporary, pandemic-induced changes, reflecting the overall trend increase in higher education participation observed in the United Kingdom like in other OECD countries (Department for Education, 2023[21]). The share of inactivity due to family or home care responsibilities is lower than before the pandemic and continues edging down. Yet, it remains a major factor of inefficiently low labour supply and of talent misallocation, especially for women, despite a substantial improvement since the mid-2010s (ONS, 2024[22]). The share of discouraged workers in the inactive population is close to pre-pandemic levels, after growing steadily over the decade following the global financial crisis. Last, the share of early retirees in the inactive population remains on a steadily decreasing path despite a temporary increase in the aftermath of the pandemic, supported by the equalisation of female and male state pension ages and the increase in the statutory pension age (OBR, 2023[4]).

Figure 4.5. Sickness accounts for the largest and most persistent increase in inactivity



Note: Data on economic inactivity by reason are based on pre-suspension LFS weights, and subject to uncertainty (Box 4.1 above). Panel A refers to the share of the inactive population aged 16-64. Panel B refers to the inactive population aged 16 to 64. "Discouragement" comprises the inactive not looking for work because they believe no jobs are available, and residual categories, including uncategorised reasons.
Source: Office for National Statistics.

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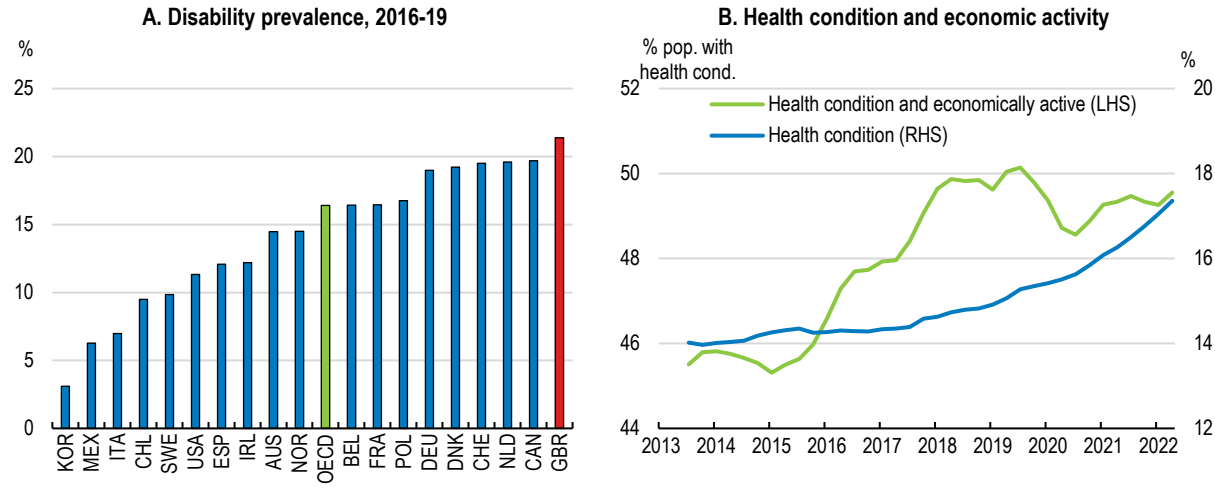
4.2.1. Long-term sickness remains on an upward trajectory

Long-term sickness has been a major reason for economic inactivity in the United Kingdom even before the pandemic. The proportion of the population aged 55-64 inactive due to own illness or disability and wanting a job has been persistently higher than in other European G7 economies (OBR, 2023[4]). Moreover, the rate of economic inactivity among the 16-24 and 25-34 age groups due to long-term sickness has been on the rise since the mid-2010s, with mental health the most common reason for young people to be workless due to sickness (Resolution Foundation, 2023[23]). Health-related inactivity reflects a very high incidence of self-reported disability among the British population, at more than 20% of the population aged 15-69 (Figure 4.6, Panel A). More than 6% of the population does not work because of self-reported disability, one of the highest rates among OECD countries (OECD, 2022[24]).

Figure 4.6. The incidence of disability is high and the ill-health have become less likely to work



Note: Panel A refers to the share of the population aged 15-69; figures refer to averages over 2016-2019; see source for details. Panel B refers to the share of the population aged 16-64.
Source: OECD (2022[24]) *Disability, Work and Inclusion*; OBR (2023[4]) *Fiscal Risk and Sustainability: July 2023*.

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The rise in inactivity due to long-term sickness reflects the combination of continued increase in the population reporting a health condition and lower participation among the ill health since the pandemic (Figure 4.6, Panel B). Several factors contributed to interrupt the rise in labour market participation for those with a health condition, including a slowdown in health improvements, the health impact of the pandemic, and changes to the design of the health-related welfare system (OBR, 2023[4]). Self-certification for statutory sick pay during the pandemic is often blamed for detaching sick workers from the labour market. Bottlenecks in the public healthcare infrastructure are unlikely to have directly pushed up economic inactivity since the pandemic, but might have contributed indirectly, as people postponed seeking health services, possibly worsening health outcomes and detachment from the labour market (Box 4.2).

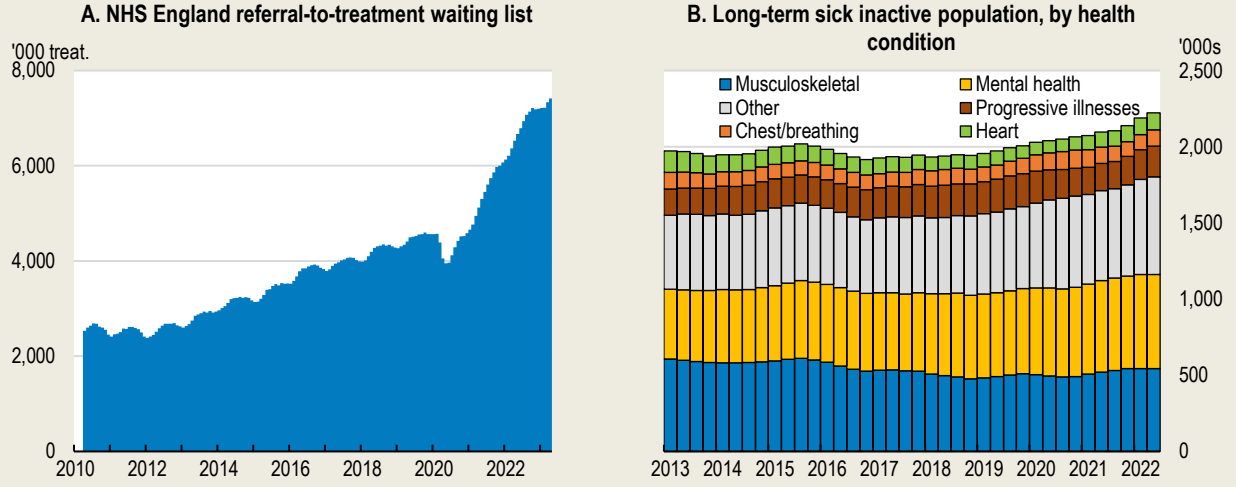
Box 4.2. Are NHS waiting lists a driver of rising long-term sick inactivity?

The pandemic created significant pressures on the National Health Service (NHS) as the number of patients requiring COVID-related hospitalisation increased sharply. Many routine operations and treatments were prevented or delayed at the height of the pandemic, like in many OECD countries. The cumulative backlog of treatments being waited for in England rose from 4.6 million in January 2020 to 7.4 million in May 2023 (Figure 4.7, Panel A).

Combining different data sources, the Office for Budget Responsibility concluded that "the rising NHS waiting list itself looks unlikely to have been a significant causal driver of rising long-term sick inactivity in recent years" (OBR, 2023[4]). Indeed, only about 650,000 of the roughly 2,900,000 working-age adults on NHS waiting lists in 2022 were inactive due to long-term sickness; the median duration on the waiting list is 15 weeks, implying a much larger turnover than in long-term sick inactivity; the correlation between change in waiting list volumes by age and concurrent changes in long-term sick inactivity by age is weak; and the largest increases in waitlisted treatments, namely musculoskeletal treatments and treatments for progressive illnesses, do not correspond to the largest increases in health conditions among the long-term sick, namely mental health problems (Figure 4.7, Panel B).

Yet, the Office for Budget Responsibility recognises that disruptions to the NHS over the pandemic might have prevented people from seeking health services, even without joining a waiting list, possibly worsening health problems. Moreover, health professionals' advice to employees and employers about fitness and return to work was partly replaced with self-certification for statutory sick pay over the same period, possibly entrenching detachment from the labour market.

Figure 4.7. NHS waiting lists rose sharply since the pandemic



Note: Panel A refers to the number of non-mental-health-related treatments being waited for once a referral has been received.
Source: OBR (2023[4]) *Fiscal Risk and Sustainability: July 2023*.

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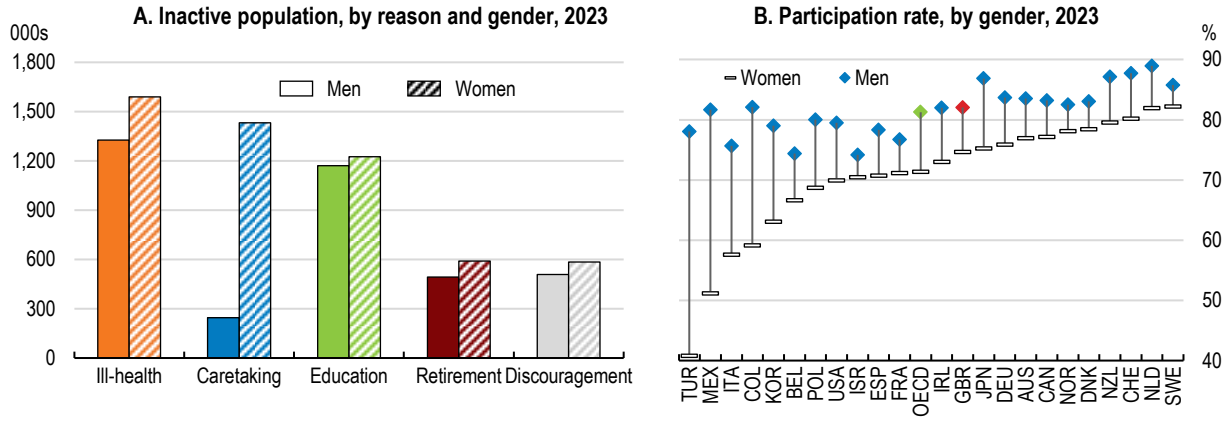
4.2.2. Caretaking still keeps women from the labour market

Women account for a disproportionate share of economic inactivity in the United Kingdom, mostly due to family or caring responsibilities, as discussed in the 2022 *OECD Economic Survey of the United Kingdom* (OECD, 2022[11]). Caretaking keeps about 1,400,000 women from the labour force, or about nine percent of the female working-age population, versus fewer than 250,000 men (Figure 4.8, Panel A). The gender inactivity gap due to caretaking improved substantially over the decade prior to the pandemic, as women account for the bulk of the steady increase in overall British labour force participation from about 76% to 79% of the population aged 15-64, reflecting both rising employment rates among mothers of young children and declining birth rates (OBR, 2023[4]). The female labour market participation rate is above the OECD average, but remains below the male rate (Figure 4.8, Panel B).

Figure 4.8. The gender inactivity gap remains large, especially due to caretaking



Note: Panel A refers to the inactive population aged 16 and over. Panel B refers to the share of population aged 15-64.
Source: OECD Labour Force Statistics (database); Office for National Statistics.

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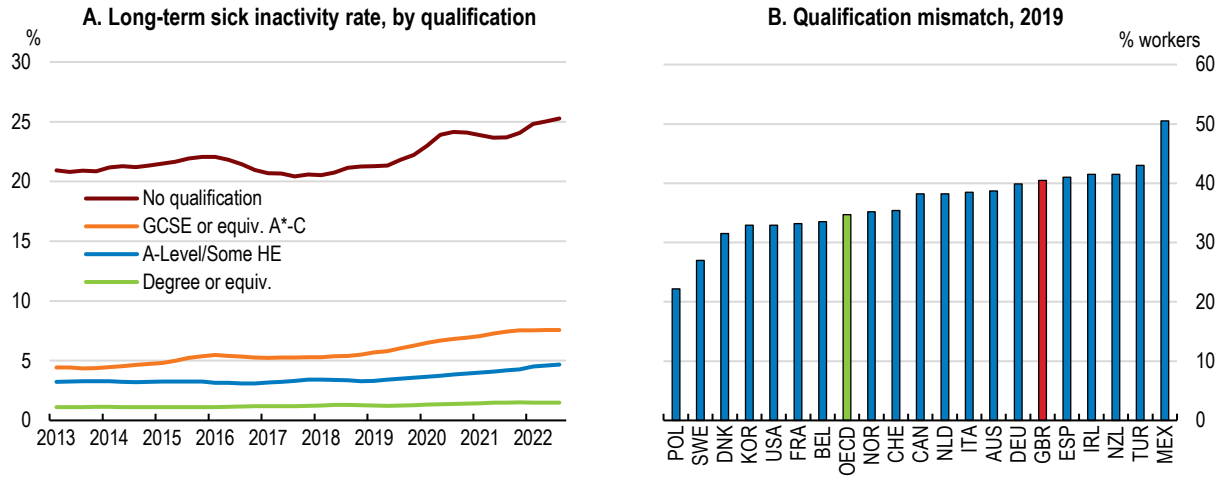
Higher inactivity among women due to caretaking reflects gender-specific distortions in work decisions. The combination of unequal sharing of unpaid work and limited availability of affordable childcare creates barriers to women's labour supply, as it alters the opportunity cost of gainful employment (OECD, forthcoming[25]). British women and men work about the same amount when both paid and unpaid work are considered, but women spend more than four hours per day in unpaid work on average, versus less than two and a half hours for men (OECD, 2024[26]). Part-time work is unevenly distributed in the United Kingdom, as women are three times more likely to work part-time than men, and the gender gap in hours worked is larger than OECD average (OECD, 2024[27]; OECD, 2024[7]). Such imbalance not only leads to large gender gaps in earnings (OECD, 2024[28]), but also constitutes a costly misallocation of labour and human capital resources, especially as women's educational attainments largely surpass men's (OECD, 2024[29]). Simulations suggest that the gain in potential output per capita from fully closing gender gaps in labour market participation and hours worked by 2060 would be close to 0.2% points in the United Kingdom (Fluchtmann, Keese and Adema, 2024[30]).

4.2.3. Lack of qualifications discourage job seeking

Lack of skills needed in the labour market constitute another driver of economic inactivity. The incidence of economic inactivity is higher among the low skilled, with more than half of those without qualification (i.e., who left school without any diploma or certificate) economically inactive in 2022, or about 1.2 million people in England (ONS, 2024[31]). Moreover, the absence of qualifications and economic inactivity due to long-term sickness go hand in hand (Figure 4.9, Panel A), suggesting that lack of skills is a more important

driver of economic inactivity than reported in surveys of reasons for inactivity. Relatively strict job seeking requirements for the unemployed may incentivise those lacking the skills needed in the labour market to self-report sickness and claim health-related benefits, which could partly explain higher prevalence of mental illness among people with lower educational qualifications (Banks, Karjalainen and Waters, 2023[32]).

Figure 4.9. Economic inactivity appears strongly correlated with inadequate skills



Note: Panel A refers to the inactivity rate within each group. Panel B refers to the share of workers whose qualification does not match their job requirements; data for Australia are from 2016.
Source: OBR (2023[4]) *Fiscal Risk and Sustainability: July 2023*; OECD Skills for Jobs (database).

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Skill mismatch is particularly important in the United Kingdom. About 40% of workers have qualifications that do not match their job requirements, one of the highest proportions in the OECD (Figure 4.9, Panel B). The latest *Employers Skills Survey* shows an increase in hard-to-fill vacancies due to applicants lacking the relevant skills, qualifications, or experience, from 22% of all vacancies in 2017 to 36% in 2022 (Department for Education, 2023[33]). Digitalisation and the low-carbon transition are likely to continue altering the skill composition of labour demand (OECD, 2023[34]), especially as green skills are in particularly high demand given the country's ambitious net zero targets (Chapter 3).

Low-skill workers' labour market participation is likely further discouraged by poor job quality at the bottom of the income distribution in the United Kingdom. Job satisfaction has fallen among low earners, and stressful and unfulfilling low-paid work leads the low-skilled to reduce hours worked (Resolution Foundation, 2023[35]). The National Living Wage boosted earnings at the bottom of the income distribution, but non-compliance with minimum wages and other labour legislations is widespread (Low-Pay Commission, 2023[36]). Moreover, a relatively high share of British employment growth is accounted for by own-account workers and workers on zero-hour contracts, who often lack employment protection and other employment rights, such as social insurance contributions and minimum wages (Giupponi and Machin, 2022[37]).

4.3. Designing taxes and benefits better to strengthen work incentives

Labour taxation, social security contributions and means-tested benefits are key drivers of individuals' labour supply decisions, both whether to participate in the labour market (the extensive margin) and how many hours to work (the intensive margin). Tax and benefit systems reduce economic insecurity by cushioning the impact of adverse labour market transitions, for instance into unemployment or incapacity. However, they often discourage labour supply by increasing the opportunity cost of entering the labour

market or working more hours. Therefore, taxes and benefits, including health-related welfare, need to strike the balance between protection against economic insecurity and work incentives to ensure full utilisation of all available human capital.

In the United Kingdom, the tax-benefits system may discourage labour supply in three important instances. First, differences in replacement income and in activation requirements between unemployment and long-term incapacity create incentives for inactive individuals to claim incapacity benefits, detaching them further from the labour market. Second, the non-indexation of personal tax thresholds since April 2021 brought more workers in higher income bands, weighing on work incentives. Third, humps in the personal income tax schedule create threshold effects beyond which effective tax rates are particularly high and strongly reduce the post-tax value of incremental income, also decreasing work incentives.

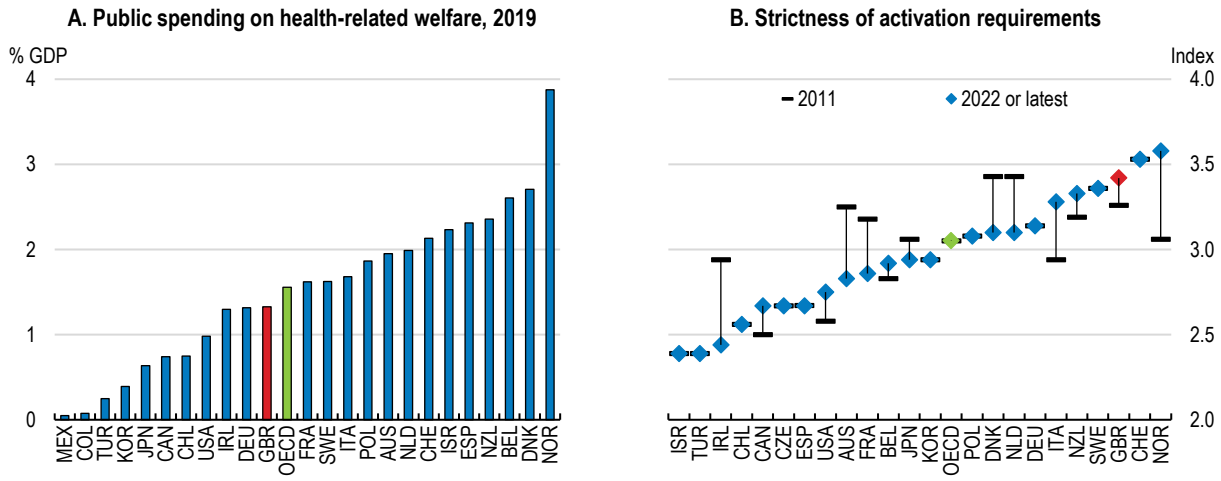
Distortions affect labour supply differently across the income distribution. Inefficiencies in the incapacity regime and frozen tax thresholds mostly concern the lower part of the income distribution, while considerations about the income tax schedule mostly concern the upper part of the distribution. Strengthening work incentives for the low income is likely to have the most effect on labour supply from a quantitative perspective, but incentives also matter at the higher end of the distribution, especially in key occupations such as digital-intensive ones.

4.3.1. Health-related welfare

The health-related welfare system can explain part of the increase in health-related inactivity, but its role ought not to be overstated. Wider trends in population health also matter, as shown by the rise in work-limiting conditions, especially those related to mental ill health (Health Foundation, 2023[38]). Even though trend changes in self-reported health data may reflect changing awareness or cultural factors, they are good predictors of future health and care needs (OBR, 2023[4]). The government is committed to address worsening health trends in general and mental health in particular, as evidenced by the GBP 795 million package over five years announced at the 2023 Autumn Statement, which expands individual placement and support for severe mental health conditions, as well as talking therapies for treatment of mild and moderate conditions (HM Treasury, 2023[9]). Yet, as long-term health trends are broadly similar across comparable advanced economies, the higher prevalence and persistence of severe incapacity in the United Kingdom likely reflects gatekeeping inefficiencies.

British health-related welfare is not particularly generous in international comparison. Public spending on sickness, disability, and occupational injury at about 2% of GDP before the pandemic is close to the OECD average (Figure 4.10, Panel A), and has been stable over the past decade. The generosity of health-related benefits as a share of both average earnings and unemployment benefits is close to the average in other European countries (Browne, Neumann and Pacifico, 2018[39]). Importantly, differentiating health-related benefits that are purely needs-based (henceforth, “disability benefits”) from benefits that are both means-tested and needs-based (“incapacity benefits”) is key, as mainly the latter create disincentives to work. Under the current system, eligibility for disability benefits depends on the Personal Independence Payment assessment, while eligibility for incapacity benefits depends on the Work Capability Assessment. Benefits are more generous for severe incapacity than for less-severe incapacity.

Figure 4.10. Spending on incapacity is not high, but activation is strict for the unemployed



Note: Panel A refers to spending on sickness, disability and occupational injury cash benefits; in-kind benefits are excluded. Panel B refers to a strictness indicator ranging 1-5 and encompassing availability, job search and sanction criteria; see Immervoll and Knotz (2018[40]) for details.
Source: OECD Social Expenditure Database; OECD Benefits, Taxes and Wages (database).

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The relative generosity of severe incapacity benefits compared to other forms of replacement income, mostly unemployment benefits, partly explains high *levels* of inactivity due to long-term sickness. Current differences in replacement income between unemployment and severe incapacity are particularly large: the annual benefit (excluding any top-up, e.g., for children or housing costs) for a new claimant aged 25, single and with no dependent is about GBP 9,000 if deemed severely incapacitated (i.e., unfit for work), but less than GBP 4,500 if deemed either less severely incapacitated (i.e., fit for work in the future) or fit for work (OBR, 2023[4]). A combination of policy reforms, including the full rollout of Universal Credit in 2018/19 and a sharp fall in award rates for less-severe incapacity benefits effective from 2017/18, only exacerbated long-standing differences in income replacement levels, with a rise in the level of severe incapacity benefits relative to unemployment benefits, and a drop for less severe incapacity. Almost 50% of the population aged 15-69 with severe disability received income-replacement benefits in the United Kingdom over the period 2016-2019, but only 10% of those with moderate disability, one of the largest gaps among OECD countries (OECD, 2022[24]).

Tightening of conditionality and sanctions for unemployment relative to incapacity likely contributed to the *rise* in health-related inactivity. Eligibility criteria for unemployment benefits in the United Kingdom are among the strictest in the OECD and have become stricter over the past decade (Figure 4.10, Panel B), while spending on activation (i.e., measures to support jobseekers into employment) is relatively low (see below). Universal Credit modernised activation policies and the delivery of welfare benefits, improving employment outcomes overall (OECD, 2020[12]; Pareliussen, 2013[41]). However, unequal stringency across benefit types creates strong arbitrage incentives between forms of income support. Specifically, conditionality regarding unemployment and less-severe incapacity benefits was tightened, even as conditionality on severe incapacity remained broadly unchanged. Sanction rates for unemployment benefit claimants spiked at about eight percent of the relevant caseload after the pandemic, while they remain low at about one percent of the relevant caseload for claimants of less-severe incapacity benefits, and no sanctions apply for claimants of severe incapacity benefits (OBR, 2023[4]).

Gaps in activation requirements and benefit levels between unemployment and long-term incapacity give the unemployed and those who are only temporarily unfit for work incentives to seek and maintain long-term sickness status. While benefit sanctions support labour market transitions into work, they may impose unnecessary hardship on vulnerable workers and discourage job search, especially as alternative

forms of replacement income are more generous (Immervoll and Knotz, 2018[40]). Similarly, strict activation requirements yield positive employment outcomes, but the evidence available for the United Kingdom shows that individuals substitute from unemployment to incapacity benefits when activation requirements become stricter, as was the case following the Lone Parent Obligation reform (Codreanu and Waters, 2023[42]; Avram, Brewer and Salvatori, 2018[43]). Moreover, as argued in the 2022 *OECD Economic Survey of the United Kingdom*, the "Work First" approach tends to overlook skill adequacy, possibly leading to skill mismatch and lower labour productivity.

The UK government should reform the incapacity assessment system, so that income support is not conditioned on being found unfit for work. The current system, so-called "Work Capability Assessment", provides additional income support within Universal Credit for individuals deemed to have limited capacity to either work or prepare for work (i.e., incapacity benefits). Such focus on limitations rather than abilities effectively means that individuals risk losing benefits if they re-enter the labour market despite their health condition, and thereby creates strong work disincentives. The government announced its intention to reduce barriers to employment by removing the Work Capability Assessment (Department for Work and Pensions, 2023[44]). Under the plans, eligibility for health-related income support would depend solely on one assessment, namely the existing needs-based Personal Independent Payment assessment. The associated activation requirements would be tailored to claimant's abilities thanks to work coaches, irrespective of the awarded level of benefits. Such a reform would go in the right direction as it would reduce inflows to the incapacity regime and promote outflows into employment, and should be legislated and implemented swiftly.

Early intervention and initiation of formal return-to-work pathways would help reduce inflows into long-term incapacity, notably for the rising number of individuals citing mental health as the main reason for inactivity. Supporting workers' return to work while they are on statutory sick pay and before they enter long-term incapacity is crucial to prevent labour market detachment (OECD, 2022[24]). Individual placement and support programmes, whereby multidisciplinary mental health teams, including an employment specialist, provide co-ordinated health and employment support for jobseekers, have resulted in positive employment outcomes in Australia and Denmark (OECD, 2021[45]). The government's intention to reform the fit note process to support return to work after a period of sick inactivity goes in the right direction (HM Treasury, 2023[9]), and the planned consultation and trials are welcome.

Current activation practices for people with long-term sickness status could be strengthened. Activation is particularly weak for people on severe incapacity benefits, as the Department for Work and Pensions engages very little with them for either return to work or a reassessment of their situation (OBR, 2023[4]). To promote return to work, the United Kingdom could seek to rehabilitate workers through transitional disability programmes, before granting permanent disability benefits (OECD, 2022[24]). Countries like Austria, the Netherlands, and Norway have introduced or strengthened transitional programmes with strong effort on vocational rehabilitation and training to prevent unwarranted placement into long-term incapacity and associated detachment from the labour market (Box 4.3).

A multipronged approach is required to remove work disincentives from the health-related welfare system, with greater emphasis on activation. A reform could be designed to combine the following: first, improved incapacity assessment, so as to eliminate arbitrage opportunities between forms of replacement income; second, stronger activation under both severe and less-severe incapacity regimes, through both early intervention and engagement with the long-term sick; and third, a stronger focus on training for the unemployed. Where needed, supplementary support for the severely incapacitated could rely more on needs-tested benefits, such as the Personal Independence Payment, and activation requirements for specific groups could be marginally alleviated, such as for single parents. Such reform would ensure that job-search requirements support transitions into and return to work, hence reducing the risk of further detaching the most vulnerable workers from the labour market.

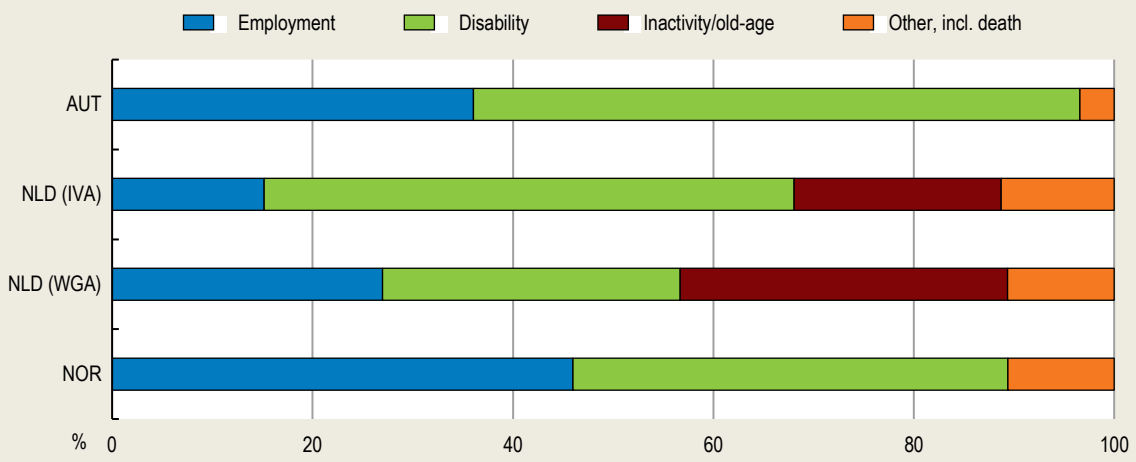
Box 4.3. Transitional disability programmes: the cases of Austria, the Netherlands, and Norway

Several OECD countries have been reforming health-related welfare programmes to include adapted activation-like requirements under the form of transitional disability programme, with the aim to limit placement into long-term incapacity and associated detachment from the labour market.

- Austria replaced its temporary disability benefit system with two transitional benefits routes as part of a broader reform in 2014: a rehabilitation benefit (*Rehabilitationsgeld*), which focuses on medical recovery for claimants to be fit for work, and a retraining benefit (*Umschulungsgeld*), which focuses on upskilling claimants for either their previous occupation or a new one. Incapacity benefits are awarded only if the transitional programme failed.
- Similarly, the Netherlands has been sorting health-related welfare claimants into two groups since the 2006 reform of disability insurance: fully and permanently incapacitated, with a focus on income replacement (*Inkomensvoorziening Volledig Arbeidsongeschikten*), or partially and temporarily incapacitated, with a stronger focus on return to work (*Werkhervatting Gedeeltelijk Arbeidsgeschikten*).
- By contrast, Norway merged three benefit routes (vocational rehabilitation, medical rehabilitation, and temporary disability) into one single work assessment allowance (*Arbeidsavklaringspengar*) in 2010, with a rehabilitation time of 3-5 years. Incapacity benefits are awarded only after completion of the programme.

Transitional disability programmes appear reasonably successful, with substantial shares of benefits claimants transitioning to employment (Figure 4.11), even though caveats apply against causal interpretation given selection issues. Cross-country comparison is not relevant given differences in eligibility to transitional disability programmes, e.g., based on age.

Figure 4.11. Transitional disability programmes can reduce detachment from the labour market



Note: Figures refer to outflow shares from transitional disability programmes; IVA refers to the Dutch programme for the fully and permanently incapacitated; WGA refers to the Dutch programme for the partially or temporarily incapacitated; see source for details.
Source: OECD (2022[24]) *Disability, Work and Inclusion: Mainstreaming in All Policies and Practices.*

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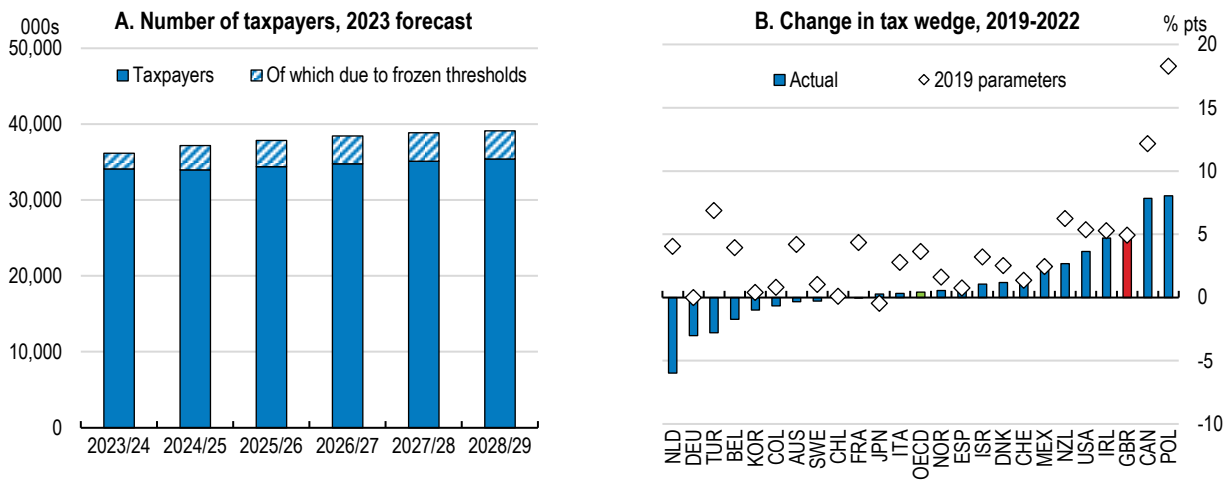
4.3.2. Personal tax thresholds

About half of OECD countries adjust tax-benefits parameters automatically to inflation, and most others do it discretionarily, including since the recent surge in inflation (OECD, 2023[46]). Indexing thresholds for income tax and social security contributions preserves not only households' real disposable income, by ensuring that the tax burden does not increase with prices, but also work incentives, by limiting decreases in real post-tax earnings driven by inflation. Similarly, indexing allowances and thresholds for benefits prevents unwarranted distributional effects, especially for individuals with income close to the thresholds.

All the main thresholds for income tax, National Insurance Contributions (i.e., social security), and allowances have been frozen since 2021 and until 2028 in the United Kingdom, rather than indexed to inflation as is the default in legislation (Box 4.4). The ensuing change in the taxation of earnings weakens work incentives for individuals close to the thresholds, especially at the lower end of the income distribution, as the freeze reduces the real value of the Personal Allowance (i.e., the amount of income an individual is entitled to receive before any income tax is due), thereby bringing over two more million taxpayers into income tax in fiscal year 2023/24 (Figure 4.12, Panel A). The increase in tax wedges was particularly significant for low-income individuals, as the minimum wage was uprated while thresholds for social security contributions and income tax were not (Figure 4.12, Panel B). Universal Credit was also uprated, as recommended in the 2022 *OECD Economic Survey of the United Kingdom*, as well as pensions, effectively preserving purchasing power.

Figure 4.12. Frozen thresholds raise the tax wedge, including for low-income workers



Note: Panel A refers to the Office for Budget Responsibility's forecast of the number of Basic Rate taxpayers by fiscal year; Basic Rate band concerns income other than savings, investment and pensions ranging GBP 12 571–50 270 for fiscal year 2023/24 in England, Wales and Northern Ireland; no income tax is due on gross earnings below GBP 12 570 due to the Personal Allowance. Panel B refers to the change in the ratio of the sum of paid personal income tax and employee and employer social security contributions net of cash benefits received to total labour costs, for a single person earning 67% of the average wage; "2019 parameters" refers to the change in the tax wedge if tax thresholds, benefits and other parameters had remained at their nominal 2019 level; OECD refers to the simple average of OECD countries; see source for details.

Source: OBR *Economic and Fiscal Outlook: March 2024*; OECD (2023[46]) *Taxing Wages 2023*.

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Box 4.4. Frozen thresholds for personal tax, allowances, and benefits

Key personal tax thresholds are frozen until fiscal year 2027/28, including for:

- Secondary National Insurance Contributions (i.e., employer social security), at GBP 9,100;
- Primary National Insurance Contributions (i.e., employee social security), at GBP 12,570 after it was increased from GBP 9,880;
- Basic Rate for income tax, at GBP 12,570, thereby freezing the Personal Allowance;
- Higher Rate for income tax, at GBP 50,270;
- Additional Rate for income tax, at GBP 125,140, after it was lowered from GBP 150,000.

The taper or withdrawal of allowances and benefits also depend on tax thresholds, including for:

- Personal Allowance, tapered away from GBP 100,000;
- Free childcare entitlement and tax-free subsidy, withdrawn at GBP 100,000.

Note: The Personal Allowance is the amount of income an individual is entitled to receive before any income tax is due.
Source: HM Government.

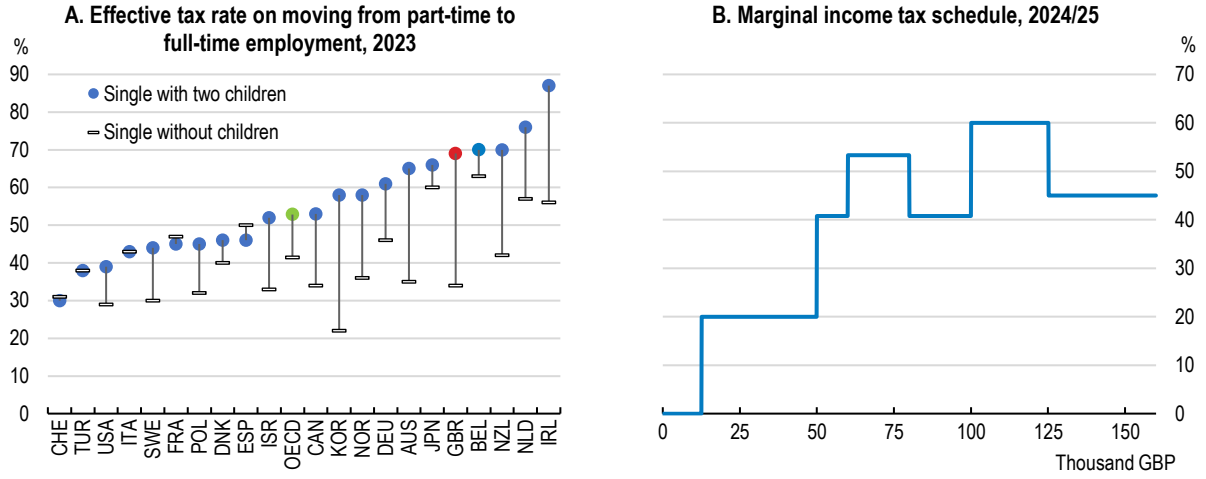
The UK government should uprate personal tax thresholds to inflation, prioritising National Insurance Contributions if fiscal space is constrained (Chapter 1). While the recent cuts in the rate of National Insurance Contributions from 12% to 8% adequately targets the working population and reduces the wedge between taxes on different sorts of income (HM Treasury, 2024[8]), the associated boost in labour supply is dampened by the freeze of thresholds (OBR, 2024[14]). Moreover, the cut compensates for the freeze to a significantly different extent at different income levels, and does not offset the fiscal drag for low-income workers (IFS, 2024[47]). Uprating National Insurance Contributions thresholds would restore work incentives more fully, especially at the lower end of the earnings distribution. Such uprating could stand alone or be part of a thorough review of the many inefficiencies in the current tax system, including differences in contribution between employees and the self-employed (Chapter 1).

Uprating the other thresholds and allowances before 2028 could be considered, conditional on public finances having durably returned to a sustainable path (Chapter 1). Freezing rather than indexing thresholds has been a welcome boost to British public finances in a context of limited fiscal space. In fiscal year 2024/25 alone, the freezes will increase tax receipts by about one percent of GDP (OBR, 2024[14]), more than the fiscal cost of the cut in the rate of National Insurance Contributions. Moreover, richer households, whose income fall in the Higher Rate and Additional Rate bands, account for the bulk of the fiscal drag, attenuating regressivity concerns. Yet, such increases in tax take through freezes of thresholds should be avoided, as they weigh on labour supply by reducing work incentives.

4.3.3. Effective tax rates

The effective marginal tax rate on working additional hours is relatively low on average in the United Kingdom but features large disparities depending on household composition. Single earners with children face particularly high marginal tax rates on increasing hours worked, both in international comparison and relative to single earners without children (Figure 4.13, Panel A). These disparities in effective income taxation across households mirror the many arbitrary kink points in the income tax schedule (Figure 4.13, Panel B), reflecting the tapering away of not only the child benefit but also the Personal Allowance (IFS, 2024[48]). Other benefits, such as childcare entitlements, are withdrawn at arbitrary income thresholds. The number and age of children is a particularly important determinant of households'effective tax rates (Box 4.5).

Figure 4.13. Incentives to work more are weak for single parents and at arbitrary income levels



Note: Panel A refers to the share of gross earnings in a job that pays the average wage when increasing hours worked from 50% to 100% of full-time employment for a single person; effective tax rates include social assistance and housing benefits, but not childcare costs. Panel B refers to marginal income tax rates at different earnings levels for a primary earner with two children.
Source: OECD Benefits and Wages (database); Institute for Fiscal Studies.

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Box 4.5. Child benefits in the income tax system

Child benefits alter households' effective marginal taxation along the yearly adjusted income distribution of the primary earner in three key instances:

- Up to GBP 60,000, households receive an allowance per child (the so-called "Child Benefit");
- Between GBP 60,000–80,000, the child benefit is tapered away linearly (effectively, households are liable for the so-called "High-Income Child Benefit Charge" at the rate of 0.5% of the child allowance for every GBP 100 above the GBP 60,000 threshold until full exhaustion);
- Up to GBP 100,000, households are entitled to 15- or 30-hour of free childcare for 3-4 year-olds, currently being expanded to younger children, and a tax-free childcare subsidy (the entitlement is simply withdrawn above the GBP 100,000 threshold).

Source: HM Government.

The UK government would do well to abolish the High-Income Child Benefit Charge (HICBC) to improve parents' work incentives. The charge effectively tapers the child benefit away for families whose primary earner makes more than GBP 60,000 a year (Box 4.5 above), ensuring that support is targeted but implying a jump in the marginal income tax rate from about 40% to about 53% over the tapering range for a primary earner with two children. Moreover, the marginal tax rate increases in the number of children, as a higher benefit is tapered over the same income range. The recent reform of the HICBC, which increased the threshold from GBP 50,000 to GBP 60,000 and extended the range by GBP 10,000, is estimated to lead to an increase in labour supply by 10,000 full-time equivalents within five years (OBR, 2024[14]), a welcome step in the right direction. The fiscal cost of abolishing the HICBC could be offset by adjusting the Higher Rate for income tax in a revenue-neutral reform. At minimum, a less ambitious reform could lower the taper rate, and extend the taper range up to income level GBP 100,000, so that the jump in marginal rate is less and the tax schedule remains progressive everywhere. In such less ambitious reform, the taper rate should also be equalised across household situations, so that marginal tax rates do not depend on the number of children.

The government is advised to carefully consider work incentives effects for second earners, mostly women, before implementing reforms that make joint household income the basis for assessing eligibility to certain benefits. The latest Spring Budget includes plans to administer the HICBC on a household basis rather than individual basis by April 2026 (HM Treasury, 2024[8]). While moving to a household-unit approach would address horizontal inequality between single- and dual-earner households (under the current system, a family with two incomes of GBP 40,000 each receives full child benefits, while a family with a single income of GBP 80,000 does not get any child benefit), it would only do so at the cost of increasing marginal tax rates for second earners, thereby dampening labour supply, as is the case in Germany or in Switzerland (OECD, 2023[49]; OECD, 2024[50]). The HICBC would better be abolished in a revenue-neutral reform, as described above.

The taper of the Personal Allowance (i.e., the amount of income an individual is entitled to receive before any income tax is due) could also be reformed. The allowance is reduced linearly for gross earnings between GBP 100,000 and about GBP 125,000, resulting in a bump to 60% marginal tax rate over that income range. Moreover, the GBP 100,000 threshold at which the allowance starts being withdrawn has not been uprated in line with inflation since its introduction in 2010, so that a growing number of taxpayers falls under the 60% marginal rate (Figure 4.13, Panel B above). Overall, these considerations reflect a necessity to review inefficiencies in the income tax system while taking fiscal and distributional implications into account (Chapter 1).

The government could evaluate the impact of the threshold for childcare entitlement on labour supply, demand for childcare services, and public finances. The free 15- or 30-hour entitlement for 3-4-year-old children and the tax-free childcare subsidy are restricted to families whose primary earner makes less than GBP 100,000 a year (Box 4.5 above), reducing labour supply as it creates cliff-edge situations whereby households are worse off when their income increases. For instance, disposable income for a parent of two children under three paying average London rates for childcare and using 50 hours per week would decrease by GBP 20,000 as pre-tax income crosses the GBP 100,000 threshold (IFS, 2023[51]). To address these disincentives to work, the government could consider making childcare entitlements universal, and offset the fiscal cost and regressive distributional effect with higher marginal taxation of high incomes. However, simply removing the threshold would likely increase childcare demand by relatively well-off households, and risk pricing out lower-income parents, calling for in-depth assessment.

Table 4.1. Past recommendations on the tax-benefits system

Recommendations in previous *Surveys*	Actions taken since the last *Survey*
Further increase active labour market spending to displaced and low-skilled workers.	Two packages of reform were announced in 2023 to provide support for the long-term unemployed claiming Universal Credit, including an extension and expansion of the Restart scheme, which provides tailored intensive support to those unemployed for more than 9 months. The government has also announced expanded support for young people and for those aged 50 and over. In addition to this, for those who remain unemployed after 18 months of support, the government is rolling out mandatory work placements and other intensive activity to improve their employability prospects.
Ensure that the stringency of the job-search requirements in Universal Credit, in the form of payment sanctions, are not too strict.	A range of measures were announced to help strengthen the sanctions system targeted specifically at claimants who are disengaged and non-compliant. This includes closing the claims of Universal Credit claimants who have been disengaged with Job Centre support for over six months, and for claimants who choose not to comply with new conditions set by a work coach after 18 months unemployed.
Use well-designed in-work benefits to support low-income earners rather than continuing steep increases in the minimum wage.	At Autumn Budget 2021 the Universal Credit taper rate was cut from 63p to 55p, and the Universal Credit work allowances was increased by GBP 500 a year.

4.4. Continuing to step up family policy to promote female participation

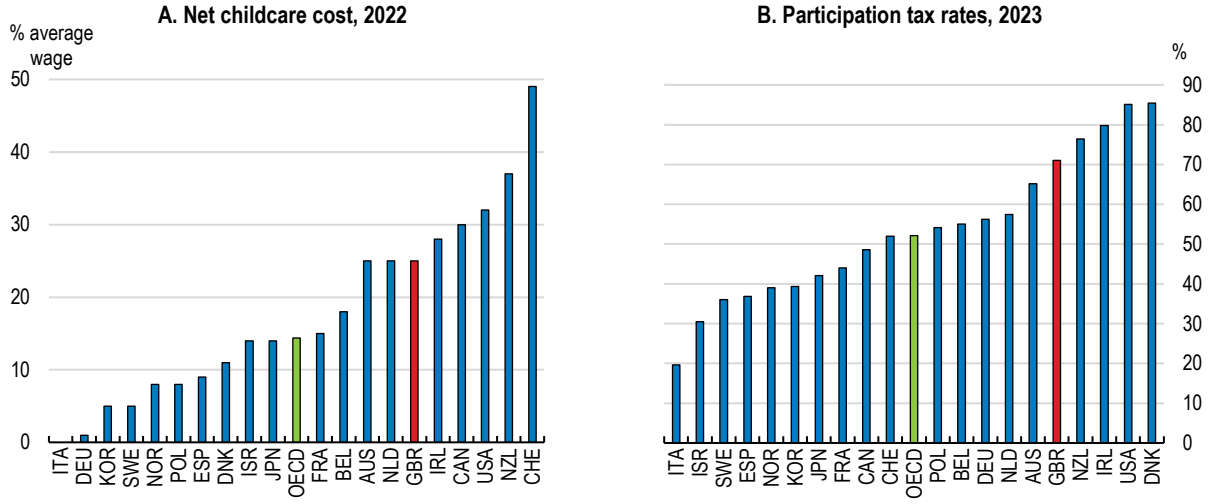
Family policy directly affects labour supply, as it alters the economic trade-off between caretaking and waged labour. Well-designed childcare support, paid leave, and long-term care specifically promote female labour supply and gender equality, given women's typically disproportionate share of unpaid work. Family policy may indirectly impact work decisions further by altering social norms regarding gender roles and the division of caretaking.

In the United Kingdom, continuing efforts to improve childcare affordability is particularly urgent. Fully implementing the expansion of childcare support announced at the 2023 Spring Budget is a priority. Complementary reforms include improving the current system of paid parental leave entitlements, and ensuring the availability of adult social care on the back of rising demand due to ageing.

4.4.1. Childcare support

The UK government is implementing a major expansion of childcare support to improve affordability. Out-of-pocket childcare costs at about 25% of the average wage are currently among the highest in the OECD (Figure 4.14, Panel A), entailing a particularly large opportunity cost of entering the labour market instead of looking after children, as discussed extensively in the 2022 *OECD Economic Survey of the United Kingdom*. Childcare costs significantly reduce labour market participation incentives for low-wage work, as reflected in relatively high participation tax rates (i.e., the share of additional gross earnings lost to either higher taxes or lower benefits when a jobless person takes up employment) in international comparison (Figure 4.14, Panel B).

Figure 4.14. Childcare costs are high and deter labour market entry



Note: Panel A refers to the user cost, net of any childcare allowance, tax concessions, fee rebates or increase in other benefit entitlements, to full-time working parents earning the average wage for two children aged two and three using full-time centre-based childcare. Panel B refers to the share of gross earnings in a new job that pays 67% of average wage, for a second earner with two children claiming guaranteed minimum income, using childcare services, and whose partner earns 67% of average wage; participation tax rates include social assistance, temporary in-work benefits, housing benefits and childcare benefits.
Source: OECD Social and Welfare Statistics (database); OECD Taxes, Wages and Benefits (database).

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When fully rolled out, the reform will provide working parents with 30 hours of childcare per week for 38 weeks per year for each child aged nine months to five years in England, with some further help for families on Universal Credit (HM Treasury, 2023[52]). The measure constitutes a significant expansion from the previous system limited to children aged three and above, offering a smooth bridge from parental leave,

and is expected to increase hours worked and employment. Estimates suggest that, together with other smaller welfare measures, the reform will increase employment by 114,000 full-time equivalents, a 0.33% growth in labour supply (OBR, 2024[14]).

Reforming childcare support was recurrently recommended in previous *OECD Economic Surveys of the United Kingdom* (OECD, 2022[11]; OECD, 2020[12]; OECD, 2017[13]), and is particularly welcome. However, the current reform focuses on working parents by design, while the OECD recommended to prioritise low-income households. Monitoring the impact of the reform on inequalities between households is required, as analyses suggest that the reform will benefit about half of households with a child aged between nine months and two years, four-fifths of them with income above GBP 45,000 and only a fifth with yearly income below GBP 20,000 (Drayton and Farquharson, 2023[53]). Some adjustments may also be needed to attenuate a substantial cliff-edge effect for high earners, since support is limited to income below GBP 100,000, as discussed above.

The timeline set for the rollout of the childcare reform is fixed and particularly fast, hence creates significant implementation risks. The Department for Education designed a phased rollout to mitigate uncertainty around feasibility but has no contingency or flexibility in its timetable (Box 4.6). Childcare supply is expected to meet the additional demand from the first phase of the reform, which extends current support for the 3-5 year-olds to the 2-year-olds, given the number of 2-year-olds already using childcare. However, the National Audit Office judges the following two phases "problematic", given the scale-up required to deliver the places requested for September 2024 and 2025 (National Audit Office, 2024[54]). Staffing risk is particularly high given widespread labour shortages in the care sector, as discussed below. The Department for Education estimates that providers need to recruit around 40,000 staff by September 2025.

Box 4.6. Staggered rollout of the childcare reform

The expansion of childcare support to children of working parents with individual income of at least GBP 9,518 and at most GBP 100,000 is set to be delivered in three phases:

- From April 2024, extension of 15-hours per week entitlements to 2-year-olds;
- From September 2024, extension of the 15-hour entitlement to all children over 9-months-old;
- From September 2025, increase of the entitlement to 30 hours per week.

Source: HM Government.

The UK government should develop contingency planning to reduce risks related to the childcare reform. Measures were taken to encourage the sector to expand, including increasing the funding rate paid to providers, launching a national communication campaign to promote careers in childcare, and investing about GBP 100 million in childcare infrastructure in 2023/24, but more is needed to deliver on such ambitious reform. Setting and monitoring interim performance milestones against the September 2025 targets would help anticipate whether and where corrective action is needed. If the supply of childcare places is expected to fall short of demand, priority could be given to lower-income households, for which the labour supply effect is likely larger and the benefit windfall, lower.

The government would do well to ensure that poorer parents are not priced out by higher childcare demand from wealthier households. The reform is ambitious and will increase childcare demand. As the largest buyer of childcare by far, the government will become price maker in the childcare market and responsible for the price for about 80% of all childcare hours in England (IFS, 2023[51]). It cannot afford to set the funding rate too high, given constraints on public finances; but it should not set it too low either, as providers would opt out of delivering the new entitlement, especially as they are no longer able to use the price charged to younger children to cross-subsidise pre-existing entitlements. Too low funding rates would create incentives for childcare providers to prefer providing hours above the entitlement at a premium,

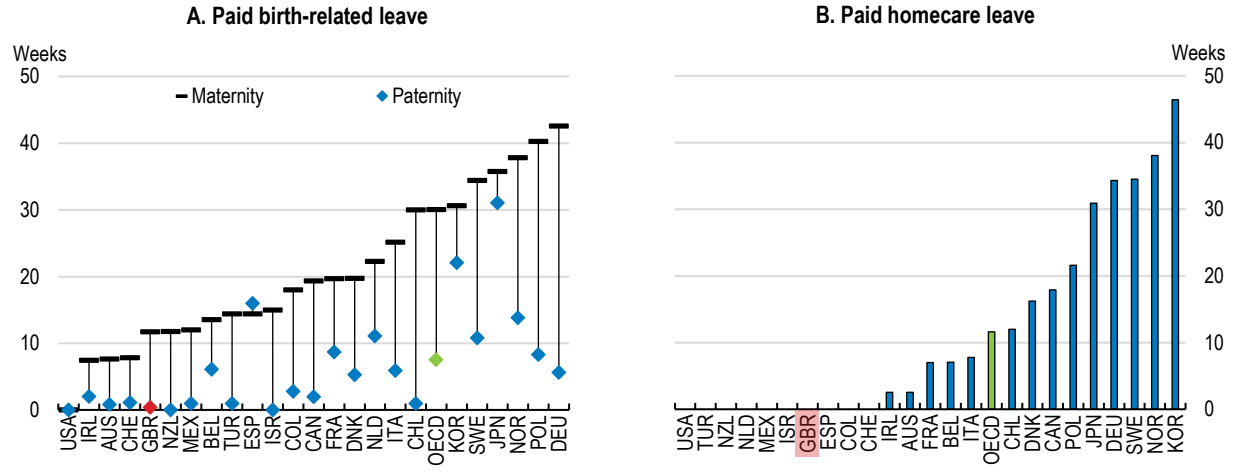
effectively pricing out less well-off parents. The Department for Education's regular review of funding rates is essential to strike the balance between limiting fiscal cost and ensuring access. Quality should be monitored as well: the reduction in the staff-to-children ratio from one per four to one per five will lower required funding significantly, but may be detrimental to children's wellbeing.

Full childcare support could be extended to the unemployed, possibly conditional on meeting specific activation requirements. The current system fails to completely support jobseekers in their job search, as the unemployed receiving Universal Credit must have a job offer to receive cash support for childcare beyond the entitlement available to all families. Excluding the unemployed from full childcare support is particularly unwelcome in the case of single parents of young children, who are no longer eligible for unconditional income support since the lone parent obligation reform. Increased stringency and penalties related to job search requirements under the Jobseekers' Allowance appear to have harmed well-being for lone parents with weak previous labour market attachments and their children, rather than supporting transition into better quality jobs (Avram, Brewer and Salvatori, 2018[43]; Li and Avendano, 2023[55]). Extending full childcare support to the unemployed enrolled in strict activation programmes would effectively promote single parents' job search.

4.4.2. Parental leave entitlements

Statutory maternity leave at 52 weeks is relatively generous in the United Kingdom, but only six weeks are paid at the statutory maternity pay rate of 90% of previous gross earnings, and 33 more are paid at a particularly low flat rate (HM Government, 2024[56]), so that maternity leave entitlement in full-rate equivalent (i.e., paid at 100% of previous earnings) is only about 12 weeks (Figure 4.15, Panel A). Statutory paternity leave, at two weeks paid at the same low flat rate or two days in full-rate equivalent, is largely insufficient to overcome earnings shortfalls when the father is the main earner. Such large differences between maternity and paternity leave entitlements not only perpetuate gender norms regarding unpaid work, but also dampen female labour supply and worsen mothers' detachment from the labour market. Moreover, the United Kingdom is one of the few OECD countries without paid parental or homecare leave (Figure 4.15, Panel B).

Figure 4.15. Paid parental leave entitlements are unequal between women and men



Note: Panel A and B refer to paid leave entitlements reported in full-rate equivalent, i.e., paid at 100% of previous earnings; see OECD (2023[57]) for details.
Source: OECD Family Database.

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The UK government could increase the cap on paternity pay to limit earnings shortfall for fathers, as recommended in the 2022 *OECD Economic Survey of the United Kingdom*. The current Shared Parental Leave and Statutory Shared Parental Pay policies, whereby partners can share 50 weeks of leave and 37 weeks of pay, do little to attenuate gender imbalances as the pay cap is the same for mothers and fathers (OECD, 2022[11]). A smaller gap in paid maternity and paternity leave entitlements would likely shorten the out-of-work time for mothers while lengthening it only a little for fathers, thereby reducing the likelihood of detachment of any parent from the labour market and promoting labour supply (Causa et al., 2022[58]). Moreover, there is some evidence of a correlation between fathers' leave taking and higher involvement in care and other unpaid work, which might be beneficial not only for children, but also for mothers' labour market outcomes beyond the leave period (Fluchtmann, 2023[59]). The United Kingdom can draw from other OECD countries' experience, for instance Nordic countries, which reserve parts of the parental leave period for the exclusive use of each parent; and Germany, which introduced bonus periods whereby parents can qualify for extra weeks of paid leave if both use a given amount of shareable leave. Data on leave uptake should be routinely collected to evaluate the appropriateness of parental leave policy to lessen gender inequalities, as recommended in the 2022 *OECD Economic Survey of the United Kingdom*.

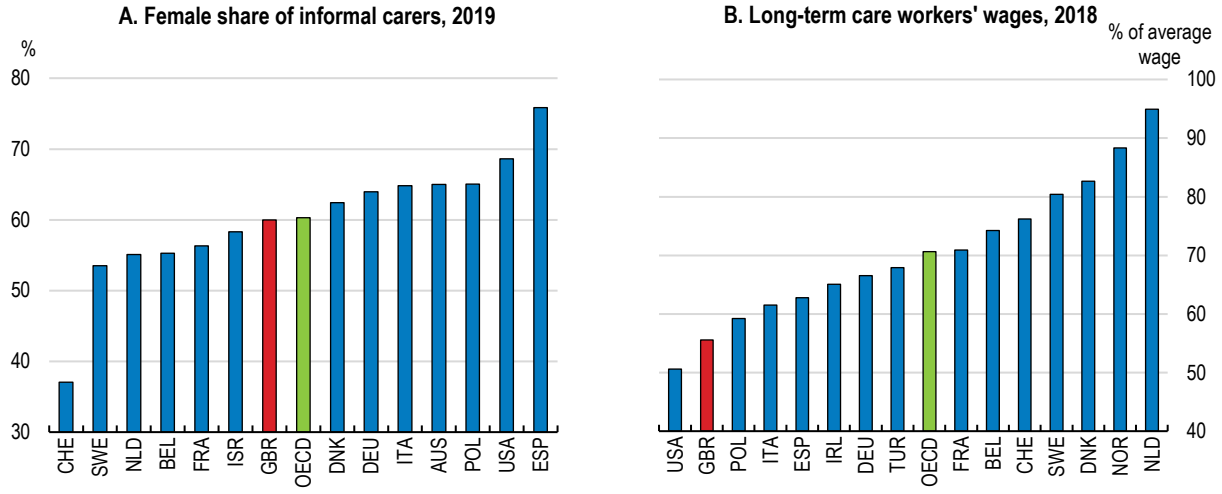
4.4.3. Long-term care

Like childcare, informal long-term care (LTC) keeps individuals from the labour market, predominantly women. Thus, the availability of formal LTC, whereby assistance to people in need of care in their daily activities is provided by paid workers, promotes both labour supply and women's labour market outcomes. While improving the availability and affordability of formal LTC constitutes a long-term challenge in most OECD countries, requiring significant increases in public expenditure on the back of ageing, the task looms particularly large in the United Kingdom as the fiscal space is limited and the government needs to ensure the long-term sustainability of public finances (Chapter 1).

Most LTC is provided informally in the United Kingdom, reflecting high out-of-pocket costs, but also the decline in formal LTC due to real cuts in public LTC spending. Moreover, public support for formal LTC is subject to strict financial means tests, with most people paying for at least part of their care, and individuals forced to exhaust their assets before receiving significant public support. Informal home help is the only form of care received by 70% of the 65-year-olds and older who receive some form of care in England, and by almost 60% of the 85-year-olds (Banks, French and McCauley, 2023[60]). Women account for 60% of informal carers, like OECD average (Figure 4.16, Panel A). Six out of ten informal carers aged 50 and above are not in gainful employment in England (OECD, 2023[61]).

Higher labour productivity and scale economies constitute an avenue to promote formal LTC availability and affordability in the United Kingdom, in a context of limited fiscal space. LTC is labour intensive, faces chronic staff shortages, and past spending cuts have likely dampened labour supply to the sector by putting downward pressures on wages, which are low in international comparison (Figure 4.16, Panel B). The end of free movement for EU workers added to structural staffing issues in the LTC sector, given high reliance on migrant labour, even though LTC occupations remain eligible for Health & Care Skilled Worker migration route under the recent migration reform, as discussed below.

Figure 4.16. Most informal carers are women and carers' wages are low



Note: Panel A refers to the share of the population aged 50 and over who provides informal daily care, defined as support with everyday tasks provided by family members, friends and people in social networks; data for the United Kingdom refer to England. Panel B refers to hourly wages of workers in residential (facility-based) care.
Source: OECD (2023) *Health at a Glance 2023: OECD Indicators*.

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The UK government could continue promoting digitalisation to raise labour productivity in the formal LTC sector. The use of digital technologies can limit the time LTC workers spend on other activities than direct care provision (OECD, 2023[62]). For instance, comprehensive software packages can facilitate the planning of LTC provision and the sharing of information between different actors involved in care provision, reducing the time needed for administration and co-ordination. Moreover, sensors allow for remote monitoring of multiple care recipients simultaneously, which reduces the time required for monitoring itself and for transit between care recipients.

The government is advised to ensure that its long-term strategy for the formal LTC sector goes beyond spending review cycles, as population ageing only aggravates current challenges and requires longer-term planning. The Department of Health and Social Care set out its *Ten-year Vision for Adult Social Care* in 2021 (Department of Health and Social Care, 2021[63]), but uncertainty and changes regarding funding complicate the reforming and future-proofing of formal LTC. For instance, the scale-back of allocated funding in April 2023 forced the repeal of the implementation of a fixed lifetime cap on individual LTC expenditure. The reform would have created the conditions for a private LTC insurance market to emerge to insure costs below the cap, a development likely conducive to expansion in the formal LTC sector.

Table 4.2. Past recommendations on family policy

Recommendations in previous *Surveys*	Actions taken since the last *Survey*
Increase funding to reduce the cost of good-quality childcare, in particular for under 2 year olds, giving priority to low income households.	A major extension of childcare support was announced in spring 2023 and is being implemented. It will provide working parents with 30 hours of childcare per week for 38 weeks per year for each child aged nine months to five years in England, effectively offering a smooth bridge from parental leave as it expands the previous system limited to children aged three and above. The measure is expected to increase hours worked and employment significantly.
Increase the cap on paternity pay and relate it to father's income.	No action taken.
Improve data collection of the uptake of parental leave in order to be able to evaluate effectiveness of current policies in reducing gender gaps.	No action taken.

4.5. Ensuring an adequate supply of skills to meet labour market needs

Skills policy affects labour supply not only by promoting the accumulation of human capital, but also by improving the adequacy of skills with labour market needs, including by governing the migration of skilled labour.

In the United Kingdom, compulsory and especially higher education systems are strong, providing the future workforce with adequate skills, attracting students globally, and significantly contributing to the economy. However, too many young people leave education by age 18 with insufficient basic skills, so that an impetus on school-to-work transitions is required to boost labour market participation among early school leavers. More than one in four English adult is a low-performer in either literacy or numeracy, and only one in three adults is sufficiently proficient in problem solving in technology-rich environments (OECD, 2019[64]), compromising not only labour market outcomes but also further skills development. Moreover, skilled labour is in short supply in some essential sectors that are heavily reliant on skilled labour migration, including healthcare, calling for migration reform.

4.5.1. Apprenticeships

Better school-to-work transitions are required to boost labour supply by young people with low educational attainment. Too few workers have qualifications between secondary and undergraduate degree in the United Kingdom, reflecting the combination of high numbers of young people leaving school early and strong participation in university education. Upper secondary or postsecondary vocational education graduates only account for about 16% of the 25-64 year-olds, largely below the OECD average of about 26% (OECD, 2024[29]). The share of workers with intermediate qualifications, i.e., Level 4 and 5 qualifications, such as higher national certificate or higher national diploma, is low given the sectoral and occupational composition the British economy (Resolution Foundation, 2023[35]).

Dual vocational education and training, which combines school- and work-based learning, is particularly important to increase labour supply by youth, especially those with lower qualifications (Kuczera, 2017[65]). However, British employers in effect use apprenticeships to upskill current employees rather than hire and train young people with low skills (Kuczera and Field, 2018[66]), a shift particularly marked since the introduction of the Apprenticeship Levy in 2017 (Box 4.7). Almost 30% of new apprenticeships were for higher- and degree-level apprenticeships in 2021/22, versus less than five percent in 2015/16, and almost half of new apprentices are over the age of 25 in England, versus four out of ten in 2015/16 (Tahir, 2023[67]). At the same time, the number of new apprenticeships declined by 30%, likely reflecting the stricter regulation.

Box 4.7. Training subsidies under the Apprenticeship Levy scheme

The British apprenticeship system provides strong incentives to employ apprentices since the 2017 overhaul, as employers can access subsidies to effectively cover the full cost of apprentices' training and assessment.

Employers with an annual wage bill above three million pounds are subject to a payroll levy of 0.5% –the so-called Apprenticeship Levy, essentially additional National Insurance Contributions for large employers– but can access apprenticeship subsidies equal to 110% of the amount of the levy paid. Smaller, non-levy-paying employers are eligible to subsidies equal to 95% of the apprenticeship cost, partly financed by unused funds from levy-paying employers. Since April 2024, small firms benefit from 100% subsidies for apprentices aged 21 and below.

Most of the levy revenue goes into the Apprentice Budget, which is used to subsidise the cost to employers of providing apprenticeships in England, while the other nations spend the funds on a broader range of skills programmes. After a period of adjustment in the first four years after the reform, during which English businesses used significantly less than their allocated funds, the quasi-totality of the budget was spent in the most recent years (Tahir, 2023[67]).

Source: HM Government.

The government would do well to refrain from broadening the scope of apprenticeship subsidies where there is no clear case of market failure. More flexibility can be warranted regarding the type of eligible training, as argued by several lobby groups (CBI, 2023[68]; LGA, 2019[69]), but effective regulation is necessary to ensure quality and limit subsidy windfall. Apprenticeship subsidies are justified by the existence of externalities from investment in industry-specific skills; by contrast, employers can fully internalise the return to investment in firm-specific skills; and investments in general skills are better addressed through individual learning accounts, as currently implemented in several OECD countries such as Belgium and France (Box 4.8). Therefore, any plan to broaden the use of levy funds to subsidise training other than industry-specific skills must be carefully reviewed, to ensure no public money is spent where externalities do not warrant it.

Subsidy rates under the Apprenticeship Levy scheme could be equalised across employers. No economic argument justifies higher subsidy rates for levy-paying employers; if anything, smaller firms are more likely to underinvest in training as they face relatively larger fixed costs and financial frictions, which could warrant higher subsidy rates (OECD, 2021[70]). Moreover, different rates create administrative complexity, both for firms, for instance as they use the option to transfer their unused levy funds to non-levy-paying employers within their supply chains, and for the government, for instance to assess compliance. Subsidy rates could be equalised at 95%, the rate currently enjoyed by small firms, as the 110% rate enjoyed by levy-paying firms does not appear justified by either private or social returns to training, but is instead an artefact of the levy's earmarking to the Apprenticeship Budget.

Box 4.8. Individualising training access schemes: the case of France

The French personal training account (*Compte Personnel de Formation*, CPF) is an individualised financing scheme for professional training in which training rights are accumulated over time. Introduced in 2015, the account is open to all economically active persons, and is fully transferable throughout the individual's working life, from the time they enter the labour market until they retire.

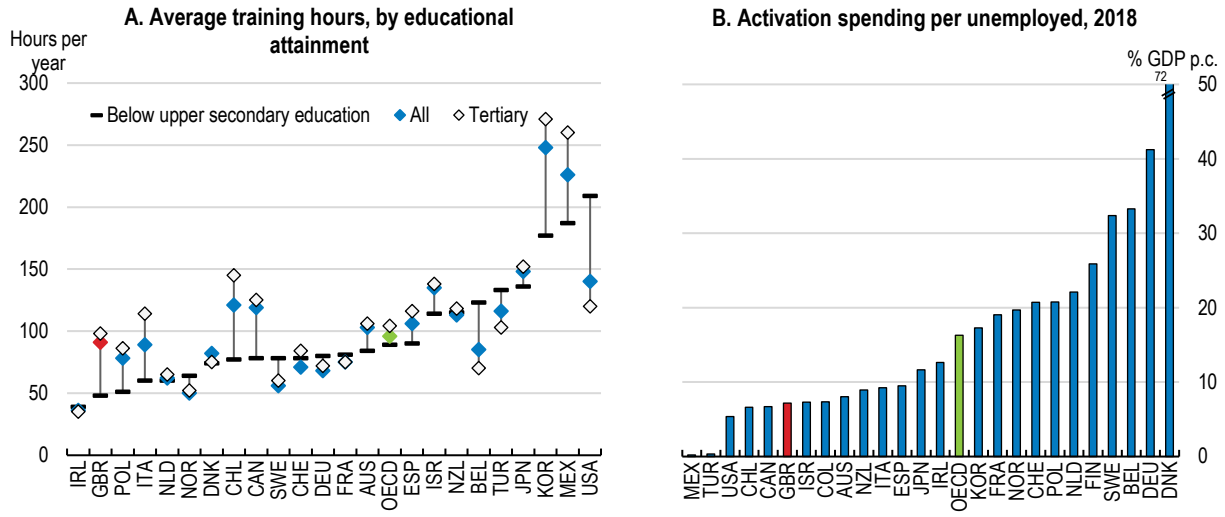
The account was reformed in 2018 to improve access to training for low-skilled workers and jobseekers. The personal training account was previously measured in training hours, but has now been monetised in euros, a move to correct the disparities in hourly training costs. The amount of the annual payments is based on workers' skills: each worker has EUR 500 per year in his CPF to pay for training, and the least skilled have EUR 800 (up to a ceiling of EUR 5,000 and EUR 8,000 over ten years, respectively). The reform also introduced guidance for potential beneficiaries, as well as controls of the quality of and information about the training provided. Part of the funds dedicated to professional training and apprenticeship are earmarked for career advice (*Conseils en Évolution Professionnelle*, CEP).

Source: Perez and Vourc'h (2020[71]).

4.5.2. Adult training

Overall participation in adult learning in the United Kingdom is above the OECD average, but very unequal across education levels (OECD, 2024[72]). Lower-educated people train far less than their peers in other OECD countries (Figure 4.17, Panel A), with a dramatic decline in the number of adult learners studying in publicly funded qualifications at level below upper secondary education since the 2000s, partly due to reforms intended to reduce participation in low-quality, low-return courses (Tahir, 2023[67]). Moreover, the intensity of employer-provided training, as measured by the average number of training days per trainee, fell steadily from eight days in 2011 to six days in 2022, even though participation remained fairly high at about 60% of the workforce (Tahir, 2023[67]). Weak engagement with adult training at the lower end of the skill distribution is an important issue given the number of people with low basic skills, an estimated nine million in England alone (OECD, 2020[73]).

Figure 4.17. Lower-educated people train little and public spending on activation is relatively low



Note: Panel A refers to the population aged 25-64 and covers the period 2012-2017. Panel B refers to spending in calendar year 2018, except for Australia, New Zealand, the United Kingdom and the United States (fiscal year 2018/19).
Source: OECD Education at a Glance (database); OECD Social Expenditure Database; OECD National Accounts Statistics (database).

StatLink https://stat.link/rp3u67

Public funding of adult training has been declining since the 2000s. Formal, classroom-based adult training funding fell by 25% in real terms, with a marked decline in lower-level qualifications funding (Tahir, 2023[67]), and despite the additional funding to adult education and apprenticeships set for 2024/25 in the 2021 Spending Review (HM Treasury, 2021[74]). Most of the decline comes from real-term decreases in funding rates, as nominal funding rates have not changed since 2013 for most courses. Even where funding rates where increased, as was the case for basic level English and mathematics courses in 2015/16, the real value of funding fell by about 20% (Tahir, 2023[67]).

The UK government is advised to review the nominal freeze of funding rates for adult learning and ensure that rates effectively reflect training costs. Changes in participation, in the qualification composition of adult training and in labour market demand likely warrant adjustments to funding rates, but these should be based on thorough assessments, instead of inflation-driven, arbitrary real value erosion. Adjusting funding rates at the course level to cover the true cost of delivering each specific course would promote educational output quality, hence learners' labour market prospects and possibly continuation into further education. Further targeting may be warranted, as returns to adult education are heterogenous and depend on age and prior education level (Kauhanen and Virtanen, 2021[75]). The government is introducing new rates for the coming academic year, with the stated intention to provide higher funding in areas of greatest skills

needs and for courses with higher cost of delivery. Funding rates could be assessed as part of the next spending review.

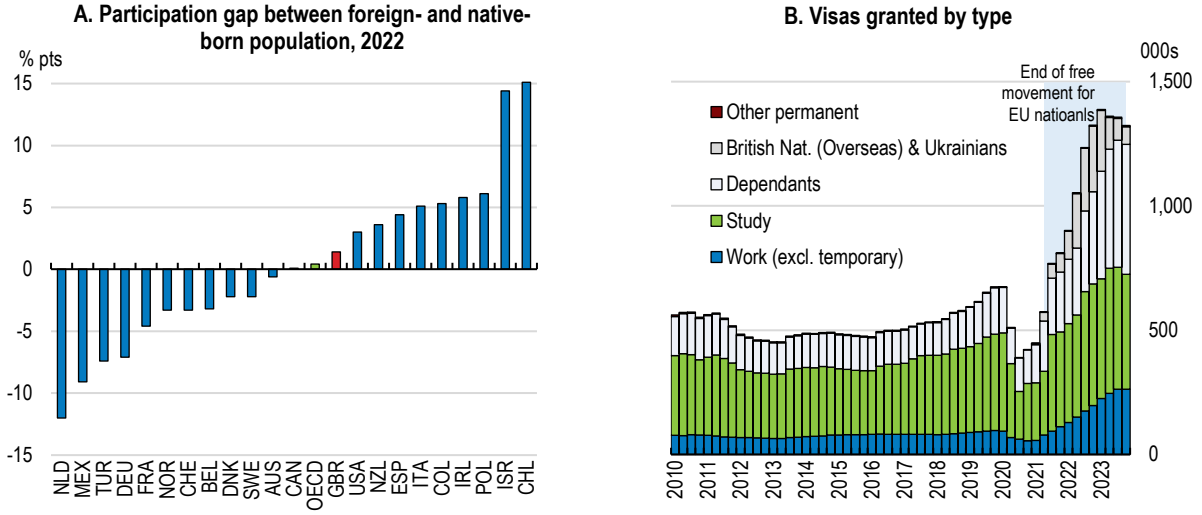
Assessing whether the relatively low training intensity among the low-skilled is demand- or supply-driven is complicated by the lack of internationally comparable data on public expenditure on training. The United Kingdom has not provided disaggregated data regarding labour market programmes to the OECD and other international organisations since 2011 (OECD, 2024[76]); only total spending on active labour market policies is available, and appears relatively low (Figure 4.17, Panel B). Cross-country comparable data is essential to assess labour market policies in international comparison and learn from best practices, including the United Kingdom. Re-establishing a data provision agreement between the Department for Work and Pensions and the OECD would help.

4.5.3. Skilled migration

Immigration has reliably added to the British labour force in the past, as the foreign-born are more likely to participate in the labour market than the native-born (Figure 4.18, Panel A). Exceptionally large migration inflows have been boosting labour supply, with very large immigration of non-European Union nationals dwarfing emigration of European Union citizens since the end of free movement for European Union workers (ONS, 2023[77]), although uncertainty about actual levels remains (Box 4.1 above). Immigration into the United Kingdom appears to have contributed more than one percentage point to the growth in the labour force in 2023, versus half a percentage point on average over the 2010-2019 period (OECD, 2024[6]).

The composition of migration flows shifted in the wake of the pandemic towards groups with lower participation rates, such as students and dependants. The number of visas granted increased across the board, reflecting a range of factors including the influx of Ukrainian refugees and of British Nationals (Overseas) from Hong Kong (China), but the rise in numbers is particularly marked for students and dependants (Figure 4.18, Panel B). A new immigration package, introduced in April 2024 with the intention to curb migration and reduce abuse, is likely to attenuate the shift by raising salary thresholds, as discussed below, and by restricting possibilities to bring family dependants.

Figure 4.18. Migration is an important source of labour supply



Source: OECD Migration Statistics (database); OBR (2024[78]) *Economic and Fiscal Outlook: March 2024*.

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The new immigration package is expected to reduce demand for foreign labour and skills. The reform raises salary thresholds by almost 50%, both the general one and those for occupations formerly eligible for a discount (Box 4.9), thereby increasing the cost of migrant labour. Moreover, occupation-specific thresholds prevent pay below median salary in many occupations. Eligible health and care occupations constitute an exception, with salary thresholds left at the 25th percentile of the occupation-specific full-time salary distribution against the backdrop of important labour needs in long-term care and the NHS (Home Office, 2024[79]).

Box 4.9. The immigration system and salary thresholds

The current immigration system, in force since the end of free movement for European Union workers, comprises three main migration routes, namely for skilled workers ("skilled visa"), for scientists and researchers ("global talent scheme"), and for international students ("student visa", plus a "graduate visa" upon completion of a degree in the UK), with obtention criteria mainly based on general or occupation-specific salary thresholds, qualifications and, until recently, occupational shortages (HM Government, 2021[80]).

Occupations on the shortage list benefited from 20% lower general salary thresholds –the so-called 20% going rate discount–, and specific occupations had thresholds set at the 25th percentile of the occupation-specific full-time salary distribution (HM Government, 2024[81]).

The new immigration package replaces the shortage occupation list with a list of occupations for which employers can recruit migrants on a salary below the general threshold –the so-called Immigration Salary List. Eligible health and care occupations benefit from a lower threshold.

Source: HM Government.

The UK government would do well to assess the impact of the reform of salary thresholds on both domestic demand and foreign supply of skills. The overall increase in thresholds might make the skilled visa route unavailable for many occupations, as the occupation-specific median salary is likely to be binding in many cases (Migration Advisory Committee, 2024[82]), possibly creating shortages. Moreover, while the rationale for preventing employers from paying migrant work below the 25th percentile of the occupation-specific salary was related to labour exploitation concerns, the rationale for preventing pay below median salary is less clear.

Differences in salary thresholds for similar occupations depending on whether they are eligible for the Health and Care Workers visa could be reviewed. Only employement with the NHS, a private provider working for the NHS, or in adult social care (i.e., publicly-funded employment) benefit from the exemption from the general or occupation-specific salary thresholds, so that a given job may face different thresholds depending on whether it is publicly or privately funded (Migration Advisory Committee, 2024[82]). Moreover, while the exemption supports public finances in the short run by reducing pressures on the budget of the NHS and local authorities responsible for delivering public long-term care, it does not contribute to making health and care occupations more attractive to domestic workers, even though staff is needed across the board. Better employment conditions are a necessary complement to labour migration to alleviate shortages in the sector, possibly improving the availability of formal long-term care services, and thereby promoting labour market participation of informal carers, mostly women, as discussed above.

Table 4.3. Past recommendations on skills supply

Recommendations in previous *Surveys*	Actions taken since the last *Survey*
Monitor the incentives set by the apprenticeship levy and ensure apprenticeships are taken up by low skilled workers and early school leavers.	Since April 2024, small firms benefit from higher subsidies for apprentices aged 21 and below.
Ensure that training opportunities for adults are of high quality and respond to identified skills need.	GBP 50 million were committed for a two-year pilot to promote apprenticeships in high-value manufacturing, engineering, and life science. Funding was increased for Skills Bootcamps, designed for training, retraining, and upskilling learners in high-growth sectors, focused on digital, green, and technical skills; and for the Sector-based Work Academy Programme, designed to provide jobseekers with work experience.
Use statistical tools to target training to low skilled workers affected by digitalisation and the green transition to strengthen their skills to transit to new jobs.	No action taken.
Ensure that the migration system is sufficiently flexible to address quickly rising labour shortages.	The new immigration package introduced in April 2024 raises salary thresholds and is expected to reduce demand for foreign labour in most sectors.

Table 4.4. Findings and recommendations on boosting labour supply

MAIN FINDINGS	RECOMMENDATIONS (key in bold)
Designing taxes and benefits better to strengthen work incentives	
Incapacity assessment focusses on individuals' limitations rather than abilities, so that claimants risk losing their incapacity benefits if they re-enter the labour market despite their health condition. Activation is weak for the long-term sick, with little engagement for either return to work or a reassessment.	**Reform the Work Capability Assessment so that income support is not conditioned on being found incapacitated for work.** Strengthen early interventions and formal return-to-work pathways, and introduce transitional disability programmes.
The freeze of personal tax thresholds weakens work incentives, including for low-income workers and despite cuts in the rate of National Insurance Contributions.	**Index personal tax thresholds to inflation, prioritising National Insurance Contributions thresholds if fiscal space is constrained.**
The taper of several allowances at arbitrary levels creates kinks in the income tax schedule and weakens work incentives. Combined with high childcare costs, the threshold for childcare entitlement creates strong work disincentives for high earners.	Consider abolishing the High-Income Child Benefit Charge and offsetting the fiscal cost by raising the Higher Rate for income tax. Assess the impact of the threshold for childcare entitlement on labour supply, demand for childcare services, and public finances.
Continuing to step up family policy to promote female participation	
The fast timeline for childcare reform, the lack of contingency planning, and staff shortages create implementation risks. Low funding rates could incentivise childcare providers to prefer hours above the entitlement at a premium, hence pricing out the less well-off. The unemployed need a job offer to receive cash support for childcare beyond the free 15 hours for 3-4 year-olds, complicating job search.	**Set and monitor interim implementation milestones, and prioritise low-income households if childcare supply falls short of demand.** Review childcare funding rates regularly to strike the balance between limiting fiscal costs and ensuring quality access. Extend full childcare support to active jobseekers.
Parental leave entitlements are substantially lower for fathers, perpetuating gender gaps in labour supply.	Increase the cap on paternity pay to limit earnings shortfall for fathers.
Most long-term care is provided informally, predominantly by women, on the back of staff shortages and declining public spending on formal care.	Promote digitalisation to raise labour productivity in the long-term care sector, and ensure funding certainty to enable long-term planning.
Ensuring an adequate supply of skills to meet labour market needs	
Employers increasingly use apprenticeships to upskill current employees, rather than hire and train young low-skill people and early school leavers. Large firms benefit from higher apprenticeship subsidy rates, even though small firms face relatively larger barriers.	**Reduce subsidy rates for current employees under the Apprenticeship Levy scheme and channel support to young people.** Set the subsidy rates under the Apprenticeship Levy scheme at 95% of training and assessment costs for all firms.
Public spending on adult training fell markedly in real terms since the global financial crisis.	Increase funding rates for adult learning and ensure that they effectively reflect training costs.
The immigration reform raises the cost of migrant labour, preventing pay below median salary in many occupations.	Assess the impact of the reform of earnings thresholds on both domestic skills demand and foreign skills supply.

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UNITED KINGDOM

Economic growth is resuming, but challenges remain. Gradual fiscal consolidation is required over the short term to support the return of inflation to target and rebuild fiscal space, following substantial support during the pandemic and the energy crisis. Growing spending needs due to ageing and investment necessary to support the green transition call for tax reforms to strengthen revenues. Supply-side reforms are needed to sustain growth, including by providing businesses with certainty regarding taxation and land use planning to boost investment, and by strengthening work incentives to reduce economic inactivity. The United Kingdom is a front runner in the progress to reach net zero by 2050, but more effort is needed to accelerate emission reductions in residential housing, including a clear long-term strategy, pricing signals, regulatory timelines, and financial support to stimulate the market for decarbonised heating solutions.

SPECIAL FEATURES: BOOSTING LABOUR SUPPLY; ENHANCING BUSINESS INVESTMENT TO LIFT PRODUCTIVITY; GREENING THE RESIDENTIAL HOUSING SECTOR

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